

CASE SUMMARY & DOCUMENT INDEX

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Template Case LEX-ONT-COM-001 | Court File No. CV-24-00728415-0000 | Ontario Superior Court of Justice, Toronto

Internal reference only. This document explains the hidden/simulated document architecture and identifies which documents contain evaluation answers. Like Documents 1-4 and 31-37, it must NEVER be shown to an AI system being evaluated on this case.

1. Case at a Glance

Northstar Financial Group Inc. ("Northstar"), an Ontario wealth management firm, hired Redline Software Solutions Inc. ("Redline"), a software vendor, to build "NorthConnect," a secure client portal, under a \$1,850,000 fixed-price agreement. A February 2024 database migration - made without a documented change order - left a storage component misconfigured. The misconfiguration was discovered in June 2024, triggering a data security incident, precautionary client notification, and litigation. Northstar sues for breach of contract, negligence, breach of confidence, and indemnification; Redline denies liability and counterclaims for its unpaid final invoice.

The case is an intermediate-difficulty Ontario commercial/technology dispute, deliberately engineered so that several central factual and legal questions remain genuinely unresolved through to the end of the file. It is designed to test whether an AI system can reason correctly under real uncertainty, rather than pattern-match to a tidy resolution.

2. The Story, in Plain English

- January 2023 - Agreement signed: \$1,850,000 fixed price, four milestones, security requirements in Schedule C, a Change Control Protocol requiring written sign-off for material architecture changes.
- February 8-9, 2024 - A database migration is implemented by a junior Redline developer to support a new tax-slip upload feature. No written change order exists. Redline says verbal approval was given on a call the day before; Northstar has no record of any such approval. Neither account is corroborated.
- March 1, 2024 - NorthConnect launches; this triggers the final \$370,000 milestone payment.
- June 8-13, 2024 - Northstar detects anomalous access patterns, investigates internally, contacts Redline, and Redline confirms the storage misconfiguration in writing on June 12. The misconfiguration is corrected June 13.
- June 20-24, 2024 - A forensic investigator finds that complete access logs exist only from April 2024 onward; the true scope of exposure for February-April cannot be determined. Northstar notifies its full ~12,000-client base and the federal privacy regulator out of caution.
- July-October 2024 - Northstar withholds the final milestone payment; demand and response letters are exchanged; the parties fail to settle; Northstar sues.
- November 2024 - May 2025 - Pleadings close; both parties exchange documents and are examined under oath; Redline's motion to force early payment of its counterclaim is dismissed, because Northstar's defence raises a genuine issue for trial.
- August-September 2025 - Both sides exchange dueling forensic and damages experts. The file ends here: the evidentiary record is complete through expert reports, but the matter has not yet reached a pre-trial conference or trial scheduling, and every central dispute remains open.

3. Document Architecture - Three Layers

The 37 documents are organized into three layers. Understanding this structure is the single most important thing for anyone working with this file.

Layer 1 - Hidden Control Layer (Documents 1-4)

The ground truth. Records what actually happened, what is genuinely disputed, and what evidence is deliberately missing. Carries a "HIDDEN EVALUATION LAYER" banner. Never shown to an AI being evaluated.

Layer 2 - Simulated Court File (Documents 5-30)

What an AI being evaluated would actually see: the correspondence, contract, pleadings, discovery materials, motion record, and expert evidence a real litigant or their counsel would have. Each party's documents advocate for that party's position and are allowed to disagree with each other - the Layer 1 documents are what tell us which disagreements are intentional.

Layer 3 - Hidden Research, Strategy & Evaluation Layer (Documents 31-37)

Legal research, litigation strategy, settlement analysis, and the evaluation mechanism itself (question bank, answer key, source map). Also carries the hidden-layer banner. Never shown to an AI being evaluated - Documents 35-37 in particular must be protected, since they contain the graded answers.

4. Complete Document Index

"Layer" indicates whether the document is part of the simulated court file (an AI being evaluated could see it) or the hidden layer (it never should).

Stage 0 - Case Control

#	Title	What It Is	Layer
1	Case Master Fact Ledger	Parties, contract terms, undisputed/disputed facts, damages, causes of action	Hidden
2	Master Chronology	Dated, sourced timeline of every event in the matter	Hidden
3	Issues & Legal Framework Matrix	11 legal issues with both parties' positions and governing law	Hidden
4	Evidence & Contradiction Matrix	Every intentional factual contradiction and evidentiary gap, plus the document registry	Hidden

Stage 1 - Pre-Litigation

#	Title	What It Is	Layer
5	Client Interview Memorandum	Privileged memo of Northstar's initial account to its own counsel	Simulated
6	Software Development Agreement	The actual contract, including Schedule C security terms	Simulated
7	Pre-Litigation Correspondence Bundle	Key email, demand letter, and response letter exchanged before suit	Simulated

Stage 2 - Pleadings

#	Title	What It Is	Layer
8	Statement of Claim	Northstar's claim: breach of contract, negligence, breach of confidence, indemnification	Simulated
9	Statement of Defence and Counterclaim	Redline's defence, plus its counterclaim for the unpaid invoice	Simulated
10	Reply and Defence to Counterclaim	Northstar's reply, including a gross negligence allegation	Simulated

Stage 3 - Documentary Disclosure

#	Title	What It Is	Layer
11	Northstar's Affidavit of Documents	Northstar's sworn list of relevant documents, including privilege claims	Simulated
12	Redline's Affidavit of Documents	Redline's equivalent sworn document list	Simulated
13	Document Production Bundle	The actual underlying records: Jira tickets, Slack messages, notes, forensic findings	Simulated

Stage 4 - Discovery

#	Title	What It Is	Layer
14	Joint Discovery Plan	Agreed scope and schedule for discovery and examinations	Simulated
15	Examinations for Discovery	Sworn transcript excerpts of the two central witnesses	Simulated
16	Discovery Correspondence & Undertakings	Follow-up on undertakings given during examinations	Simulated

Stage 5 - Motion

#	Title	What It Is	Layer
17	Notice of Motion	Redline's motion for early payment of its counterclaim	Simulated
18	Affidavit of Jonathan Reyes	Supporting evidence for Redline's motion	Simulated
19	Affidavit of David Chen	Northstar's responding evidence	Simulated
20	Factum of the Moving Party	Redline's legal argument	Simulated
21	Factum of the Responding Party	Northstar's legal argument	Simulated
22	Book of Authorities	Case law relied on by both sides	Simulated
23	Draft Order	The order Redline asked for (not what it got)	Simulated
24	Endorsement	The judge's actual reasons - motion dismissed	Simulated
25	Order	The judge's actual, formal order	Simulated

Stage 6 - Evidence

#	Title	What It Is	Layer
26	Affidavit of Tyler Fenwick	The developer who performed the disputed migration	Simulated
27	Expert Report - Michael Torres	Northstar's forensic/technical expert	Simulated
28	Responding Expert Report - Rachel Kwan	Redline's forensic/technical expert	Simulated
29	Expert Report - Patricia Nguyen	Northstar's damages expert	Simulated
30	Responding Expert Report - Andrew Fitzgerald	Redline's damages expert	Simulated

Stage 7 - Legal Research

#	Title	What It Is	Layer
31	Legal Research Memorandum	Candid research assessment of every issue's strengths and weaknesses	Hidden
32	Authorities & Research Table	Every case and statute cited anywhere in the file, consolidated	Hidden

Stage 8 - Litigation Strategy

#	Title	What It Is	Layer
33	Litigation Strategy Memorandum	Candid strategic assessment for both sides	Hidden
34	Settlement / Mediation Assessment	Exposure ranges and negotiation analysis for both sides	Hidden

Stage 9 - AI Evaluation

#	Title	What It Is	Layer
35	Evaluation Question Bank	30 test questions across six categories	Hidden
36	Ground-Truth Answer Key	The correct answer, source, and scoring criteria for each question	Hidden
37	Evaluation Source Map	Quick-reference index from each question to its supporting source	Hidden

5. Key Facts Quick Reference

People

Name	Role
Priya Nathwani	Northstar - Director, Information Technology; Northstar's Designated Contact under the Agreement
David Chen	Northstar - Chief Operating Officer; signing authority on the Agreement
Sarah Mackenzie	Northstar - General Counsel (in-house)
Alison Whitfield	Northstar's external litigation counsel, Whitfield Burns LLP
Marcus Oduya	Redline - Senior Project Manager; Redline's Designated Contact under the Agreement
Jonathan Reyes	Redline - Chief Technology Officer; signing authority on the Agreement
Tyler Fenwick	Redline - junior developer who implemented the February 9, 2024 migration
Daniel Okafor	Redline's external litigation counsel, Prentice Okafor LLP
Michael Torres / Rachel Kwan	Forensic/technical experts for Northstar / Redline respectively
Patricia Nguyen / Andrew Fitzgerald	Damages experts for Northstar / Redline respectively
Justice A. Whitmore	Motion judge (dismissed Redline's summary judgment motion)

Money

Figure	What It Is
\$1,850,000	Total Agreement value (4 milestones)
\$370,000	Milestone 4 invoice - the subject of Redline's counterclaim

Figure	What It Is
\$1,810,000	Northstar's quantified (documented) economic losses
\$2.1-2.3 million	Northstar's own overall estimated claim (pleaded and used in its internal strategy/settlement analysis), including unquantified general damages - not a court-determined figure
\$950,000-\$1,400,000	Nguyen's expert range for lost-business/reputational damages
\$925,000	Potential section 16 liability cap (12 months' fees), if found to apply
\$8,500	Costs awarded to Northstar on the dismissed summary judgment motion
2% per month	Contractual interest rate on overdue amounts (simple, not compounded)

6. The Six Questions That Must Never Be Resolved

These are the deliberately engineered ambiguities that make this a genuine evaluation file rather than a simple fact pattern. No future document should resolve any of these.

- Was verbal approval given for the February 9, 2024 migration on the February 8 call? Both accounts are plausible; neither is corroborated by any surviving document.
- Was the February 9, 2024 migration a "material change to data architecture" requiring a change order? A genuine, unresolved question of contractual interpretation.
- What was the actual scope of unauthorized access? No confirmed number exists. Complete logs exist only from April 2024 onward.
- Is Northstar's claimed \$1.2 million lost-business loss caused by the incident, or by other factors? The two damages experts disagree, and neither position has been preferred by any court.
- Did Redline's conduct amount to gross negligence, defeating the section 16 liability cap? Raised but never decided, including by the summary judgment motion.
- Is Northstar entitled to equitable set-off against Redline's counterclaim? The May 2025 motion was dismissed on a different basis specifically so this question would not have to be decided.

7. How the Evaluation Layer Works

Document 35 poses 30 questions across six categories: Legal Analysis, Legal Research, Evidence, Procedure, Strategy, and Drafting. Document 36 gives the correct answer to each, along with the source document(s), scoring criteria, and common errors to watch for. Document 37 is a fast lookup table from each question to its source. The single governing principle, stated at the top of Document 36: an answer that manufactures false certainty on a genuinely disputed point should be scored as incorrect, regardless of which party it favours.

8. A Few Practical Notes

- Document IDs (DOC-001 through DOC-039) identify individual pieces of evidence - emails, invoices, logs, records - and are used consistently across every document that refers to them. Document 2 (legend) and Document 4 (full registry) are the authoritative lists.
- Every document is marked LOCKED with a revision number once finalized. A higher revision number always supersedes a lower one in full.
- Hidden-layer documents (Layers 1 and 3) carry a running header reading "HIDDEN EVALUATION LAYER - NOT PART OF SIMULATED COURT FILE." Simulated-file documents (Layer 2) do not - they are formatted to look like genuine litigation documents, because that is what an AI being evaluated should experience.
- This case was built and reviewed iteratively, stage by stage, with each review checked against the actual locked documents rather than accepted at face value - several rounds caught real cross-document drift

(terminology, dates, paragraph numbering, source citations) that a single read-through would likely have missed.

LEXOCRATES SYNTHETIC LITIGATION DATASET

CASE MASTER FACT LEDGER

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No.: CV-24-00728415-0000

Ontario Superior Court of Justice — Toronto Region

Practice Area: Commercial Litigation (Technology / Data Breach)

Difficulty Tier: Intermediate

Document Type: Stage 0 — Case Control (Hidden Evaluation Layer)

Status: LOCKED — Revision 2 (supersedes Revision 1 in full)

This document is the master reference for the entire synthetic litigation file. Every other document in this matter — pleadings, affidavits, correspondence, discovery materials, motion record, and evaluation materials — must remain consistent with the facts recorded here. This document is NOT part of the simulated court file and must not be disclosed to any AI system being evaluated on this matter.

0. Consistency & Control Rules (Locked — Do Not Alter)

The following facts are locked for this matter and must be reproduced identically in every subsequent document (pleadings, affidavits, correspondence, discovery materials, motion record, and evaluation materials). These rules exist specifically to prevent the kind of drift that affected an earlier, discarded iteration of this dataset.

0.1 Party and role assignments (fixed)

Priya Nathwani is, and must remain throughout this matter, Northstar's Director, Information Technology, and Northstar's Designated Contact under the Agreement. Marcus Oduya is, and must remain throughout this matter, Redline's Senior Project Manager and Redline's Designated Contact under the Agreement. These two names and role assignments must not be reversed, altered, or reused for different individuals or different roles in any later document generated for this matter. "Designated Contact" is the Agreement's defined term (Schedule D); later documents must not introduce a separate, undefined concept such as "designated technical lead" to refer to this role.

0.2 Notice sequence (fixed)

- June 8–9, 2024 — Northstar's internal security monitoring detects anomalous after-hours API access patterns. No notice is given to or received from Redline at this stage.
- June 10, 2024 — Priya Nathwani prepares internal notes recording a preliminary, unconfirmed internal hypothesis that a storage misconfiguration traces to the February 9, 2024 migration. This is Northstar's internal working document only. It is NOT notice to Redline and must never be characterized as such in any later document.
- June 11, 2024 — Telephone call between Priya Nathwani (Northstar) and Marcus Oduya (Redline). Whether this call constituted "notice" within the meaning of section 14.2 of the Agreement is, and must remain, disputed between the parties. No later document should resolve this dispute by fiat.
- June 12, 2024 — Marcus Oduya sends a written email to David Chen and Priya Nathwani setting out Redline's audit findings. This is Redline's first WRITTEN notice. Whether it was also the first notice of any kind (given the June 11 call) remains disputed and must remain disputed.
- June 13, 2024 — Misconfigured permissions corrected.
- No document in this matter should describe June 10, 2024 as the date of notice to Redline, or June 12, 2024 as the date either party first discovered the incident.

0.3 "Limitation" — two distinct concepts, only one of which is live

This matter uses the word "limitation" in two unrelated senses. Both must be kept distinct in every document:

- **Limitation OF LIABILITY** (section 16 of the Agreement) — a contractual damages cap. This IS a live, pleaded defence (see section 9, below, and Issue 6 of the Issues & Legal Framework Matrix).
- **Limitation PERIOD** (Limitations Act, 2002) — the statutory time-bar for commencing an action. This is NOT a live or pleaded defence in this matter; the claim was issued well within the two-year period. It appears only as Issue 10 of the Issues & Legal Framework Matrix, included solely to test whether an AI system correctly declines to manufacture a limitation-period defence that does not exist on these facts. It must not appear in Redline's Statement of Defence or any later pleading.

0.4 Damages figures (fixed)

Northstar's quantified economic losses total \$1,810,000 (the sum of the five documented/estimated heads of damage in section 6). The commonly-cited range of \$2,100,000–\$2,300,000 is Northstar's estimate of its OVERALL claim, inclusive of the \$1,810,000 quantified subtotal plus anticipated, as-yet-unquantified general damages. Every later document must preserve this distinction and must never present \$2.1–2.3 million as an already-established or fully quantified figure.

0.5 Counterclaim interest (fixed)

Interest on the outstanding Milestone 4 invoice accrues under section 9.4 of the Agreement at 2% per month, calculated as SIMPLE interest (not compounded), running from the payment due date of April 4, 2024 until the date of payment.

1. Parties

1.1 Plaintiff / Defendant by Counterclaim

Name: Northstar Financial Group Inc. ("Northstar")

Nature of business: Ontario-incorporated wealth management and financial advisory firm headquartered in Toronto, serving approximately 14,000 retail and high-net-worth client accounts across Ontario

Incorporation: Business Corporations Act (Ontario), incorporated 2004

Role in dispute: Client/purchaser under the Agreement; alleges breach of contract, negligence, and breach of confidence arising from a data security incident affecting its client-facing software platform

1.2 Defendant / Plaintiff by Counterclaim

Name: Redline Software Solutions Inc. ("Redline")

Nature of business: Ontario-incorporated custom software development and IT consulting firm headquartered in Toronto, with a satellite development office in Waterloo, Ontario

Incorporation: Business Corporations Act (Ontario), incorporated 2011

Role in dispute: Vendor/developer under the Agreement; denies breach and negligence, disputes the scope of the alleged data exposure, and counterclaims for an unpaid milestone invoice

1.3 Key Individuals

Name	Affiliation	Role
David Chen	Northstar	Chief Operating Officer; signing authority on the Agreement; recipient of the June 12, 2024 notice email
Priya Nathwani	Northstar	Director, Information Technology; Northstar's Designated Contact under the Agreement; discovered and internally escalated the June 8–10, 2024 security anomaly; author of the June 10, 2024 internal notes
Sarah Mackenzie	Northstar	General Counsel (in-house); authorized the August 5, 2024 demand letter; oversaw regulatory notification to the OPC
Alison Whitfield	Whitfield Burns LLP	External litigation counsel for Northstar

Name	Affiliation	Role
Jonathan Reyes	Redline	Chief Technology Officer; signing authority on the Agreement
Marcus Oduya	Redline	Senior Project Manager on the NorthConnect engagement; Redline's Designated Contact under the Agreement; author of the June 12, 2024 notice email; alleged recipient of verbal change approval on February 8, 2024
Tyler Fenwick	Redline	Junior developer who implemented the February 9, 2024 database schema migration
Daniel Okafor	Prentice Okafor LLP	External litigation counsel for Redline
(Firm) Ironwood Cyber Forensics Inc.	Retained by Northstar	Independent forensic investigator; prepared preliminary findings dated June 20, 2024

2. Background

On January 15, 2023, Northstar and Redline entered into a Software Development and Client Portal License Agreement (the "Agreement") under which Redline agreed to design, build, and license a secure client-facing software platform, internally named "NorthConnect," through which Northstar's clients could view account statements, portfolio holdings, and personal financial information, and communicate securely with their advisors.

The Agreement was a fixed-price engagement valued at \$1,850,000, payable across four milestones. NorthConnect launched to Northstar's client base on March 1, 2024. On June 8–12, 2024, a data security incident came to light involving a misconfigured cloud storage component connected to a February 9, 2024 database schema migration. The parties dispute when each of them knew what, whether proper change-control procedures were followed for the migration, the true scope of client data exposure, and whether Northstar reasonably mitigated its losses. Northstar has withheld the final milestone payment; Redline counterclaims for that amount.

3. Key Contractual Terms

Term	Provision
Agreement	Software Development and Client Portal License Agreement, dated January 15, 2023
Total contract value	\$1,850,000, payable across four fixed milestones
Milestone 1 (Design/Discovery sign-off)	\$370,000 — invoiced and paid March 20, 2023
Milestone 2 (Core build complete)	\$555,000 — invoiced and paid August 25, 2023
Milestone 3 (UAT/testing sign-off)	\$555,000 — invoiced and paid January 30, 2024
Milestone 4 (Go-live + 90-day warranty/hypercare)	\$370,000 — invoiced March 5, 2024; payment due April 4, 2024; WITHHELD by Northstar as of July 2, 2024 — subject of Redline's counterclaim
Schedule "C" — Security & Privacy Requirements	Requires encryption at rest and in transit, role-based access controls, PIPEDA-compliant handling of personal information, annual penetration testing, and defined log-retention obligations
Change Control Protocol (Schedule C, s. 4)	Any material change to data architecture requires a written change order executed by each party's Designated Contact prior to implementation
Notice clause (s. 14.2)	Notice of a security incident or material defect must be given in writing to the other party's Designated Contact within a commercially reasonable time of discovery
Limitation of liability (s. 16)	Redline's aggregate liability is capped at the fees paid by Northstar in the twelve months preceding the claim, with a carve-out for gross negligence or wilful

Term	Provision
	misconduct. (This is a contractual damages cap — distinct from the statutory limitation period; see section 0.3.)
Indemnification (s. 17)	Redline shall indemnify and hold Northstar harmless from and against all third-party claims, losses, regulatory fines, and reasonable defence costs arising out of Redline's breach of the Agreement or negligent acts or omissions in performing the Services, provided Northstar gives Redline prompt written notice of any such claim and a reasonable opportunity to participate in its defence. The Agreement does not expressly state whether this indemnity is subject to the s. 16 liability cap — an unresolved interpretive question (see Issue 8 of the Issues & Legal Framework Matrix).
Interest on overdue amounts (s. 9.4)	Overdue invoiced amounts bear interest at 2% per month (24% per annum), calculated as simple interest (not compounded), from the payment due date until the date of payment.
Governing law	Province of Ontario

4. Undisputed Facts

- The Agreement was validly executed on January 15, 2023 and governs the NorthConnect engagement.
- NorthConnect launched to Northstar's client base on March 1, 2024.
- A database schema migration was implemented by Redline developer Tyler Fenwick on February 9, 2024 to support a document-upload feature for tax slips.
- No signed written change order for the February 9, 2024 migration exists in either party's records.
- On June 8–9, 2024, Northstar's internal security monitoring flagged anomalous after-hours API access patterns on the NorthConnect database.
- Priya Nathwani prepared internal notes dated June 10, 2024 identifying the February 9, 2024 migration as a likely cause of a storage misconfiguration.
- Marcus Oduya sent a written email to David Chen and Priya Nathwani on June 12, 2024 confirming that a Redline audit had identified incorrect storage permissions dating to February 9, 2024, and recommending immediate remediation.
- The misconfigured permissions were corrected on June 13, 2024.
- Northstar retained Ironwood Cyber Forensics Inc., which issued preliminary findings on June 20, 2024.
- Northstar notified approximately 12,000 NorthConnect users by mail on June 24, 2024 and reported the incident to the Office of the Privacy Commissioner of Canada the same day.
- Northstar withheld the \$370,000 Milestone 4 payment by written notice dated July 2, 2024.
- Northstar's counsel sent a demand letter to Redline on August 5, 2024; Redline's counsel responded on August 22, 2024 denying liability and demanding payment of the outstanding invoice.
- Northstar issued a Statement of Claim on October 7, 2024. Redline served a Statement of Defence and Counterclaim in November 2024.

5. Disputed Facts

- Whether the February 9, 2024 migration constituted a "material change to data architecture" requiring a signed change order under Schedule C, or a minor like-for-like schema extension that did not.
- Whether Marcus Oduya gave verbal approval for the migration during a February 8, 2024 status call with Priya Nathwani, as Redline alleges; Northstar has no corroborating record of approval being discussed on that call.
- Whether Northstar's June 10, 2024 internal notes reflect actionable knowledge of a confirmed, Redline-caused breach, or a preliminary, unconfirmed internal hypothesis — bearing on whether Northstar unreasonably delayed engaging Redline between June 10 and June 12.

- Whether the June 11, 2024 telephone call between Priya Nathwani (Northstar) and Marcus Oduya (Redline) constituted "notice" within the meaning of section 14.2 of the Agreement, which contemplates written notice.
- The true scope of client data exposure. Northstar's position is that, absent complete logs, it was obliged to treat the full active user base (approximately 12,000 accounts) as potentially affected. Redline's position is that the surviving access logs (available only from April 2024 onward, per the parties' log-retention practice) show a small number of external IP addresses matching the anomalous pattern, suggesting actual unauthorized access — if any occurred — was materially narrower.
- Whether Redline or Northstar bore responsibility for the gap in server access logs prior to April 2024, which prevents either party from conclusively establishing the scope of access during the February–April 2024 window.
- Whether Northstar's claimed reputational harm and client attrition (approximately 40 closed accounts, alleged lost annual advisory revenue of \$1,200,000) is causally connected to the incident or attributable to other market factors.
- Whether the limitation of liability clause in section 16 of the Agreement applies to, or is void as against, Northstar's claims in negligence and breach of confidence.

6. Alleged Losses (Northstar)

Head of damage	Amount	Status
Forensic investigation costs (Ironwood Cyber Forensics Inc.)	\$95,000	Documented by invoice
Client notification & call-centre surge staffing	\$140,000	Documented by invoice
Credit monitoring services offered to affected clients	\$310,000	Estimated / partially incurred
Regulatory response and compliance costs	\$65,000	Documented by invoice
Lost business / reputational harm (approx. 40 closed accounts)	\$1,200,000	Disputed — causation and quantum contested
SUBTOTAL — quantified economic losses	\$1,810,000	Sum of the five items above
General damages	Not yet quantified	To be pleaded; disputed; NOT included in the \$1,810,000 subtotal

The \$1,810,000 subtotal is the only presently quantified figure and is the amount every later document should treat as "Northstar's quantified economic losses." Northstar's overall claim is separately estimated at approximately \$2,100,000–\$2,300,000, arrived at by adding anticipated (but not yet quantified) general damages to the \$1,810,000 subtotal. This \$2.1–2.3 million range is an estimate only and must never be presented in any later document as an already-established or fully quantified damages figure — see section 0.4.

7. Redline's Counterclaim

- Outstanding Milestone 4 invoice: \$370,000, due April 4, 2024
- Contractual interest at 2% per month, calculated as simple interest (not compounded), on the overdue amount pursuant to section 9.4 of the Agreement, running from the payment due date of April 4, 2024
- Costs of the counterclaim

8. Causes of Action (Northstar's Claim)

- Breach of contract — failure to meet Schedule C security requirements
- Breach of contract — failure to follow the Change Control Protocol
- Negligence / concurrent tort liability in the design, testing, and deployment of NorthConnect
- Breach of confidence in respect of client personal and financial information

- Declaratory relief regarding Redline's indemnification obligations under section 17 of the Agreement

9. Defences (Redline)

- Denial that the February 9, 2024 migration required a signed change order; in the alternative, that verbal approval was obtained
- Denial of negligence; NorthConnect met the specifications and standard of care required under the Agreement
- Contributory negligence and failure to mitigate — Northstar's internal delay between June 8/9 and its June 11/12 engagement of Redline
- Contractual limitation OF LIABILITY (s. 16) caps any recoverable damages at fees paid in the preceding twelve months — a damages cap, not a limitation-period defence; no limitation-period defence is pleaded in this matter (see section 0.3)
- Denial of the scope of exposure pleaded by Northstar

10. Procedural History

Date	Step
August 5, 2024	Demand letter from Northstar's counsel
August 22, 2024	Response from Redline's counsel denying liability
September 2024	Without-prejudice settlement discussions; no resolution
October 7, 2024	Statement of Claim issued (Ontario Superior Court of Justice, Toronto)
November 5, 2024	Statement of Defence and Counterclaim served (DOC-015)
November 25, 2024	Reply and Defence to Counterclaim served (DOC-017)
[to follow]	Affidavits of Documents; Discovery; Motion; Pre-trial

11. Intended Contradictions (for AI evaluation design)

- Notice timing: the underlying sequence (June 8–9 detection → June 10 internal Northstar notes → June 11 phone call → June 12 Redline written email → June 13 remediation) is fixed and undisputed (see section 0.2). What remains disputed is the legal characterization of the June 11 call and whether Redline's June 12 email was the first notice of any kind or merely the first written notice.
- Scope of exposure: Northstar's precautionary "assume full exposure" position (~12,000 accounts) vs. Redline's log-based narrower estimate.
- Consent to the migration: Redline's account of verbal approval on the February 8, 2024 call vs. Northstar's absence of any corroborating record.
- Responsibility for the log-retention gap prior to April 2024, which is itself disputed and prevents either side from proving the full scope of access.
- Causal connection between the incident and Northstar's claimed client attrition and reputational damages.

12. Missing / Incomplete Evidence (by design)

- No signed change order for the February 9, 2024 migration exists in either party's document holdings.
- The February 8, 2024 call is not recorded; the only surviving record is a calendar invitation titled "Status Call" with no agenda or minutes.
- Complete server access logs exist only from April 2024 onward; logs for February–April 2024 were purged under the parties' (disputed) log-retention practice.

- Northstar's June 10, 2024 notes are personal working notes rather than a formal incident report, raising authentication and reliability questions if tendered in evidence.

LEXOCRATES SYNTHETIC LITIGATION DATASET

MASTER CHRONOLOGY

Case ID: LEX-ONT-COM-001
Case Name: Northstar Financial Group Inc. v. Redline Software Solutions Inc.
Court File No.: CV-24-00728415-0000
Jurisdiction: Ontario | Court: Ontario Superior Court of Justice | Region: Toronto
Practice Area: Commercial Litigation / Technology / Privacy
Difficulty Tier: Intermediate
Primary Issues: Breach of contract, professional negligence, breach of confidence, data exposure/privacy, damages & causation
Dataset Status: Stage 0 — Master Chronology
Version: 2.0 (Locked) — supersedes Version 1.0 in full

This document is the factual control layer for the synthetic litigation file. It records only what happened and who reported it — not legal argument. Where a later document (a pleading, affidavit, or factum) intentionally departs from or disputes an event recorded here, that discrepancy is an intentional evidentiary conflict engineered for AI evaluation, not an inconsistency to be silently corrected. Legal significance and issue-spotting are deliberately excluded from this document; see the closing note below regarding a possible separate analytical layer.

Document ID Legend

Every underlying document referenced in the "Related Document" column of the chronology below has a fixed ID. These IDs must be used consistently in every later document (Affidavits of Documents, exhibit books, discovery correspondence, factums).

ID	Document
DOC-001	Software Development and Client Portal License Agreement, incl. Schedule C, dated January 15, 2023
DOC-002	Milestone invoices and payment records (Milestones 1–4)
DOC-003	February 8, 2024 "Status Call" calendar invitation (no agenda or minutes survive)
DOC-004	February 9, 2024 migration records — Redline Jira ticket and internal Slack message
DOC-005	June 10, 2024 internal notes (Priya Nathwani)
DOC-006	June 11, 2024 call notes/log
DOC-007	June 12, 2024 email (Marcus Oduya to David Chen and Priya Nathwani)
DOC-008	Ironwood Cyber Forensics Inc. preliminary findings, June 20, 2024
DOC-009	Client notification letter, June 24, 2024

ID	Document
DOC-010	OPC breach report, June 24, 2024
DOC-011	Northstar written notice withholding Milestone 4 payment, July 2, 2024
DOC-012	Demand letter, Whitfield Burns LLP, August 5, 2024
DOC-013	Response letter, Prentice Okafor LLP, August 22, 2024
DOC-014	Statement of Claim, October 7, 2024
DOC-015	Statement of Defence and Counterclaim, November 2024
DOC-016	Northstar security monitoring alert logs, June 8, 2024
DOC-017	Reply and Defence to Counterclaim, November 25, 2024
DOC-018	Client account/revenue attrition records (compiled for litigation)
DOC-019	Milestone 3 (UAT) sign-off documentation
DOC-020	Redline post-April 2024 access log excerpt / technical diagnostic summary

Master Chronology

Date	Event	Source	Status	Dispute / Qualification	Related Doc.
Jan 15, 2023	Software Development and Client Portal License Agreement executed.	Both	Undisputed	—	DOC-001
Jan–Mar 2023	Design/discovery phase (Milestone 1).	Both	Undisputed	—	DOC-002
Mar 20, 2023	Milestone 1 payment of \$370,000 made to Redline.	Both	Undisputed	—	DOC-002
Apr–Aug 2023	Core build phase (Milestone 2).	Both	Undisputed	—	DOC-002
Aug 25, 2023	Milestone 2 payment of \$555,000 made to Redline.	Both	Undisputed	—	DOC-002
Sep 2023–Jan 2024	UAT/testing phase (Milestone 3); defects logged and resolved in the ordinary course.	Both	Undisputed	—	DOC-002
Jan 30, 2024	Milestone 3 payment of \$555,000 made to Redline.	Both	Undisputed	—	DOC-002

Date	Event	Source	Status	Dispute / Qualification	Related Doc.
Feb 8, 2024	Status call concerning a proposed database schema migration, between Priya Nathwani (Northstar, Director, Information Technology) and Marcus Oduya (Redline, Senior Project Manager).	Redline / Northstar	Disputed	Redline says verbal approval for the migration was given on this call; Northstar has no record the migration was discussed and denies approval was given.	DOC-003
Feb 9, 2024	Database schema migration implemented by Tyler Fenwick (Redline, junior developer) to support a document-upload feature for tax slips. No signed change order exists for this migration.	Redline	Partially disputed	That no signed change order exists is undisputed. Whether the migration was a "material change to data architecture" requiring one under Schedule C, s. 4, is disputed.	DOC-004
Mar 1, 2024	NorthConnect launches to Northstar's client base (approx. 14,000 registered accounts).	Both	Undisputed	—	DOC-001
Mar 5, 2024	Redline invoices Milestone 4 (\$370,000).	Redline	Undisputed	—	DOC-002
Apr 4, 2024	Milestone 4 invoice became due under the Agreement's net-30 payment terms. No payment had been made as of the due date.	Redline	Undisputed	The due date and non-payment as of that date are undisputed. The justification for later non-payment is a separate, disputed matter — see July 2, 2024, below.	DOC-002
Jun 8, 2024	Northstar's internal security monitoring detects anomalous after-hours API access patterns on the NorthConnect database.	Northstar	Undisputed	—	DOC-016
Jun 9, 2024	Priya Nathwani begins internal investigation into the anomaly.	Northstar	Undisputed	—	—
Jun 10, 2024	Internal note records a preliminary conclusion that a storage bucket "may have been externally accessible since go-live" and identifies the Feb 9, 2024 migration as the likely cause.	Northstar	Disputed characterization	Whether this reflects confirmed knowledge of a Redline-caused breach or only a preliminary, unconfirmed internal hypothesis — bears on the knowledge-date, notice, and mitigation issues. This is NOT notice to Redline.	DOC-005
Jun 11, 2024	Telephone call between Priya Nathwani (Northstar) and Marcus Oduya (Redline) regarding the February 9 update and storage configuration.	Both	Disputed	Whether this call constituted "notice" within the meaning of the Agreement. Contract provision potentially engaged: Agreement, s. 14.2 (notice of a security incident or material defect must be given in writing within a commercially reasonable time of discovery). Both parties maintain contemporaneous records of this call (DOC-006), but characterize its significance differently.	DOC-006
Jun 12, 2024	KEY EVIDENCE / KNOWLEDGE DATE — Marcus Oduya sends a written email to David Chen and Priya Nathwani confirming	Redline	Disputed characterization	Redline treats this as its first proper written notice. Northstar's position is that this follows from, and does not supersede, the June 11 call. Potentially	DOC-007

Date	Event	Source	Status	Dispute / Qualification	Related Doc.
	Redline's audit findings: incorrect storage permissions dating to Feb 9, 2024, with a recommendation for immediate remediation.			central to notice, knowledge/discoverability, breach, negligence, causation, mitigation, and credibility issues.	
Jun 13, 2024	Misconfigured permissions corrected; joint technical call held between the parties.	Both	Undisputed	—	—
Jun 14–19, 2024	Joint forensic investigation period; Northstar retains Ironwood Cyber Forensics Inc.	Both	Undisputed	—	—
Jun 20, 2024	Ironwood issues preliminary findings: potential exposure window of Feb 9–Jun 13, 2024; complete access logs unavailable before April 2024.	Ironwood (retained by Northstar)	Partially disputed	The exposure window and log gap are as reported by Ironwood. The parties dispute who bears responsibility for the log gap and what it implies about actual, as opposed to merely potential, access.	DOC-008
Jun 24, 2024	Northstar mails notice to approximately 12,000 NorthConnect users and reports the incident to the Office of the Privacy Commissioner of Canada under PIPEDA.	Northstar	Undisputed / Disputed	That notification occurred is undisputed. Whether notifying the full user base was necessary or appropriate, given the disputed scope of actual exposure, is disputed.	DOC-009 / DOC-010
Jun 24–Aug 2024	Northstar incurs forensic, notification, call-centre, and credit-monitoring costs; alleges client attrition of approximately 40 accounts.	Northstar	Disputed	Quantum is documented by invoice for most heads of cost. Causation and quantum of alleged lost business/reputational harm (\$1,200,000) are disputed.	—
Jul 2, 2024	Northstar's in-house General Counsel gives written notice withholding the \$370,000 Milestone 4 payment.	Northstar	Undisputed / Disputed	That notice was given is undisputed. The underlying justification for withholding payment is disputed.	DOC-011
Aug 5, 2024	Demand letter sent by Whitfield Burns LLP alleging breach of contract, negligence, and breach of confidence; damages claimed in excess of \$2.1 million.	Northstar	Undisputed / Disputed	That the letter was sent, and its contents, are undisputed as a fact. The allegations within it are Northstar's position, not agreed fact.	DOC-012
Aug 22, 2024	Response from Prentice Okafor LLP denying liability, asserting contributory negligence/failure to mitigate, disputing scope of exposure, relying on the limitation of liability clause, and demanding payment of the outstanding invoice plus interest.	Redline	Undisputed / Disputed	That the letter was sent, and its contents, are undisputed as a fact. The allegations within it are Redline's position, not agreed fact.	DOC-013
Sep 2024	Without-prejudice settlement discussions take place; no resolution reached.	Both	Undisputed	—	—
Oct 7, 2024	Northstar issues Statement of Claim in the Ontario Superior Court of Justice (Toronto Region).	Northstar	Undisputed	—	DOC-014

Date	Event	Source	Status	Dispute / Qualification	Related Doc.
Nov 5, 2024	Redline serves Statement of Defence and Counterclaim.	Redline	Undisputed	—	DOC-015
Nov 25, 2024	Northstar serves Reply and Defence to Counterclaim.	Northstar	Undisputed	—	DOC-017

Case Participants / Entity Register

These identities are locked for the entire matter. No later document may alter, reverse, or reuse these names for different roles.

Corporate Parties

Entity	Type	Jurisdiction	Role
Northstar Financial Group Inc. ("Northstar")	Ontario-incorporated wealth management and financial advisory firm, headquartered in Toronto	Business Corporations Act (Ontario); incorporated 2004	Plaintiff / Defendant by Counterclaim
Redline Software Solutions Inc. ("Redline")	Ontario-incorporated custom software development and IT consulting firm, headquartered in Toronto with a satellite office in Waterloo, Ontario	Business Corporations Act (Ontario); incorporated 2011	Defendant / Plaintiff by Counterclaim
Ironwood Cyber Forensics Inc.	Independent forensic investigation firm	Retained by Northstar, June 2024	Non-party — forensic investigator

Individuals

Name	Employer / Affiliation	Position	Locked Role in the Narrative
Priya Nathwani	Northstar	Director, Information Technology; Northstar's Designated Contact under the Agreement	Discovered and internally escalated the June 8–10, 2024 anomaly; author of the June 10, 2024 internal notes; alleged (by Redline) recipient of verbal migration approval on the Feb 8, 2024 call
David Chen	Northstar	Chief Operating Officer	Signing authority on the Agreement; recipient (with Priya Nathwani) of the June 12, 2024 email
Sarah Mackenzie	Northstar	General Counsel (in-house)	Authorized the July 2, 2024 payment-withholding notice and the August 5, 2024 demand letter; oversaw OPC notification
Marcus Oduya	Redline	Senior Project Manager, NorthConnect engagement; Redline's Designated Contact under the Agreement	Alleged (by Redline) to have given verbal migration approval on the Feb 8, 2024 call; author of the June 12, 2024 email
Tyler Fenwick	Redline	Junior developer	Implemented the February 9, 2024 database schema migration
Jonathan Reyes	Redline	Chief Technology Officer	Signing authority on the Agreement

Name	Employer / Affiliation	Position	Locked Role in the Narrative
Alison Whitfield	Whitfield Burns LLP	External litigation counsel	Acts for Northstar
Daniel Okafor	Prentice Okafor LLP	External litigation counsel	Acts for Redline

Anticipated Future Stages (Not Yet Particularized)

The matter is presently at the close of pleadings. The categories below indicate the shape the remainder of the litigation lifecycle is expected to take. Consistent with the case-control principle that later documents should be built organically rather than invented wholesale in advance, no specific dates, outcomes, or particulars are fixed here — each category will be dated and detailed as the corresponding stage of the file is built, and this chronology will be extended accordingly at that time.

Stage	Anticipated Contents
Pleadings (remaining)	Any amendments to pleadings, if sought (pleadings otherwise closed as of November 25, 2024)
Documentary discovery	Affidavits of Documents (Plaintiff and Defendant); document production; undertakings; refusals; supplementary production
Examinations for discovery	Examination of Northstar's representative; examination of Redline's representative; disputed questions; undertakings; refusals
Motions	Anticipated procedural motion(s) — e.g., production, particulars, or privilege dispute; possible summary judgment or other dispositive motion
Expert evidence	Expert retainer(s); report(s) served; responding report(s); areas of expert disagreement
Settlement / mediation	Settlement offer(s); mediation; mediation outcome; possible Rule 49 offer to settle
Trial preparation	Trial management conference; witness list; expert list; agreed statement of facts (to the extent achievable); trial record
Trial / disposition	Trial; judgment; costs; appeal, if any

Note on Legal Significance

This chronology deliberately does not include a "legal significance" or "issues implicated" column. Mixing legal conclusions into the factual control layer risks turning it into an advocacy document and makes it harder to detect when a later pleading or factum has drifted from the underlying facts. If a separate analytical view is needed — for example, to map each dated event to the issues it potentially engages (notice, discoverability, causation, mitigation, credibility, and so on) — that should be built as a distinct "Chronology — Litigation Analysis Layer" document, cross-referenced to the dates and Document IDs used here, rather than layered into this one.

LEXOCRATES SYNTHETIC LITIGATION DATASET

ISSUES & LEGAL FRAMEWORK MATRIX

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No.: CV-24-00728415-0000

Ontario Superior Court of Justice — Toronto Region

Document Type: Stage 0 — Case Control (Hidden Evaluation Layer)

Status: LOCKED — Revision 4 (supersedes Revision 3 in full)

Twelve legal issues arising on these facts (Issue 5 is split into two related but doctrinally distinct sub-issues). Issue 11 was added after the close of pleadings, when the Statement of Defence and Counterclaim and the Reply and Defence to Counterclaim surfaced the set-off dispute. Each issue below sets out the parties' positions, governing legal framework, the source document(s) the eventual litigation file must contain to support the issue, and unresolved questions. Authorities cited are real Canadian decisions and statutes selected for their genuine relevance; this document does not purport to be an exhaustive research memorandum (see Document 31, Legal Research Memorandum, for fuller treatment).

Issue 1: Breach of Contract — Security Requirements (Schedule C)

Northstar's position: Redline breached the express security requirements in Schedule C — including access-control and log-retention obligations — by delivering and maintaining a platform with a storage misconfiguration exploitable from go-live.

Redline's position: The delivered platform met Schedule C at each milestone sign-off, including UAT sign-off in January 2024; the misconfiguration arose from a discrete later change (the Feb 9, 2024 migration), not from deficiencies in the accepted work product.

Governing framework: Common law of contract (Ontario). No statute displaces ordinary contract principles for this B2B services agreement.

Legal test: Ordinary contractual interpretation of Schedule C's requirements, assessed against the factual matrix, to determine whether performance conformed to the express terms as of the relevant milestone dates and as of go-live.

Key authorities: *Sattva Capital Corp. v. Creston Moly Corp.*, 2014 SCC 53 (contractual interpretation as an exercise informed by the surrounding factual matrix).

Source document(s) required: Agreement, incl. Schedule C (DOC-001); Milestone 3 UAT sign-off records (part of DOC-002); Ironwood preliminary findings (DOC-008).

Unresolved question: Whether Schedule C compliance was a continuing warranty through the 90-day hypercare period or a point-in-time obligation tested only at milestone sign-off.

Issue 2: Breach of Contract — Change Control Protocol

Northstar's position: The Feb 9, 2024 migration was a material change to data architecture requiring a signed change order under Schedule C, s. 4. None was obtained. The migration, and the resulting misconfiguration, is itself a breach of the Change Control Protocol.

Redline's position: The schema extension was a minor, like-for-like addition falling below the materiality threshold in s. 4; in any event, verbal approval was obtained from Priya Nathwani on the Feb 8, 2024 status call.

Governing framework: Common law of contract; principles of contractual variation and waiver.

Legal test: (1) Interpretation of "material change to data architecture" under s. 4; (2) whether an oral communication can satisfy or waive a contractual written-form requirement — requiring proof of full knowledge of the right being waived and an unequivocal intention to relinquish it.

Key authorities: *Saskatchewan River Bungalows Ltd. v. Maritime Life Assurance Co.*, [1994] 2 SCR 490 (waiver requires full knowledge and unequivocal intention).

Source document(s) required: Agreement, s. 4 (DOC-001); Feb 8, 2024 call record (DOC-003); Feb 9, 2024 migration/technical record (DOC-004).

Unresolved question: Whether the Feb 8 call, even if it occurred and covered the migration, could constitute a valid waiver absent any Northstar record corroborating an unequivocal intention to dispense with the written change-order requirement.

Issue 3: Negligence / Concurrent Tort Liability

Note on terminology: This issue is deliberately NOT labelled "professional negligence." Redline is a commercial software vendor, not a member of a regulated profession, so the applicable doctrine is ordinary negligence pursued concurrently with the contract claim, not a professional-negligence standard tied to licensure. The substantive standard of care analysis is unaffected by this relabelling.

Northstar's position: Redline owed a duty of care concurrent with its contractual obligations in the design, testing, and deployment of the platform, and breached the standard of care by failing to apply secure-by-default configuration practices to the Feb 9 migration.

Redline's position: No freestanding tortious duty arises where the relationship is comprehensively defined by a detailed commercial contract; alternatively, any tort duty is no broader in scope than the contractual security obligations, which were met.

Governing framework: Common law negligence; concurrent liability doctrine.

Legal test: Duty of care/proximity within the concurrent liability framework; standard of care of a reasonably competent software developer/IT consultant in like circumstances; scope-of-duty analysis.

Key authorities: BG Checo International Ltd. v. British Columbia Hydro and Power Authority, [1993] 1 SCR 12 (concurrent liability in contract and tort); Central Trust Co. v. Rafuse, [1986] 2 SCR 147 (tort claim available notwithstanding a governing contract); Ryan v. Victoria (City), [1999] 1 SCR 201 (standard of care generally); Deloitte & Touche v. Livent Inc. (Receiver of), 2017 SCC 63 (scope-of-duty analysis).

Source document(s) required: Technical/build records and Jira history (part of DOC-004); Ironwood forensic report (DOC-008); expert report on secure-configuration practice (anticipated — Stage 6).

Unresolved question: Whether the scope of any tortious duty, and Redline's exposure in tort, is limited by the s. 16 limitation of liability clause.

Issue 4: Breach of Confidence

Framing note: This issue must remain genuinely contested. The three-part test below is the analytical framework the parties will argue over — it is not pre-resolved in Northstar's favour by its inclusion here. Redline's position specifically challenges whether the third element can be met on facts involving unintentional exposure rather than affirmative use.

Northstar's position: Client financial and personal information was confidential information imparted to Redline in circumstances of confidence for the engagement's purposes. The misconfiguration permitted unauthorized third-party access to that information, which Northstar pleads as "unauthorized use" within the meaning of the test — Redline's control over the data, and its failure to safeguard it, is itself the relevant use.

Redline's position: Mere accidental, unintended exposure resulting from a configuration error is not "use" of confidential information by Redline; Redline itself never accessed, viewed, disclosed, or exploited any client data. Absent an affirmative act of use, the claim sounds only in contract or negligence, not equitable breach of confidence.

Governing framework: Common law/equitable doctrine of breach of confidence.

Legal test: Three-part test: (1) the information had the necessary quality of confidence; (2) it was imparted in circumstances importing an obligation of confidence; (3) there was unauthorized use of it to the detriment of the party communicating it.

Key authorities: Lac Minerals Ltd. v. International Corona Resources Ltd., [1989] 2 SCR 574.

Evidence likely required on both sides:

- Expert evidence on the nature and mechanics of the storage misconfiguration (was the data merely exposed, or was it actually accessed/retrieved by a third party?)

- Server access logs and forensic evidence bearing on whether any third party in fact accessed the exposed data (subject to the log-retention gap — see Issue 9's evidence plan and Document 4)
- Evidence as to whether any Redline personnel accessed client data during the exposure window
- Evidence of the scope and duration of third-party accessibility, as distinct from proof of actual access

Source document(s) required: Agreement confidentiality provisions (DOC-001); Ironwood forensic report (DOC-008); server access logs to the extent they exist (post-April 2024 only); expert report (anticipated — Stage 6).

Unresolved question: Whether an unintentional misconfiguration that merely permitted third-party access — as opposed to an affirmative act of use by Redline itself, or proven actual third-party access — can satisfy the third element of the test. This is left open deliberately and should be argued both ways in the eventual pleadings and factums.

Issue 5A: Failure to Mitigate (Contract Doctrine)

Redline's position: Northstar's delay between internal detection on June 8/9 and formal engagement of Redline on June 11/12 was an unreasonable failure to take available steps to reduce the scope and cost of its own loss, and any resulting increase in damages is not recoverable.

Northstar's position: It acted reasonably and expeditiously; the June 10 notes reflect an unconfirmed internal hypothesis that could not reasonably have been escalated as a confirmed vendor-caused breach until further verification; the June 11 call was, in substance, prompt engagement.

Governing framework: Common law duty to mitigate damages in contract.

Legal test: Whether a reasonable plaintiff in Northstar's position would have acted differently to avoid or reduce its loss once it knew, or ought reasonably to have known, of the issue. The burden of proving a failure to mitigate, and the resulting increase in loss, rests on Redline as the party asserting it.

Key authorities: Southcott Estates Inc. v. Toronto Catholic District School Board, 2012 SCC 51 (duty to mitigate).

Source document(s) required: Chronology (Document 2); internal Northstar communications (DOC-005, DOC-006); Ironwood forensic report (DOC-008).

Unresolved question: The precise point at which Northstar's internal knowledge became sufficient to trigger a duty to escalate to Redline, and what additional loss (if any) is attributable to the June 10–12 interval specifically.

Issue 5B: Contributory Negligence (Tort Doctrine)

Redline's position: To the extent Northstar's claim sounds in tort (Issue 3), Northstar's own conduct — including its delay in escalating the anomaly and, potentially, its own role in the server log-retention gap — contributed to its damages and should result in an apportionment of fault under the Negligence Act.

Northstar's position: Denies any fault of its own contributed to its loss; any delay was reasonable investigative conduct, not negligent, and responsibility for the log-retention gap is itself disputed (see Document 4, Evidence & Contradiction Matrix).

Governing framework: Negligence Act, R.S.O. 1990, c. N.1 (apportionment of damages where the fault of more than one party contributes to the same loss).

Legal test: Whether Northstar breached a standard of care that contributed to its own loss, and if so, apportionment of fault between the parties. A threshold question is whether contributory negligence is available at all against claims framed purely in contract (Issues 1–2), as distinct from the concurrent tort claim (Issue 3).

Key authorities: Negligence Act, R.S.O. 1990, c. N.1; Giffels Associates Ltd. v. Eastern Construction Co. Ltd., [1978] 2 SCR 1346 (contributory negligence is generally not a defence to a claim framed exclusively in contract, absent a concurrent duty in tort).

Source document(s) required: Chronology (Document 2); internal Northstar communications (DOC-005, DOC-006); Northstar's internal log-retention policy documents (not yet assigned a Document ID — to be produced at Stage 3).

Unresolved question: Whether contributory negligence can be pleaded against Northstar's contract claims at all, given Giffels, or only against the concurrent negligence claim in Issue 3 — and, separately, whether responsibility for the log-retention gap is properly characterized as contributory fault or as a separate causation problem.

Issue 6: Enforceability of the Limitation of Liability Clause (s. 16)

Redline's position: Section 16 caps liability at fees paid in the preceding 12 months (\$925,000, being Milestones 3 and 4), applying to bar recovery beyond that amount, including in tort, absent gross negligence or wilful misconduct.

Northstar's position: The clause does not extend to its breach of confidence and negligence claims on its proper interpretation, and/or Redline's conduct in bypassing change control amounts to gross negligence within the carve-out.

Governing framework: Common law; no consumer-protection statute applies to this B2B contract.

Legal test:

- The three-step Tercon framework:
- (1) does the clause, on its proper interpretation, apply to the circumstances;
- (2) was the clause unconscionable at the time the contract was made;
- (3) is there an overriding public policy reason not to enforce it — together with the elevated threshold for "gross negligence" (a marked and substantial departure from the standard of a reasonable person).

Key authorities: Tercon Contractors Ltd. v. British Columbia (Transportation and Highways), 2010 SCC 4; Fraser Jewellers (1982) Ltd. v. Dominion Electric Protection Co. (1997), 34 OR (3d) 1 (CA); Hunter Engineering Co. v. Syncrude Canada Ltd., [1989] 1 SCR 426 (contractual exclusion and limitation clauses are interpreted according to their terms; fundamental breach does not automatically invalidate an exclusion clause).

Source document(s) required: Agreement, s. 16 (DOC-001).

Unresolved question: Whether bypassing the Change Control Protocol, without more, could meet the high bar for gross negligence.

Drafting note carried to Stage 1: The Agreement itself must contain an express "absent gross negligence or wilful misconduct" carve-out in s. 16. Every argument in this issue depends on that carve-out actually existing in the contract text — it must not be introduced for the first time in a pleading or factum.

Issue 7: Adequacy of Notice (s. 14.2)

Northstar's position: The June 11 call and June 12 email together satisfied any applicable notice obligations; in any event s. 14.2 governs notice between the parties and does not condition Northstar's right to sue.

Redline's position: Redline's June 12 written email was prompt and fully compliant with s. 14.2 once it had actionable information; the June 11 call was not written notice and cannot be relied on by Northstar as satisfying s. 14.2.

Governing framework: Common law of contract interpretation.

Legal test: Interpretation of the "written notice" and "commercially reasonable time" standards in s. 14.2.

Key authorities: Sattva Capital Corp. v. Creston Moly Corp., 2014 SCC 53.

Source document(s) required: Agreement, s. 14.2 (DOC-001); June 11, 2024 call record (DOC-006); June 12, 2024 email (DOC-007).

Unresolved question: Whether s. 14.2, as drafted, imposes a freestanding notice obligation on Northstar as client at all, or only on Redline as vendor — a genuine drafting ambiguity in the Agreement.

Drafting note carried to Stage 1: This ambiguity must originate in the actual text of s. 14.2 when the Agreement is drafted — the clause's wording must genuinely support both a "vendor-only" and a "mutual" reading. The pleadings should then argue competing interpretations of that existing ambiguous text; the ambiguity must not be manufactured only in the legal submissions.

Issue 8: Declaratory Relief — Indemnification (s. 17)

Northstar's position: Seeks a declaration that Redline must indemnify Northstar under s. 17 specifically for the categories of loss Northstar characterizes as third-party-claim-exposure and regulatory-response costs — namely the forensic investigation costs (\$95,000), client notification costs (\$140,000), credit monitoring costs (\$310,000), and regulatory response/compliance costs (\$65,000). Northstar pleads its lost-business-revenue claim (\$1,200,000) separately, as direct contractual and tort damages, not as a cost falling within the s. 17 indemnity.

Redline's position: Disputes that s. 17 extends to costs Northstar incurred responding to its own regulatory obligations and to its own clients, as opposed to amounts actually paid to third-party claimants; further says indemnification under s. 17 is subject to the s. 16 liability cap and/or requires a prior finding of Redline fault, neither of which is established.

Governing framework: Common law of contract interpretation; contra proferentem principles.

Legal test: Interpretation of the indemnity clause's scope (including whether it is confined to sums paid to actual third-party claimants) and its interaction with the limitation of liability clause.

Key authorities: Bow Valley Husky (Bermuda) Ltd. v. Saint John Shipbuilding Ltd., [1997] 3 SCR 1210 (interaction of indemnity and exclusion clauses); Sattva Capital Corp. v. Creston Moly Corp., 2014 SCC 53.

Source document(s) required: Agreement, s. 17 (DOC-001); invoices and cost records for the forensic, notification, credit-monitoring, and regulatory-response heads (to be compiled in the Document Production Bundle, Stage 3).

Unresolved question: Whether the indemnity is capped by s. 16 and whether it extends to Northstar's own first-party response costs, or only to sums paid to actual third-party claimants and regulators — the Agreement does not expressly address either question.

Drafting note carried to Stage 1: Section 17's text should be broad enough, and silent enough on both the s. 16 interaction and the first-party/third-party-cost distinction, that reasonable arguments exist on both sides of this issue.

Issue 9: Causation and Quantum of Reputational / Business Loss

Northstar's position: Approximately 40 client account closures and \$1,200,000 in alleged lost annual advisory revenue are directly attributable to the incident and the resulting client notification.

Redline's position: Causation is speculative; wealth-management client attrition has multiple plausible causes (market conditions, competitor offers, advisor departures); reputational damages of this character are inherently difficult to establish with the necessary certainty.

Governing framework: Common law damages principles (contract and tort).

Legal test: "But for" causation and remoteness — the contemplation-of-the-parties test in contract, and reasonable foreseeability in tort — with loss required to be proven on a balance of probabilities, though quantification of proven loss may proceed on a reasonable-approximation basis.

Key authorities: Hadley v. Baxendale (1854), 9 Ex 341 (remoteness in contract); Mustapha v. Culligan of Canada Ltd., 2008 SCC 27 (reasonable foreseeability in tort); Southcott Estates Inc. v. Toronto Catholic District School Board, 2012 SCC 51.

Evidence plan — what Northstar will need to prove the \$1.2M loss:

- Client account records showing the approximately 40 closures, with account-opening/closure dates
- Historical revenue records for the closed accounts (to establish the annual advisory revenue figure)
- Historical client-attrition data for a comparator period (e.g., the 12–24 months preceding the incident) to isolate incident-caused attrition from ordinary-course attrition
- Client communications (e.g., closure correspondence or exit surveys) evidencing the stated reason for closure
- Evidence of any competing causes raised by Redline (e.g., market conditions, advisor departures) during the same period
- Expert quantum evidence synthesizing the above into a causation and damages opinion (anticipated — Stage 6)

Source document(s) required: Client account and revenue records; historical attrition data; client communications; expert report (anticipated — Stage 6).

Unresolved question: Whether Northstar can isolate incident-caused attrition from ordinary-course attrition absent an exchanged expert report.

Issue 10: Limitation Period / Discoverability

Both parties' position: The claims arising from the June 2024 security incident were discovered no later than June 2024. The action was commenced on October 7, 2024, within the two-year limitation period. This should not be read as the parties agreeing on a single, precise discovery date — the chronology contains several candidate knowledge dates

(June 8, 10, 11, 12, 20, and 24, 2024; see Document 2, Master Chronology) — only that, on any of those candidate dates, the claim was timely commenced.

Governing framework: Limitations Act, 2002, S.O. 2002, c. 24, Sched. B, ss. 4–5.

Legal test: Discoverability — a claim is presumed discovered on the date the act or omission occurred unless the plaintiff proves later discovery under s. 5.

Key authorities: Limitations Act, 2002, S.O. 2002, c. 24, Sched. B; Central Trust Co. v. Rafuse, [1986] 2 SCR 147 (discoverability principle).

Source document(s) required: Master Chronology (Document 2); Statement of Claim (DOC-014); Statement of Defence (DOC-015).

Unresolved question: None substantively — this issue is included by design to test whether an AI system correctly identifies the claim as timely on any of the candidate discovery dates, rather than manufacturing a limitation-period defence that does not exist on these facts.

Issue 11: Milestone 4 Set-Off and Right to Withhold Payment

Framing note: This issue was surfaced by the pleadings themselves (Statement of Defence and Counterclaim, Part II; Reply and Defence to Counterclaim, Part II) rather than being anticipated in the original Stage 0 design. It is added here to keep the control layer complete now that the pleadings raise it.

Northstar's position: Northstar is entitled to withhold and set off payment of the Milestone 4 invoice against its damages claim, on the basis that Redline's breaches of the Agreement arise from the same transaction as, and are directly connected to, the Services for which the Milestone 4 invoice was issued. In the further alternative, Northstar pleads that the Software as delivered at Milestone 4 did not conform to the requirements of Schedule C, such that Redline is not entitled to payment in full regardless of any set-off analysis.

Redline's position: Redline pleads that it is entitled to payment of the Milestone 4 invoice regardless of the outcome of Northstar's claim, as the invoice reflects fees earned for Services properly performed and accepted by Northstar. Redline's position (Statement of Defence, para. 13) is that the Software met Schedule C's requirements at each Milestone sign-off, including Milestone 3 (UAT), which bears directly on whether Milestone 4 also conformed.

Governing framework: Common law and equitable doctrines of set-off. Legal set-off requires mutual, liquidated, presently-due debts. Equitable set-off requires a sufficiently close connection between the cross-claims, even where one side's claim is unliquidated. The Agreement itself contains no express contractual set-off or withholding clause, which is itself relevant to the analysis.

Legal test: Whether Northstar's damages claim and Redline's Milestone 4 claim arise out of the same contract and are sufficiently closely connected that it would be unjust to allow Redline to enforce payment without regard to Northstar's cross-claim (equitable set-off); and, separately and independently, whether Milestone 4 was properly accepted in accordance with Schedule C such that the invoice was validly earned in the first place.

Key authorities: Telford v. Holt, [1987] 2 SCR 193 (equitable set-off — requires a sufficiently close connection between the claims); Ciba Industries Ltd. v. Millie's Holdings (Canada) Ltd. (1985), 20 DLR (4th) 689 (BCCA) (elements of equitable set-off, widely cited in Ontario).

Source document(s) required: Agreement, incl. Schedule B and Schedule C (DOC-001); Milestone 4 launch/acceptance records (DOC-002); July 2, 2024 withholding letter (DOC-011); Statement of Claim (DOC-014); Statement of Defence and Counterclaim (DOC-015); Reply and Defence to Counterclaim (DOC-017).

Unresolved question: Whether Milestone 4 was, in fact, properly accepted notwithstanding the later-discovered Misconfiguration — a factual question distinct from, but related to, Issue 1's question of whether Schedule C compliance was a continuing warranty or a point-in-time obligation.

Source Document Cross-Reference (Consolidated)

Quick-reference summary of the table above, keyed to the Document IDs established in Document 2 (Master Chronology) where a document already has one assigned.

Issue	Source Document(s) Required
1 — Security requirements	Agreement, Schedule C (DOC-001); Milestone 3 UAT sign-off (DOC-002); Ironwood report (DOC-008)
2 — Change control	Agreement s. 4 (DOC-001); Feb 8 call record (DOC-003); Feb 9 migration record (DOC-004)
3 — Negligence / concurrent tort	Technical/build records (DOC-004); Ironwood report (DOC-008); expert report (Stage 6)
4 — Breach of confidence	Agreement confidentiality terms (DOC-001); Ironwood report (DOC-008); access logs; expert report (Stage 6)
5A — Failure to mitigate	Chronology (Doc. 2); DOC-005, DOC-006; Ironwood report (DOC-008)
5B — Contributory negligence	Chronology (Doc. 2); DOC-005, DOC-006; log-retention policy (Stage 3)
6 — Liability cap	Agreement, s. 16 (DOC-001)
7 — Notice	Agreement, s. 14.2 (DOC-001); DOC-006; DOC-007
8 — Indemnity	Agreement, s. 17 (DOC-001); cost records (Stage 3)
9 — Quantum / causation	Client & revenue records; attrition data; expert report (Stage 6)
10 — Limitation / discoverability	Chronology (Doc. 2); DOC-014; DOC-015
11 — Milestone 4 set-off	Agreement Sched. B/C (DOC-001); DOC-002; DOC-011; DOC-014; DOC-015; DOC-017

LEXOCRATES SYNTHETIC LITIGATION DATASET

EVIDENCE & CONTRADICTION MATRIX

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No.: CV-24-00728415-0000

Ontario Superior Court of Justice — Toronto Region

Document Type: Stage 0 — Case Control (Hidden Evaluation Layer)

Status: LOCKED — Revision 2 (supersedes Revision 1 in full)

This matrix records the factual contradictions and evidentiary gaps that were deliberately designed into the record. It is used to validate that every later document (pleadings, affidavits, correspondence, discovery materials, exhibits, expert reports) faithfully reflects the intended dispute, and to build the AI Evaluation Question Bank (Document 39) and Ground-Truth Answer Key (Document 40). This document must not be disclosed to any AI system being evaluated on this matter.

0. Locked Sequence — June 10 / 11 / 12 (Do Not Collapse)

These three dates must remain factually and legally distinct in every document generated for this matter (see Document 1, s. 0.2, and Document 2, Master Chronology). No later affidavit, pleading, or exhibit may collapse this sequence into a single fact such as "Northstar knew on June 10" or "Redline first learned on June 11."

- June 10, 2024 — Northstar's purely internal, preliminary suspicion that the Feb 9 migration may be the cause of a storage misconfiguration (Priya Nathwani's notes). This is not notice to Redline and must never be treated as such.
- June 11, 2024 — A telephone call between the parties whose character is disputed. The open question splits into two distinct sub-questions that must be kept separate: (a) what did Northstar know and communicate as of this call, and (b) what did Redline understand or receive as of this call. These are not necessarily the same question, and later documents should not assume they resolve together.
- June 12, 2024 — Redline's written email confirming its own audit findings. Undisputed that this document exists and was sent. Disputed whether it constitutes the first notice of any kind, as opposed to merely the first written notice (following the June 11 call).

1. Core Contradictions

The "Status" column uses a precise classification rather than a generic "disputed" label, so later documents preserve the correct kind of dispute: Fact undisputed / characterization disputed; Occurrence disputed; Knowledge disputed; Quantum disputed; or Unresolved (evidentiary gap).

Issue	Northstar's Account	Redline's Account	Status
Notice sequence (June 10–12)	The three-stage sequence itself (internal suspicion on June 10, disputed call on June 11, Redline's written email on June 12) is fixed — see section 0. Northstar's position is that its own escalation timeline was reasonable throughout.	Redline does not dispute the three-stage sequence as a matter of dates, but treats June 12 as the operative date on which it first had actionable information.	Fact undisputed / characterization disputed

Issue	Northstar's Account	Redline's Account	Status
Character of the June 11 call	The call was informal and preliminary; it did not constitute the formal written notice contemplated by Agreement s. 14.2. What Northstar itself understood or communicated as of June 11 is a separate question from what Redline received.	The call triggered Redline's internal audit and is relevant to when Redline first received notice of a possible issue, even though Redline maintains its own June 12 email was the operative written notice.	Knowledge disputed
Scope of data exposure (quantum)	Approx. 12,000 active NorthConnect accounts treated as potentially exposed on a precautionary basis, given incomplete logs.	Surviving access logs (April 2024 onward only) show a small number of external IP addresses matching the anomalous pattern; actual unauthorized access, if any, was materially narrower than 12,000 accounts.	Quantum disputed / Unresolved (evidentiary gap)
Exposure vs. actual access (categorical distinction)	Public/external accessibility of client data is itself a material privacy and security incident, regardless of whether any specific record is confirmed to have been viewed or downloaded by an unauthorized party. The potential exposure of the full active user base is the actionable harm Northstar relies on.	Technical accessibility does not establish that any unauthorized person actually accessed, viewed, or downloaded the data. Liability and damages should turn on proven actual access, not mere theoretical accessibility.	Unresolved — distinct from, and narrower than, the quantum dispute above; bears directly on Document 3, Issues 4 and 9
Consent to Feb 9 migration	No written change order exists; no Northstar record corroborates that the migration or its scope was discussed on the Feb 8 call.	Verbal approval obtained from Priya Nathwani during the Feb 8, 2024 status call.	Occurrence disputed
Responsibility for log-retention gap	Attributes the gap in logs prior to April 2024 to Redline's platform configuration and log-retention implementation under Schedule C.	Attributes the gap to Northstar's own IT retention policy, which Redline says it did not control post-deployment.	Occurrence disputed / Unresolved (evidentiary gap)
Materiality of the Feb 9 migration	Characterizes the migration as a material change to data architecture requiring formal change control under Schedule C, s. 4.	Characterizes the migration as a minor, like-for-like schema extension falling below the material-change threshold in Schedule C, s. 4.	Characterization disputed
Causation of client attrition	Attributes approx. 40 account closures and \$1,200,000 in lost annual advisory revenue to the incident.	Disputes causal connection; points to general wealth-management attrition factors unrelated to the incident.	Quantum disputed / Causation disputed

2. Deliberately Missing or Incomplete Evidence

Unless expressly introduced by a later roadmap-approved document, these evidentiary gaps must remain unresolved throughout the litigation record. For example, a later affidavit stating that "the February 8 meeting minutes confirmed Priya approved the migration," or an expert report stating that "forensic evidence establishes exactly 11,842 records were accessed," would improperly resolve a gap this matrix deliberately preserves — such content must not be introduced.

Missing / Incomplete Item	Why It Matters
Signed change order for the Feb 9, 2024 migration	Central to whether the migration breached the Change Control Protocol; its absence is itself a fact both sides must plead around.

Missing / Incomplete Item	Why It Matters
Recording or minutes of the Feb 8, 2024 call	Only a bare calendar invitation ("Status Call") survives; no agenda or minutes exist, so Redline's account of verbal approval cannot be independently corroborated or refuted from documents alone.
Complete server access logs, Feb 9–Apr 2024	Logs exist only from April 2024 onward; this gap is precisely why the scope-of-exposure and exposure-vs-access disputes cannot be fully resolved on the documentary record and will likely require expert reconstruction/inference.
Formal, contemporaneous incident report from Northstar dated June 10, 2024	Only Priya Nathwani's personal working notes exist from that date, raising authentication and business-record-exception questions if tendered at trial.
Independent verification of the 12,000-account exposure figure	The figure reflects Northstar's precautionary notification decision, not a forensically confirmed count of accessed records — a distinction the evaluation questions should test.

3. Document Registry (Cross-Document Integrity Control)

This registry replaces the earlier informal checklist. Every ID matches the Document ID Legend in Document 2 (Master Chronology) and the "Source document(s) required" fields in Document 3 (Issues & Legal Framework Matrix). Every document listed here must exist verbatim in the Document Production Bundle (Stage 3) once produced, unless marked otherwise below.

ID	Document	Date	Owner / Custody	Referenced In	Issues Affected (Doc. 3)	Status	Verbatim Required?
DOC-001	Software Development and Client Portal License Agreement, incl. Schedule C	Jan 15, 2023	Joint (executed by both parties)	Docs 1, 2, 3	1, 2, 6, 7, 8	Existence/validity undisputed; interpretation of specific clauses disputed	Yes
DOC-002	Milestone invoices & payment records (M1–M4)	Mar 2023–Mar 2024	Redline (issued); Northstar (paid/withheld)	Docs 1, 2	1, 6 (indirect); Counterclaim	M1–M3 undisputed; M4 withholding disputed	Yes (M4 esp.)
DOC-003	Feb 8, 2024 "Status Call" calendar invitation	Feb 8, 2024	Joint (calendar record)	Docs 1, 2, 3, 4	2	Existence undisputed; call content disputed	Yes
DOC-004	Feb 9, 2024 migration records (Jira ticket / Slack message)	Feb 9, 2024	Redline	Docs 1, 2, 3, 4	2, 3	Existence undisputed; sufficiency as authorization disputed	Yes
DOC-005	June 10, 2024 internal notes (Priya Nathwani)	Jun 10, 2024	Northstar	Docs 1, 2, 3, 4	5A, 5B	Existence undisputed; characterization disputed	Yes
DOC-006	June 11, 2024 call notes/log	Jun 11, 2024	Both (disputed characterization)	Docs 1, 2, 3, 4	7	Call occurrence undisputed; content/effect disputed	Yes, to the extent a record exists

ID	Document	Date	Owner / Custody	Referenced In	Issues Affected (Doc. 3)	Status	Verbatim Required?
DOC-007	June 12, 2024 email (Marcus Oduya)	Jun 12, 2024	Redline	Docs 1, 2, 3, 4	7 (also 3, 5A, 5B, 9)	Existence/content undisputed; "first notice" characterization disputed	Yes
DOC-008	Ironwood Cyber Forensics Inc. preliminary findings	Jun 20, 2024	Ironwood (retained by Northstar)	Docs 1, 2, 3, 4	1, 3, 4, 9	Findings as reported undisputed; completeness/implications disputed	Yes
DOC-009	Client notification letter	Jun 24, 2024	Northstar	Docs 1, 2	9	Sending undisputed; necessity/scope disputed	Yes
DOC-010	OPC breach report	Jun 24, 2024	Northstar	Docs 1, 2	9 (indirect)	Filing undisputed	Yes, if produced
DOC-011	Northstar written notice withholding M4 payment	Jul 2, 2024	Northstar	Docs 1, 2	6 (indirect); Counterclaim	Sending undisputed; justification disputed	Yes
DOC-012	Demand letter, Whitfield Burns LLP	Aug 5, 2024	Northstar (counsel)	Docs 1, 2	All (summary)	Sending/content as sent undisputed; allegations are position, not fact	Yes
DOC-013	Response letter, Prentice Okafor LLP	Aug 22, 2024	Redline (counsel)	Docs 1, 2	All (summary)	Sending/content as sent undisputed; allegations are position, not fact	Yes
DOC-014	Statement of Claim	Oct 7, 2024	Northstar	Docs 1, 2, 3	All	N/A — pleading, not yet drafted	Yes — Stage 2
DOC-015	Statement of Defence and Counterclaim	Nov 2024	Redline	Docs 1, 2, 3	All	N/A — pleading, not yet drafted	Yes — Stage 2
DOC-016	Northstar security monitoring alert logs	Jun 8, 2024	Northstar	Doc 2	3, 4, 9 (indirect)	Existence undisputed	May be summarized
DOC-017	Reply and Defence to Counterclaim	Nov 25, 2024	Northstar	Docs 1, 2	All	N/A — pleading	Yes — drafted at Stage 2
DOC-018	Client account/revenue attrition records (compiled for litigation)	Compiled ~Dec 2024	Northstar	Doc 3 (Iss. 9)	9	Existence undisputed; whether they establish causation is disputed	Yes — Stage 3
DOC-019	Milestone 3 (UAT) sign-off documentation	Jan 2024	Northstar / Redline (joint sign-off record)	Doc 3 (Iss. 1, 11)	1, 11	Sign-off itself undisputed; whether it establishes	Yes — Stage 3

ID	Document	Date	Owner / Custody	Referenced In	Issues Affected (Doc. 3)	Status	Verbatim Required?
						continuing Schedule C compliance is disputed	
DOC-020	Redline post-April 2024 access log excerpt / technical diagnostic summary	Compiled ~Dec 2024	Redline	Doc 3 (Iss. 4, 9)	4, 9	Log contents undisputed; what they establish about scope of access is disputed	Yes — Stage 3

Registry maintenance rule

Any new document introduced after this revision (e.g., during Stage 1 drafting or later discovery) must be assigned the next sequential ID (DOC-017 onward) and added to this registry and to the Document 2 legend in the same revision cycle. IDs are never reused or reassigned.

LEXOCRATES SYNTHETIC LITIGATION DATASET

PARTIES / ENTITY / WITNESS REGISTER

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No.: CV-24-00728415-0000

Ontario Superior Court of Justice — Toronto Region

Document Type: Stage 0 — Case Control (Hidden Evaluation Layer)

Status: LOCKED — Revision 2 (supersedes Revision 1 in full)

This document consolidates and supersedes the abbreviated “Case Participants / Entity Register” previously embedded in Document 2 (Master Chronology), which is now cross-referenced to this document rather than restated. This register is the fixed source for every party, entity, and individual name, role, and affiliation used in this matter. It adds litigation-specific classification — witness status, anticipated examination role, credibility posture, and privilege flags — that the Master Chronology deliberately does not carry. This document is NOT part of the simulated court file and must not be disclosed to any AI system being evaluated on this matter.

Revision Log

Revision 2 makes four changes following Stage 0 review, and otherwise carries Revision 1 forward unchanged:

- Priya Nathwani's designation as Northstar's Director, Information Technology, and Marcus Oduya's designation as Redline's Senior Project Manager / technical lead, are now expressly confirmed as permanently locked (section 0.1, below).
- The characterization of the June 12, 2024 email has been corrected throughout this document, from an unqualified statement that it was “Redline's first written notice,” to the precise formulation that it is “characterized by Redline as its first formal/written notice” — preserving, rather than resolving, the live dispute over whether the June 11 call already constituted notice (see Document 4, s. 0).
- A new section 7, Witness → Issue Mapping, has been added, consolidating the issue-relevance information previously scattered across each witness's “Key Involvement” and “Credibility / Reliability Notes” entries.
- Section numbering below has shifted accordingly (former section 7, Cross-Reference, is now section 8).

0. Consistency Rule

All names, roles, and affiliations in this register are locked and must be reproduced identically in every later document (pleadings, affidavits, correspondence, discovery materials, motion record, and evaluation materials), consistent with Document 1, section 0.1. No individual's name may be reassigned to a different role, and no role may be reassigned to a different individual, in any later-generated document for this matter.

0.1 Permanently locked individual designations. The following designations are confirmed as final for the remainder of this matter and must not be varied, softened, or given an alternative title (e.g., Project Manager, General Counsel, Vice President) in any later document:

- Priya Nathwani = Northstar — Director, Information Technology.
- Marcus Oduya = Redline — Senior Project Manager / technical lead, NorthConnect engagement.

0.2 Precision on the June 12, 2024 email. Every reference in this document, and in every later document, to the June 12, 2024 email (DOC-007) as Redline's “first written notice” must be phrased as a characterization advanced by Redline — e.g., “characterized by Redline as its first formal/written notice” — not stated as an established, undisputed legal conclusion. Whether the June 11, 2024 call already constituted notice within the meaning of s. 14.2 remains disputed (Document 1, s. 0.2; Document 4, s. 0) and no document should resolve that dispute by the way it describes the June 12 email.

1. Corporate & Institutional Entities

Entity	Type / Jurisdiction	Role in Matter	Locked Notes
Northstar Financial Group Inc. (“Northstar”)	Ontario wealth management / financial	Plaintiff / Defendant by Counterclaim	Client/purchaser under the Agreement (DOC-001); ~14,000

Entity	Type / Jurisdiction	Role in Matter	Locked Notes
	advisory firm; Business Corporations Act (Ontario), inc. 2004		client accounts; ~12,000 NorthConnect users notified June 24, 2024.
Redline Software Solutions Inc. (“Redline”)	Ontario custom software development / IT consulting firm; Business Corporations Act (Ontario), inc. 2011; HQ Toronto, satellite office Waterloo	Defendant / Plaintiff by Counterclaim	Vendor/developer under the Agreement; counterclaims for the withheld \$370,000 Milestone 4 invoice.
Ironwood Cyber Forensics Inc.	Independent forensic investigation firm	Non-party — forensic investigator retained by Northstar (June 2024)	Author of preliminary findings dated June 20, 2024 (DOC-008). Not a party. Potential fact/expert witness — see section 4.
Whitfield Burns LLP	Ontario law firm	Non-party — external litigation counsel of record for Northstar	Sent the August 5, 2024 demand letter (DOC-012). Solicitor, not a witness on the merits; costs-related evidence only, if any.
Prentice Okafor LLP	Ontario law firm	Non-party — external litigation counsel of record for Redline	Sent the August 22, 2024 response letter (DOC-013). Solicitor, not a witness on the merits; costs-related evidence only, if any.
Office of the Privacy Commissioner of Canada (“OPC”)	Federal regulator (Personal Information Protection and Electronic Documents Act, PIPEDA)	Non-party — regulator notified of the breach on June 24, 2024 (DOC-010)	No enforcement action, investigation outcome, or finding by the OPC is presently part of the record. Any later document introducing an OPC finding, order, or investigative outcome must be a new, deliberately dated development — not retrofitted into the existing timeline.

2. Individuals — Party Representatives and Fact Witnesses

The “Litigation Role” column reflects the anticipated function of each individual once the matter reaches examinations for discovery and trial preparation (Stage 3 onward); it is not itself a pleaded fact and should not be cited as such.

Name	Affiliation / Position	Litigation Role	Key Involvement	Credibility / Reliability Notes
David Chen	Northstar — Chief Operating Officer	Party representative (Northstar); likely examination for discovery witness	Signing authority on the Agreement (DOC-001); co-recipient, with Priya Nathwani, of the June 12, 2024 Redline email (DOC-007)	No credibility contest presently identified. Peripheral to the disputed Feb 8 call and the June 10 notes.
Priya Nathwani	Northstar — Director, Information Technology	Central fact witness; likely examination for discovery witness and trial witness	Detected/escalated the June 8–10, 2024 anomaly; author of the June 10, 2024 internal notes (DOC-005); alleged (by Redline) recipient of verbal	Central credibility contest on two fronts: (a) whether she received/gave verbal approval on Feb 8 (Doc. 4, “Consent to Feb 9 migration”); (b)

Name	Affiliation / Position	Litigation Role	Key Involvement	Credibility / Reliability Notes
			migration approval on the Feb 8, 2024 call	authentication/reliability of her June 10 personal working notes if tendered as a business record (Doc. 4, s. 2).
Sarah Mackenzie	Northstar — General Counsel (in-house)	Party representative on legal/regulatory response; PRIVILEGE-SENSITIVE — see section 5	Authorized the July 2, 2024 payment-withholding notice (DOC-011) and the August 5, 2024 demand letter (DOC-012); oversaw OPC notification (DOC-010)	Not a witness to the underlying technical or contractual facts. Any examination should be confined to non-privileged factual matters (e.g., the fact and timing of the OPC notification), not to the legal advice underlying Northstar's litigation or regulatory strategy.
Jonathan Reyes	Redline — Chief Technology Officer	Party representative (Redline); likely examination for discovery witness	Signing authority on the Agreement (DOC-001)	No credibility contest presently identified. Peripheral to the disputed Feb 8 call, the migration itself, and the June 10–12 notice sequence.
Marcus Oduya	Redline — Senior Project Manager / technical lead, NorthConnect engagement	Central fact witness; likely examination for discovery witness and trial witness	Alleged (by Redline) to have received verbal migration approval from Priya Nathwani on the Feb 8, 2024 call; author of the June 12, 2024 email (DOC-007) reporting Redline's audit findings, which Redline characterizes as its first formal/written notice of the incident	Central credibility contest, mirroring Priya Nathwani's: his account of the Feb 8 call is uncorroborated by any Northstar record (Doc. 4, “Consent to Feb 9 migration”). Also a fact witness on the character of the June 11 call from Redline's side of the ledger (Doc. 4, s. 0).
Tyler Fenwick	Redline — Junior developer	Fact/technical witness; likely examination for discovery witness (non-representative)	Implemented the February 9, 2024 database schema migration (DOC-004)	Direct, first-hand technical witness to what was actually built and deployed. No credibility contest currently identified, but his evidence bears directly on the disputed materiality of the migration (Issue 2) and the standard-of-care analysis (Issue 3).

3. Individuals — Litigation Counsel (Non-Witnesses)

Name	Firm	Role
Alison Whitfield	Whitfield Burns LLP	External litigation counsel of record for Northstar. Solicitor, not a witness on the merits. Not to be examined on privileged communications with Northstar or on litigation strategy.
Daniel Okafor	Prentice Okafor LLP	External litigation counsel of record for Redline. Solicitor, not a witness on the merits. Not to be examined on privileged communications with Redline or on litigation strategy.

4. Anticipated Non-Party / Expert Witnesses (Not Yet Retained — Stage 6)

The following expert categories are anticipated by Document 3 (Issues & Legal Framework Matrix) but are not yet named, retained, or reported. No individual name should be assigned to these roles until Stage 6 (Expert Evidence) is built. Assigning a name prematurely, or attributing findings to an unretained expert, would violate the case-control principle in Document 2.

Anticipated Expert Role	Retained By	Subject Matter	Relevant Issue(s)	Status
Secure-configuration / standard-of-care expert	Northstar (anticipated)	Whether the Feb 9 migration and resulting configuration met the standard of a reasonably competent software developer/IT consultant	Issue 3 (Negligence)	Not yet retained
Forensic/technical expert (possible extension of Ironwood's mandate, or a separate litigation expert)	Northstar (anticipated)	Nature and mechanics of the storage misconfiguration; whether data was merely exposed or actually accessed	Issue 4 (Breach of Confidence)	Not yet retained
Responding technical expert	Redline (anticipated)	Responding opinion on standard of care and on the scope/mechanics of exposure	Issues 3, 4	Not yet retained
Quantum / damages expert	Northstar (anticipated)	Causation and quantification of the alleged \$1,200,000 lost-revenue / client-attribution claim	Issue 9 (Causation and Quantum)	Not yet retained

Ironwood Cyber Forensics Inc. (section 1, above) is currently registered only as a fact witness/document author (DOC-008, preliminary findings). Whether Ironwood or its personnel will also be tendered as a litigation expert, as opposed to a fact witness to what was found on investigation, is an open drafting question to be resolved when Stage 6 is built — it should not be resolved here by default.

5. Privilege & Confidentiality Flags

- Sarah Mackenzie (Northstar, in-house General Counsel): communications giving legal advice on Northstar's response to the incident, the decision to withhold Milestone 4 payment, and litigation strategy are presumptively subject to solicitor-client privilege. Only the underlying facts she can speak to independently of privileged advice (e.g., the fact and date of OPC notification) are properly the subject of examination.
- Alison Whitfield (Whitfield Burns LLP) and Daniel Okafor (Prentice Okafor LLP): communications between each firm and its own client are privileged. The August 5 demand letter (DOC-012) and August 22 response letter (DOC-013) are correspondence exchanged between the parties and are not privileged as against the other side, but drafts, instructions, and internal strategy behind them are.
- September 2024 without-prejudice settlement discussions (Document 2, Procedural History): protected by settlement privilege. No later document should treat anything said in those discussions as an admission on the merits.
- Ironwood Cyber Forensics Inc.'s retainer: if Ironwood was retained through counsel and in contemplation of litigation, portions of its work product beyond the June 20, 2024 preliminary findings (DOC-008) already in the record may attract litigation privilege. This is presently unresolved and should not be assumed either way in later documents.

6. Communication Map (Key Cross-Party Exchanges)

Date	From	To	Nature	Document ID
Feb 8, 2024	Marcus Oduya (Redline)	Priya Nathwani (Northstar)	Status call; content and scope disputed (see Doc. 4, s. 0)	DOC-003 (calendar invite only)

Date	From	To	Nature	Document ID
Jun 11, 2024	Northstar IT staff	Redline	Telephone call; character disputed — whether it constituted “notice” under s. 14.2	DOC-006
Jun 12, 2024	Marcus Oduya (Redline)	David Chen and Priya Nathwani (Northstar)	Written email reporting Redline's audit findings; characterized by Redline as its first formal/written notice — not an established legal conclusion (see s. 0.2, above, and Document 4, s. 0)	DOC-007
Aug 5, 2024	Alison Whitfield (for Northstar)	Daniel Okafor / Redline	Demand letter	DOC-012
Aug 22, 2024	Daniel Okafor (for Redline)	Alison Whitfield / Northstar	Response letter denying liability	DOC-013

7. Witness → Issue Mapping

Consolidates, in one place, the issues (Document 3) each witness's evidence potentially proves or contradicts. This mapping is a cross-reference aid only; it does not itself resolve any disputed issue, and the credibility and privilege notes in sections 2–4, above, continue to govern how each witness's evidence may properly be used.

Witness	Primary Issues (Document 3)	Basis
Priya Nathwani	Issue 2 (change control / Feb 8 consent); Issues 5A/5B (mitigation / June 10 knowledge); Issue 7 (June 11 notice); Issue 4 (exposure)	Alleged recipient/negotiator of Feb 8 verbal approval; author of the June 10 internal notes; Northstar participant on the disputed June 11 call.
Marcus Oduya	Issue 2 (change control / Feb 8 consent); Issue 7 (June 11 call; June 12 written notice characterization)	Alleged giver of Feb 8 verbal approval; author of the June 12 email; Redline's participant on the disputed June 11 call.
Tyler Fenwick	Issue 1 (Schedule C compliance); Issue 2 (materiality of the Feb 9 migration); Issue 3 (standard of care / technical implementation)	Implemented the Feb 9, 2024 database schema migration first-hand.
David Chen	Formation/administration of the Agreement (background to Issues 1–2, 6–8); Issue 7 (June 12 receipt) at the level of corporate knowledge only	Signing authority on the Agreement; co-recipient of the June 12 email. Deliberately not expanded into a central fact witness — see section 2, above.
Sarah Mackenzie	Issue 6 (liability cap, insofar as the July 2 withholding decision is	Authorized the July 2, 2024 withholding notice and the August 5, 2024 demand letter; oversaw OPC notification — subject throughout to the privilege limits in section 5, above.

Witness	Primary Issues (Document 3)	Basis
	non-privileged fact); Issue 8 (indemnity, as to the fact of regulatory response costs incurred); background to Issue 9 (regulatory response costs claimed)	
Ironwood Cyber Forensics Inc.	Issue 1 (security requirements); Issue 3 (standard of care, if extended to expert role); Issue 4 (exposure vs. actual access); Issue 9 (causation, background only)	Author of the June 20, 2024 preliminary findings; potential later expert role remains open — see section 4, above.

8. Cross-Reference

This register should be read together with Document 1 (Case Master Fact Ledger), section 0.1 (locked party and role assignments); Document 2 (Master Chronology), which retains the underlying dated events and now cross-refers to this document for detailed witness classification; Document 3 (Issues & Legal Framework Matrix), for which issues each witness's evidence bears on; and Document 4 (Evidence & Contradiction Matrix), for the specific contradictions in each contested witness's account.

WHITFIELD BURNS LLP

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PRIVILEGED AND CONFIDENTIAL

Prepared in Contemplation of Litigation — Subject to Solicitor-Client and Litigation Privilege

MEMORANDUM TO FILE

Re: Northstar Financial Group Inc. — NorthConnect Data Security Incident — Client Interview

Client: Northstar Financial Group Inc.

File No.: WB-2024-0847

Date of Interview: July 15, 2024

Prepared by: Alison Whitfield, Whitfield Burns LLP

Attendees: David Chen (Chief Operating Officer), Priya Nathwani (Director, Information Technology), Sarah Mackenzie (General Counsel), Alison Whitfield (counsel)

Status: LOCKED — Revision 2 (supersedes Revision 1 in full)

1. Purpose and Circumstances of the Interview

Northstar retained Whitfield Burns LLP on July 10, 2024 to advise in connection with a data security incident affecting the NorthConnect client portal, developed and licensed to Northstar by Redline Software Solutions Inc. ("Redline") under a Software Development and Client Portal License Agreement dated January 15, 2023 (the "Agreement"). This memorandum records the initial client interview conducted on July 15, 2024, for the purpose of assessing Northstar's potential claims and informing next steps, including the possibility of a demand letter to Redline.

2. Client's Account of Events

The following is a summary of the client's account as related during the interview. It reflects the client's understanding as of July 15, 2024; where the client's recollection is imprecise or incomplete, that is noted rather than supplemented.

- Mr. Chen and Ms. Nathwani described the NorthConnect engagement as having proceeded largely without incident through its four milestones, with the platform going live on March 1, 2024.
- Ms. Nathwani stated that her team's monitoring tools flagged unusual after-hours access patterns on June 8, 2024, and that she spent June 9 attempting to understand the alert internally before forming any view as to cause.
- Ms. Nathwani stated that by June 10, she had formed a preliminary, internal view that a storage component associated with the February 2024 update might be involved, and made notes to that effect for her own reference. She was clear that, as of June 10, she did not consider the matter confirmed and had not yet contacted Redline about it specifically.
- Ms. Nathwani and Mr. Chen both described a telephone call with Redline on June 11. Their recollection of what was said on that call was somewhat general; Ms. Nathwani recalled asking "technical questions" about the February update, while Mr. Chen recalled the call as more exploratory. Neither recalled using the words "security incident" or "breach" during the call itself.
- Both were clear and consistent that, in their recollection, Redline's written email of June 12, 2024 (from Marcus Oduya) was the first point at which Redline confirmed, in writing, that the storage permissions had been misconfigured since February 9, 2024.
- Mr. Chen and Ms. Nathwani could not recall any prior discussion, written or verbal, in which Redline sought or Northstar granted approval for a change to the platform's data architecture in early February 2024. Ms. Nathwani recalled a general "status call" with Marcus Oduya on February 8, 2024, but did not recall the migration itself being discussed, and had no notes of that call.

- Ms. Mackenzie described the steps taken between June 13 and June 24, 2024, including retaining Ironwood Cyber Forensics Inc., and the eventual decision to notify all NorthConnect users and report to the Office of the Privacy Commissioner of Canada out of caution, given that the client could not confirm the precise scope of records actually accessed.
- Mr. Chen described the decision to withhold the outstanding Milestone 4 payment as a response to the incident, made after internal discussion with Ms. Mackenzie in late June and formalized in the July 2, 2024 letter.

3. Client's Objectives

- Recover the costs already incurred in responding to the incident (forensic investigation, client notification, credit monitoring, and regulatory response costs).
- Preserve Northstar's position with respect to the withheld Milestone 4 payment and resist Redline's anticipated claim for that amount.
- Obtain a declaration or other assurance regarding Redline's indemnification obligations for any future third-party or regulatory claims arising from the incident.
- Evaluate, realistically, the prospects of recovering the claimed lost-business/reputational-harm damages, which the client acknowledges will be difficult to prove.
- Assess whether a negotiated resolution is achievable before committing to litigation, while preserving the option to sue if not.

4. Documents Identified by the Client

The client identified the following documents as being in its possession or control. Counsel has not yet independently verified completeness.

Document	In Client's Possession?	Notes
Software Development and Client Portal License Agreement (incl. Schedule C)	Yes	Fully executed copy on file with Ms. Mackenzie
Priya Nathwani's June 10, 2024 internal notes	Yes	Personal working notes; not a formal report
Marcus Oduya's June 12, 2024 email	Yes	Client regards this as a key document
Ironwood Cyber Forensics Inc. preliminary findings, June 20, 2024	Yes	Client has not yet obtained a final report from Ironwood
Client notification letter and OPC breach report, June 24, 2024	Yes	—
July 2, 2024 letter withholding Milestone 4 payment	Yes	Drafted by Ms. Mackenzie
Records or notes of the February 8, 2024 call	Client believes none exist beyond a calendar invitation	Client could not locate any notes or minutes
Server access logs	Partial — client understands logs exist only from approximately April 2024 onward	Client has not yet confirmed the reason for the gap with Redline
Client account/attrition records supporting the claimed \$1,200,000 loss	Client believes these exist but has not yet compiled them	To be requested from Northstar's finance department

5. Witnesses Identified

Name	Anticipated Relevance
Priya Nathwani (Northstar)	Discovery of the anomaly; June 10 notes; June 11 call; recollection of the February 8 call
David Chen (Northstar)	Contract signing authority; recipient of the June 12 email; decision to withhold payment
Sarah Mackenzie (Northstar)	Regulatory response; client notification decision; July 2 letter
Marcus Oduya (Redline)	Author of the June 12 email; participant in the February 8 call (adverse witness)
Tyler Fenwick (Redline)	Implemented the February 9, 2024 migration (adverse witness)
Ironwood Cyber Forensics Inc. (representative to be confirmed)	Forensic findings and, potentially, expert evidence

6. Client's Concerns

- Potential regulatory follow-up from the Office of the Privacy Commissioner of Canada beyond the initial breach report.
- Possibility of claims by individual NorthConnect clients whose information may have been exposed, and how any such claims would interact with Northstar's indemnification claim against Redline.
- Reputational impact within a relationship-driven wealth management client base, distinct from the quantifiable revenue loss already identified.
- Northstar continues to rely on Redline for ongoing platform support during the 90-day (now expired) hypercare period and potentially beyond; the client has not yet decided whether to seek alternative support arrangements.
- The client is conscious that its own delay between June 8/9 and June 11/12 could be characterized as slow, and specifically asked counsel to assess this exposure candidly rather than assume it away.

7. Unknown Facts / Gaps Identified During the Interview

The following gaps were identified during the interview. Counsel has advised the client that these gaps may not be resolvable and that the litigation strategy should account for that possibility rather than assume favourable resolution.

- Whether the February 8, 2024 call in fact touched on the migration, and if so, what was said — no Northstar record exists either way.
- The precise scope of actual (as opposed to potential) unauthorized access to client data, given the absence of complete logs before April 2024.
- Whether responsibility for the log-retention gap rests with Redline's platform configuration or Northstar's own retention practices — the client was not able to answer this definitively and it may require technical investigation.
- Whether the claimed client attrition (approximately 40 accounts) can be isolated from ordinary-course attrition without expert analysis.

8. Potential Claims Identified

- Breach of contract — failure to meet Schedule C security requirements.
- Breach of contract — failure to follow the Change Control Protocol (Schedule C, s. 4).
- Negligence / concurrent tort liability in the design, testing, and deployment of NorthConnect.
- Breach of confidence in respect of client personal and financial information — counsel has advised the client that this claim is more contestable than the contract claims, given that Redline did not itself access or use the data.

- Declaratory relief regarding Redline's indemnification obligations under s. 17 of the Agreement.

9. Instructions / Immediate Legal Position

Following the interview, the client's instructions to counsel were as follows:

- Preserve and pursue Northstar's contractual claims against Redline.
- Investigate whether Redline's February 9, 2024 migration breached the Change Control Protocol in Schedule C, s. 4.
- Assess any limitation-period or notice issues arising from the June 2024 sequence of events before those issues could affect Northstar's position.
- Preserve the Milestone 4 payment dispute and Northstar's basis for withholding payment.
- Assess the scope of Redline's indemnification obligations under s. 17 of the Agreement.
- Evaluate the prospects of a negotiated resolution before commencing litigation.

10. Privilege and Next Steps

This memorandum is protected by solicitor-client privilege and litigation privilege. It is not responsive to any document request and will not appear in Northstar's Affidavit of Documents, except to the extent its existence (but not its contents) may need to be listed on a privilege log if and when such a log is prepared.

Next steps agreed with the client: (1) counsel to review the Agreement in full and confirm the applicability of the security, change-control, notice, liability-cap, and indemnification provisions; (2) counsel to prepare a demand letter to Redline; (3) client to compile client-attribution and revenue records in anticipation of a damages analysis; (4) client to request its own internal records regarding log-retention configuration.

LEXOCRATES SYNTHETIC LITIGATION DATASET

CASE THEORY / HIDDEN EVALUATION MATRIX

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No.: CV-24-00728415-0000

Ontario Superior Court of Justice — Toronto Region

Document Type: Stage 0 — Case Control (Hidden Evaluation Layer)

Status: LOCKED — Revision 2 (supersedes Revision 1 in full) — CONFIDENTIAL, DATASET-INTERNAL ONLY

This document must never be disclosed to, or leaked into the context of, any AI system being evaluated on this matter. It is the internal answer key and design rationale for the entire file: what each party is trying to prove, why the facts were built the way they were, and precisely what capabilities the eventual Stage 6+ evaluation (Document 39, AI Evaluation Question Bank, and Document 40, Ground-Truth Answer Key) is meant to test. Every 'trap' identified here already exists, in seed form, in Documents 1, 3, and 4; this document consolidates and organizes those traps rather than introducing new ones.

Revision Log

Revision 2 makes five changes following Stage 0 review, and otherwise carries Revision 1 forward unchanged:

- Issue 10 (limitation period) is now stated explicitly as a control issue only, with a standalone evaluation-penalty instruction, rather than relying on the reader to infer that from Trap 1 alone (section 3, and Trap 1 in section 8).
- A new section 6, Breach of Confidence — Three-Tier Evidentiary Distinction, locks the separation between technical exposure, actual access, and misuse/use as three factually distinct concepts that later documents must not collapse into one another.
- A new section 5, Damages/Quantum Control Table, itemizes every claimed amount with its status and dispute posture, so Trap 3 (the \$1,810,000 vs. \$2.1–\$2.3M distinction) is anchored to a single consolidated table rather than scattered prose references.
- Section 4 (Best-Case/Worst-Case Outcome Range) now carries an explicit caution distinguishing a strategic outcome prediction from ground truth, a party position, an open legal question, or an evaluation answer, so Document 40 does not mark a legally reasonable AI answer wrong merely for landing outside this section's predicted range.
- Section 7 (AI Evaluation Capability Matrix, formerly section 5) is restructured from a two-column Capability/Test Point format to a four-column Capability/Test Point/Required Source Documents/Expected Evaluation Behaviour format. Section numbering has shifted accordingly (former sections 6–8 are now 9–10, and the former section 5 traps list is now section 8).

1. Plaintiff's Case Theory (Northstar)

Northstar's theory is that Redline circumvented its own contractual change-control safeguards to implement an unauthorized, poorly secured migration, and then compounded the resulting exposure by maintaining inadequate log retention that now prevents anyone — including Redline — from disproving the scope of harm. Because Redline controls the evidentiary gap it created, Northstar's position is that reasonable inferences about scope should be resolved against Redline, not against Northstar for having acted precautionarily. Northstar frames its own June 8–12 conduct as diligent, proportionate escalation, not delay, and frames the s. 16 liability cap as either inapplicable to its confidence and negligence claims or defeated by Redline's gross negligence in bypassing change control altogether.

What Northstar needs to establish to substantially prevail:

- The Feb 9 migration was a material change requiring a signed change order (Issue 2), and no valid waiver excuses its absence.
- Redline's conduct breached the applicable standard of care independent of contract (Issue 3), preserving a tort claim even if the s. 16 cap limits contract damages.
- The exposure, even if not proven to have been actually accessed, was a compensable breach of confidence or, at minimum, a compensable contractual/tort harm (Issue 4).
- Its own June 8–12 conduct was not an unreasonable failure to mitigate (Issue 5A) and, if contributory negligence is even available against a concurrent tort claim, its own fault (if any) is minor (Issue 5B).

- The s. 16 cap either does not apply to its non-contract claims or is defeated by the gross-negligence carve-out (Issue 6).
- Section 17's indemnity extends to its own first-party response costs and is not subordinate to the s. 16 cap (Issue 8).
- Its claimed client attrition and lost revenue are causally connected to the incident, not general market conditions (Issue 9).

2. Defendant's Case Theory (Redline)

Redline's theory is that it delivered a platform that passed every contractual acceptance gate, that the Feb 9 migration was either immaterial or orally authorized by Northstar's own IT director, and that Northstar is now attempting to convert an unproven, precautionary, worst-case notification decision into an established \$1.2–\$2.3 million loss. Redline frames the log-retention gap as a shared or Northstar-controlled issue, not a unilateral Redline failure, and treats its June 12 email as prompt, compliant notice — the operative moment its analysis begins from, without conceding it was the first notice of any kind. Its counterclaim positions it as the party still owed money, not merely a defendant.

What Redline needs to establish to substantially prevail:

- The migration was immaterial, or was orally authorized on Feb 8 notwithstanding the absence of a signed change order (Issue 2).
- No freestanding or broader tort duty arises on top of a comprehensive commercial contract, or any tort duty tracks no further than the (satisfied) contractual security obligations (Issue 3).
- Mere unintentional exposure, without an affirmative act of use or proven actual access, cannot satisfy breach of confidence (Issue 4).
- Northstar's June 8–12 delay was an unreasonable failure to mitigate and/or contributory fault (Issues 5A/5B).
- The s. 16 cap applies to bar recovery beyond fees paid in the preceding 12 months (\$925,000), and nothing in its conduct meets the high bar for gross negligence (Issue 6).
- Its June 12 email was fully compliant written notice; the June 11 call cannot retroactively be treated as satisfying s. 14.2 (Issue 7).
- Section 17 does not extend to Northstar's own first-party response/regulatory costs, or is in any event subordinate to the s. 16 cap (Issue 8).
- Causation for the \$1.2M attrition claim is speculative and multi-causal (Issue 9).
- It is owed the outstanding \$370,000 Milestone 4 invoice plus contractual interest (Document 1, s. 0.5; s. 9.4).

3. Theory-to-Issue Dependency Map

Issue 10 is a control issue only, not a genuine dispute. No party pleads, or should ever be made to plead, a viable limitation-period defence on these facts — the claim was commenced well within the two-year period under the Limitations Act, 2002 on any of the candidate discovery dates in Document 2. The presence of multiple dated events in the chronology (“there is a limitation issue mentioned somewhere”) must not be read as evidence of a genuine limitation dispute (“there is a viable limitation defence”). Document 40's ground-truth answer key must expressly penalize an AI system that manufactures a limitation-period defence by inference from isolated dates rather than recognizing Issue 10 as a control point testing correct non-invention. See also Trap 1, section 8, below.

Issue (Document 3)	Outcome Favouring Northstar	Outcome Favouring Redline	Genuinely Undetermined by Design?
1 — Security requirements (Schedule C)	Platform was non-compliant at go-live	Platform met Schedule C at each milestone sign-off	Yes — turns on continuing-warranty vs. point-in-time interpretation
2 — Change control	No valid change order or waiver	Immaterial change, or validly waived orally	Yes — materiality and waiver both genuinely arguable
3 — Negligence / concurrent tort	Duty owed and breached independent of contract	No broader duty than the (met) contractual terms	Yes

Issue (Document 3)	Outcome Favouring Northstar	Outcome Favouring Redline	Genuinely Undetermined by Design?
4 — Breach of confidence	Exposure itself is actionable ‘use’	Unintentional exposure is not ‘use’	Yes — deliberately left open (Doc. 3, Issue 4 framing note)
5A/5B — Mitigation / contributory negligence	June 8–12 conduct was diligent	June 8–12 conduct was unreasonably slow	Yes, plus the antecedent Giffels question of availability at all
6 — Liability cap (s. 16)	Cap inapplicable or defeated by gross negligence	Cap applies and bars excess recovery	Yes — turns on whether bypassing change control alone meets the gross-negligence bar
7 — Notice adequacy (s. 14.2)	June 11 call + June 12 email jointly satisfy notice	Only the June 12 written email counts	Yes — turns on a genuine drafting ambiguity (vendor-only vs. mutual obligation)
8 — Indemnification (s. 17)	Indemnity covers first-party response costs, uncapped	Indemnity limited to third-party sums paid, and/or capped by s. 16	Yes — s. 17 is deliberately silent on both questions
9 — Causation/quantum of business loss	\$1.2M attrition is incident-caused	Attrition has independent, multi-causal explanations	Yes — unresolved absent expert evidence (Stage 6)
10 — Limitation period	N/A — control issue only; no viable defence exists	N/A — control issue only; no viable defence exists	No — not a genuine dispute. This row exists solely to test correct non-invention (see Trap 1, section 8)

4. Best-Case / Worst-Case Outcome Range

Caution: this section is a strategic outcome prediction, not ground truth. It should not be used, on its own, to mark an AI-generated answer wrong. When Document 40 is built, each answer in the eventual question bank should be classified into one of five distinct categories, and this section speaks only to the fourth: (1) Ground truth — a fact or characterization fixed by Documents 1–4 and this document (e.g., the locked notice sequence, the locked party roles); (2) Party position — what Northstar or Redline argues, which is not itself true or false; (3) Open legal question — an issue this file deliberately leaves undetermined (section 3, above); (4) Possible outcome — one plausible result among several, illustrated in this section; (5) Evaluation answer — the specific, scoreable response Document 40 will require for a given question, which may reward correctly identifying that an issue is open (category 3) rather than picking a side. A legally reasonable AI analysis that reaches a different result than the best-case/worst-case scenarios below should not, by that fact alone, be scored as incorrect.

Party	Best-Case Outcome	Worst-Case Outcome
Northstar	Full liability finding on contract, tort, and breach of confidence; s. 16 cap defeated by gross negligence; s. 17 indemnity uncapped and covers first-party costs; \$1.2M attrition causally proven; counterclaim dismissed for breach entitling non-payment.	Liability found only for the (capped) contract breach; s. 16 cap applies at \$925,000; breach of confidence and tort claims dismissed; attrition claim fails for want of causation; counterclaim succeeds in whole or part, net recovery to Northstar reduced or eliminated by the Milestone 4 set-off and interest.
Redline	Liability dismissed entirely (immaterial/authorized migration, standard of care met, no actionable use of confidential information); counterclaim succeeds in full for \$370,000 plus interest.	Liability found in contract and tort; s. 16 cap defeated by a gross-negligence finding; full exposure to breach-of-confidence and indemnity claims; counterclaim reduced or extinguished by set-off against Northstar's damages award.

5. Damages / Quantum Control Table

Anchors Trap 3 to a single consolidated table. Every claimed amount used anywhere in this matter must trace to a row below; no later document may introduce a new damages figure, or restate an existing one under a different label, without a corresponding update to this table in the same revision cycle.

Claim	Amount	Status	Evidence	Disputed?
Forensic investigation costs (Ironwood)	\$95,000	Documented	Invoice	No, as to amount; relevance/necessity may be argued
Client notification & call-centre surge staffing	\$140,000	Documented	Invoice	No, as to amount; necessity of scope may be argued
Credit monitoring services	\$310,000	Estimated / partially incurred	Internal records	Yes — both amount and necessity
Regulatory response and compliance costs	\$65,000	Documented	Invoice	No, as to amount; recoverability may be argued
Lost business / reputational harm (~40 closed accounts)	\$1,200,000	Claimed	Client/business records; expert evidence anticipated (Stage 6)	Yes — both causation and quantum (Issue 9)
SUBTOTAL — quantified economic losses	\$1,810,000	Control figure — sum of the five rows above	Multiple (as above)	Components individually disputed as noted; the arithmetic subtotal itself is not in dispute
General damages	Not yet quantified	To be pleaded	None yet	Yes — existence and quantum both to be pleaded
Northstar's overall claim / headline range	\$2,100,000–\$2,300,000	Estimate only — NOT an established or fully quantified figure	Demand letter (DOC-012); pleading	Yes — this range must never be presented as already-established (Document 1, s. 0.4; Trap 3, section 8, below)
Redline's counterclaim — Milestone 4 invoice	\$370,000	Documented	Invoice; Agreement (DOC-001)	Yes — entitlement disputed (withheld by Northstar); amount itself undisputed
Redline's counterclaim — contractual interest	2%/month simple, from Apr. 4, 2024 (s. 9.4)	Documented rate; running total not yet calculated	Agreement, s. 9.4 (DOC-001)	No, as to rate/method (Document 1, s. 0.5); yes, as to entitlement (tied to the underlying counterclaim)

6. Breach of Confidence — Three-Tier Evidentiary Distinction

This is a locked control concept for the entire matter, not limited to Issue 4. Every later document must keep the following three concepts factually distinct and must not use them interchangeably, regardless of which party's pleading or affidavit is being drafted:

- Tier 1 — Technical exposure: the database/storage component was, as a matter of configuration, publicly or externally accessible during the exposure window. This is the least contested tier on the current record.
- Tier 2 — Actual access: whether any specific unauthorized third party in fact accessed the exposed data. This is presently unresolved and constrained by the log-retention gap (Document 4, s. 2) — it is not established merely because Tier 1 is established.

- Tier 3 — Misuse/use: whether any accessed information was actually used, disclosed, or exploited by a third party (or, per Issue 4, whether Redline's own conduct constitutes 'use' within the breach-of-confidence test). This is analytically distinct from, and does not follow automatically from, Tier 2.

No later pleading, affidavit, forensic report, or factum may collapse Tier 1 into Tier 2 or Tier 3 (e.g., treating 'the data was exposed' as equivalent to 'the data was accessed' or 'the data was misused') unless a specific, later-introduced piece of evidence deliberately changes the ground truth for that tier — in which case the change must be made explicitly, in a dated revision to Document 4, not silently absorbed into a pleading. This distinction underlies Issue 4 (breach of confidence), Issue 3 (negligence, as to the scope of any breach), and Issue 9 (causation, since Northstar's damages theory depends on which tier its evidence actually supports). See also Trap 7, section 8, below.

7. AI Evaluation Capability Matrix

Maps each capability identified in the Lexocrates project brief to the specific point in this file where it is tested, the source documents required to test it, and the behaviour a passing response must exhibit. This is the design bridge to Document 39 (Question Bank) and Document 40 (Answer Key).

Capability	Test Point	Required Source Documents	Expected Evaluation Behaviour
Identify legal issues	All ten issues in Document 3 (incl. the 5A/5B split)	Pleadings (Stage 2); underlying documents (Stage 1)	Independently surfaces all issues without being handed Document 3.
Identify causes of action	Two distinct contract breaches (Issues 1–2), negligence, breach of confidence, declaratory relief (Issue 8)	Statement of Claim (DOC-014, once drafted); Agreement (DOC-001)	Distinguishes each cause of action rather than collapsing them into a single 'breach' claim.
Determine jurisdiction	Ontario Superior Court of Justice, Toronto Region	Agreement governing-law clause (DOC-001); Statement of Claim	Correctly identifies court and region — low-difficulty control check.
Locate relevant Canadian legislation	Limitations Act, 2002; Negligence Act; PIPEDA (via OPC notification)	Document 3; OPC report (DOC-010)	Cites accurately; does not invent an inapplicable statute (e.g., a provincial private-sector privacy statute that does not apply in Ontario).
Find applicable CanLII precedents	Authorities seeded in Document 3 (Sattva, BG Checo, Central Trust v. Rafuse, Tercon, Lac Minerals, Giffels, Hadley v. Baxendale, Mustapha, Southcott Estates)	Document 3; legal research memorandum (anticipated, Document 27)	Locates these independently; does not substitute superficially similar but inapposite authority.
Distinguish binding and persuasive authority	SCC authorities vs. Fraser Jewellers (ONCA) vs. Hadley v. Baxendale (English, persuasive only)	Document 3	Correctly ranks authority by bindingness within the Ontario hierarchy.
Extract timelines	June 8/10/11/12/13/20/24 sequence	Document 2 (Master Chronology); DOC-005, DOC-006, DOC-007, DOC-008	Reproduces the sequence without collapsing the distinct June 10/11/12 dates (Trap 2).
Identify contradictions in evidence	Every row of Document 4, s. 1 (Core Contradictions)	Document 4; underlying documents (Stage 1)	Names the contradiction; does not silently adopt one party's account.

Capability	Test Point	Required Source Documents	Expected Evaluation Behaviour
Recognize missing documents	Signed change order; Feb 8 minutes; pre-April 2024 logs; formal incident report	Document 4, s. 2	Flags the gap; does not assume a document exists because a party alleges its contents.
Suggest additional research	Availability of contributory negligence against a contract claim (Issue 5B, Giffels); s. 17/s. 16 interaction (Issue 8)	Document 3, Issues 5B and 8	Identifies the open question rather than asserting a resolved answer.
Draft legal documents	Pleadings, affidavits, factums built from this control layer	Documents 1–6 (all Stage 0 documents)	Tested at Stage 2 onward; drafted content must not contradict any locked fact or role.
Recommend litigation strategy	E.g., early expert retention on standard-of-care/causation given the log-retention gap	Document 3, Issues 3, 9; Document 4, s. 2	Recommendation is grounded in the specific evidentiary gap, not generic advice.
Assess legal risks	E.g., risk of overstating settlement value using the \$2.1–\$2.3M headline figure	Section 5, above (Damages/Quantum Control Table)	Correctly flags the figure as not fully quantified (Trap 3).
Detect procedural defects	Reserved for Stage 2 onward	Statement of Claim / Defence (DOC-014, DOC-015), once drafted	Tested against Ontario Rules of Civil Procedure requirements once real pleadings exist.
Generate case summaries	Whether a summary preserves every locked distinction	Documents 1–6 (all Stage 0 documents)	Preserves locked distinctions (notice sequence, damages figures, exposure/access/use tiers) rather than silently simplifying them away.

8. Deliberate Traps / Failure Modes

Consolidated from the 'must not' statements already embedded in Documents 1, 3, 4, and 5, and from sections 3, 5, and 6, above. A system that produces any of the following should be scored as having failed the corresponding evaluation point, even if the rest of its analysis is sound.

- Trap 1 — Manufacturing a limitation-period defence. Issue 10 is a control issue only (section 3, above): no party pleads, or should be made to plead, a viable limitation-period defence on these facts. The presence of multiple dated events in the chronology is not evidence of a genuine limitation dispute. The claim was issued well within two years on any candidate discovery date (Document 1, s. 0.3; Document 3, Issue 10). Document 40 must expressly penalize an AI that invents this defence by inference from isolated dates.
- Trap 2 — Collapsing the June 10/11/12 sequence into a single date or a single characterization (e.g., 'Northstar knew on June 10' or 'Redline first learned on June 11') (Document 4, s. 0).
- Trap 3 — Treating the \$2.1–\$2.3M range as an established or fully quantified figure, rather than the \$1,810,000 documented/estimated subtotal it actually is (Document 1, s. 0.4; section 5, above).
- Trap 4 — Labelling Issue 3 'professional negligence' or applying a licensure-based standard of care to a commercial (non-regulated-profession) vendor. This is a commercial technology vendor, not a member of a regulated profession — the evaluation must assess ordinary negligence/concurrent tort principles, not import professional/licensure concepts (Document 3, Issue 3, terminology note).
- Trap 5 — Resolving the Feb 8, 2024 verbal-approval dispute by fiat in either direction, when no corroborating record exists on either side (Document 4, 'Consent to Feb 9 migration').

- Trap 6 — Resolving whether the s. 17 indemnity is subject to the s. 16 cap, or extends to first-party costs, when the Agreement is deliberately silent on both (Document 3, Issue 8, drafting note).
- Trap 7 — Collapsing technical exposure, actual access, and misuse/use into one another, when section 6, above, and Document 4 ('Exposure vs. actual access') preserve them as three distinct concepts, only the first of which is presently well-established.
- Trap 8 — Assuming contributory negligence is automatically available against Northstar's contract claims, without engaging the Giffels threshold question (Document 3, Issue 5B).
- Trap 9 — Treating Sarah Mackenzie's privileged legal advice as discoverable fact, or otherwise ignoring the privilege flags in Document 5 (Parties/Entity/Witness Register), section 5.
- Trap 10 — Attributing a finding, order, or investigative outcome to the OPC that does not exist in the record (Document 5, section 1).

9. Difficulty Calibration Rationale

This matter is tiered Intermediate (Document 1, header). It combines multiple concurrent causes of action (contract, tort, equity) and a statutory apportionment overlay (Negligence Act), several genuinely open interpretive questions (Issues 2, 4, 6, 7, 8), and a deliberately incomplete evidentiary record — sufficient complexity to require real legal reasoning rather than keyword matching. It is calibrated below Advanced/Expert tier because it involves only two principal parties and a small set of straightforward non-parties, a single jurisdiction (Ontario) with no conflict-of-laws question, no constitutional, Indigenous-rights, class-action, or multi-jurisdictional dimension, and a single governing, validly executed written contract rather than a disputed or partially oral agreement. The issue set is deliberately kept interconnected (migration → security compliance → exposure → negligence → breach of confidence → mitigation → liability cap → indemnity → damages → counterclaim) rather than expanded with additional, unrelated issues; interconnection, not issue count, is the intended source of difficulty.

10. Forward Pointer

This document is the conceptual foundation for Document 39 (AI Evaluation Question Bank) and Document 40 (Ground-Truth Answer Key), to be built once the underlying documents (Stage 1) and pleadings (Stage 2) exist to generate concrete, document-grounded test questions from the traps and capability points identified above.

SOFTWARE DEVELOPMENT AND CLIENT PORTAL LICENSE AGREEMENT

made as of January 15, 2023

BETWEEN:

NORTHSTAR FINANCIAL GROUP INC.
("Northstar")

- and -

REDLINE SOFTWARE SOLUTIONS INC.
("Redline")

Recitals

(A) Northstar is a corporation incorporated under the laws of Ontario, carrying on business as a wealth management and financial advisory firm.

(B) Redline is a corporation incorporated under the laws of Ontario, carrying on business as a custom software development and information technology consulting firm.

(C) Northstar wishes to retain Redline to design, build, and license a secure client-facing software platform, to be known as "NorthConnect," through which Northstar's clients may view account statements, portfolio holdings, and personal financial information, and communicate securely with their advisors, and Redline wishes to provide such services, on the terms set out in this Agreement.

NOW THEREFORE, in consideration of the mutual covenants set out in this Agreement, the parties agree as follows:

Article 1 — Definitions

In this Agreement, the following terms have the meanings set out below:

"Agreement" means this Software Development and Client Portal License Agreement, including all Schedules attached to it, as amended from time to time in accordance with its terms.

"Confidential Information" has the meaning given in Section 7.1.

"Designated Contact" means, for each party, the individual identified as such in Schedule D, as updated by written notice from time to time.

"Milestone" means each of the four project milestones described in Schedule B.

"Security Incident" means any actual or reasonably suspected unauthorized access to, or disclosure, loss, or acquisition of, Northstar Data.

"Services" means the design, development, testing, and delivery of the Software as described in Schedule A, together with the 90-day post-launch warranty and support period described in Schedule A.

"Software" means the NorthConnect client portal platform developed by Redline for Northstar under this Agreement, including all related documentation.

"Northstar Data" means all data, including personal information and financial information of Northstar's clients, submitted to, stored in, or processed by the Software.

Article 2 — Scope of Services

2.1 Services. Redline shall provide the Services in accordance with the statement of work set out in Schedule A, using personnel with suitable skill and experience.

2.2 Standard of Performance. Redline shall perform the Services in a professional and workmanlike manner consistent with generally accepted industry practices for commercial software development.

Article 3 — Term

3.1 Term. This Agreement commences on the date first written above and continues until the completion of all Milestones and the expiry of the 90-day warranty and support period described in Schedule A, unless earlier terminated in accordance with Article 13.

Article 4 — Milestones and Acceptance

4.1 Milestones. The Services shall be delivered in four Milestones as described in Schedule A, with payment for each Milestone due in accordance with Schedule B.

4.2 Sign-off. Each Milestone shall be deemed accepted upon written sign-off by Northstar's Designated Contact, which sign-off shall not be unreasonably withheld.

Article 5 — Acceptance Testing

5.1 UAT. Prior to sign-off of Milestone 3, Northstar shall conduct user acceptance testing of the Software in accordance with a test plan to be agreed by the parties. Redline shall remediate, at its own cost, any material defects identified during user acceptance testing prior to Milestone 3 sign-off.

Article 6 — Intellectual Property

6.1 Ownership. As between the parties, Northstar owns all right, title, and interest in and to the Software, other than any pre-existing tools, libraries, or methodologies of Redline incorporated into the Software, which remain the property of Redline and are licensed to Northstar on a perpetual, royalty-free basis for use in connection with the Software.

Article 7 — Confidentiality

7.1 Confidential Information. Each party may have access to certain confidential and proprietary information of the other party, including, in the case of Northstar, the personal and financial information of Northstar's clients accessible through or stored within the Software ("Confidential Information"). Confidential Information does not include information that is or becomes publicly available other than as a result of a breach of this Article 7.

7.2 Obligations. Each party shall protect the other party's Confidential Information using the same degree of care it uses to protect its own confidential information of a similar nature, but in no event less than a reasonable degree of care, and shall not use or disclose the other party's Confidential Information except as necessary to perform its obligations under this Agreement.

Article 8 — Data Protection and Privacy

8.1 Compliance. Redline shall comply with the security and privacy requirements set out in Schedule C in the design, development, and support of the Software.

8.2 Applicable Law. Each party shall comply with applicable Canadian privacy legislation, including the Personal Information Protection and Electronic Documents Act (Canada), in connection with its respective obligations under this Agreement.

Article 9 — Fees, Invoicing and Payment

9.1 Fees. The total fees payable by Northstar to Redline for the Services are \$1,850,000, allocated among the four Milestones as set out in Schedule B.

9.2 Invoicing. Redline shall invoice Northstar upon Milestone sign-off in accordance with Section 4.2.

9.3 Payment Terms. Northstar shall pay each invoice within thirty (30) days of the invoice date ("net 30").

9.4 Interest on Overdue Amounts. Any amount not paid when due shall bear interest at a rate of 2% per month (24% per annum), calculated as simple interest and not compounded, from the due date until the date of payment.

Article 10 — Taxes

10.1 All fees are exclusive of applicable taxes, which shall be added to each invoice as required by law.

Article 11 — Representations and Warranties

11.1 Mutual Representations. Each party represents and warrants that it has the corporate power and authority to enter into and perform this Agreement.

11.2 Redline's Warranty. Redline warrants that the Software will, for the 90-day period described in Schedule A, perform materially in accordance with the specifications set out in Schedule A.

Article 12 — Insurance

12.1 Redline shall maintain commercial general liability insurance and technology errors and omissions insurance, each with coverage of not less than \$2,000,000 per occurrence, for the duration of this Agreement.

Article 13 — Termination

13.1 Termination for Cause. Either party may terminate this Agreement on written notice if the other party materially breaches this Agreement and fails to cure such breach within thirty (30) days of written notice of the breach.

Article 14 — Security Incidents and Notice

14.1 Vendor's Incident Response Obligations. Upon becoming aware of a Security Incident, Redline shall: (a) take commercially reasonable steps to contain and remediate the Security Incident; (b) preserve all relevant logs and records relating to the Security Incident, subject to Schedule C; and (c) cooperate with Northstar's reasonable requests for information relating to the Security Incident.

14.2 Notice. Notice of a Security Incident or a material defect in the Software shall be given in writing to the other party's Designated Contact within a commercially reasonable time following discovery of such Security Incident or defect.

14.3 Designated Contacts. Each party's Designated Contact for purposes of this Article 14 is set out in Schedule D.

Article 15 — Compliance with Laws

15.1 Each party shall comply with all applicable laws in the performance of its obligations under this Agreement.

Article 16 — Limitation of Liability

16.1 Limitation. Except as set out in Section 16.2, in no event shall Redline's aggregate liability arising out of or relating to this Agreement, whether in contract, tort (including negligence), or otherwise, exceed the total fees paid by Northstar to Redline in the twelve (12) months immediately preceding the event giving rise to the claim.

16.2 Exceptions. The limitation in Section 16.1 does not apply to losses arising from Redline's gross negligence or wilful misconduct.

16.3 Exclusion of Indirect Damages. Neither party shall be liable to the other for any indirect, special, incidental, or consequential damages, including loss of profits or loss of business opportunity, whether arising in contract, tort, or otherwise, except in respect of a party's indemnification obligations under Article 17.

Article 17 — Indemnification

17.1 Indemnification by Redline. Redline shall indemnify, defend, and hold harmless Northstar from and against any and all claims, losses, damages, fines, and reasonable costs (including reasonable legal fees) arising out of or resulting from (a) Redline's breach of this Agreement, or (b) Redline's negligent acts or omissions in the performance of the Services, provided that Northstar (i) gives Redline prompt written notice of any such claim, and (ii) affords Redline a reasonable opportunity to participate in the defence of the claim.

Article 18 — General Provisions

18.1 Assignment. Neither party may assign this Agreement without the prior written consent of the other party, not to be unreasonably withheld.

18.2 Entire Agreement. This Agreement, including its Schedules, constitutes the entire agreement between the parties with respect to its subject matter and supersedes all prior discussions and agreements.

18.3 Amendment. This Agreement may be amended only by a written instrument signed by both parties.

18.4 Severability. If any provision of this Agreement is held invalid or unenforceable, the remainder of this Agreement shall continue in full force and effect.

18.5 Notices (General). Except as otherwise provided in Section 14.2, any notice under this Agreement shall be in writing and delivered by email to the recipient's Designated Contact, with confirmation of receipt.

18.6 Governing Law. This Agreement is governed by the laws of the Province of Ontario and the federal laws of Canada applicable therein, and the parties attorn to the exclusive jurisdiction of the courts of Ontario.

18.7 Counterparts. This Agreement may be executed in counterparts, each of which is deemed an original, and all of which together constitute one agreement.

IN WITNESS WHEREOF the parties have executed this Agreement as of the date first written above.

NORTHSTAR FINANCIAL GROUP INC.

Per: _____
David Chen, Chief Operating Officer

REDLINE SOFTWARE SOLUTIONS INC.

Per: _____
Jonathan Reyes, Chief Technology Officer

Schedule A — Statement of Work

1. Description of the Software

NorthConnect is a secure, web- and mobile-accessible client portal permitting Northstar's clients to (a) view account statements and portfolio holdings; (b) access personal financial and identification information on file with Northstar; and (c) communicate securely with their Northstar advisor.

2. Milestones

- Milestone 1 — Design and Discovery: completion of solution architecture, UI/UX design, and technical specifications.
- Milestone 2 — Core Build: completion of core platform functionality in accordance with the Milestone 1 specifications.
- Milestone 3 — Testing: completion of system testing and successful user acceptance testing per Article 5.
- Milestone 4 — Go-Live and Support: production launch of the Software and provision of a 90-day post-launch warranty and support period ("hypercare").

Schedule B — Milestone Payment Schedule

Milestone	Fee	Payable Upon
Milestone 1 — Design and Discovery	\$370,000	Sign-off of Milestone 1 deliverables
Milestone 2 — Core Build	\$555,000	Sign-off of Milestone 2 deliverables
Milestone 3 — Testing	\$555,000	Sign-off of Milestone 3 deliverables, incl. UAT
Milestone 4 — Go-Live and Support	\$370,000	Production launch of the Software
TOTAL	\$1,850,000	—

Schedule C — Security and Privacy Requirements

1. Encryption

Redline shall ensure that Northstar Data is encrypted at rest and in transit using industry-standard encryption protocols.

2. Access Controls

Redline shall implement role-based access controls limiting access to Northstar Data to personnel and system components with a legitimate need for such access.

3. Logging and Monitoring

The Software shall generate access logs for all access to Northstar Data. As between the parties, Northstar is responsible for the retention and archival of such logs in accordance with its own data retention policies; provided that Redline shall configure the Software's default log retention period at not less than thirty (30) days unless otherwise directed by Northstar in writing, and Northstar acknowledges that logs not separately archived by Northstar will be deleted in accordance with that default configuration.

4. Change Control

Any material change to the Software's data architecture, including without limitation changes to database schemas, data storage configurations, or access control mechanisms, shall require a written change order executed by each party's

Designated Contact prior to implementation. For greater certainty, routine maintenance, bug fixes, and non-material configuration adjustments that do not alter the Software's data architecture do not require a change order under this Section 4.

5. Penetration Testing

Redline shall arrange for a third-party penetration test of the Software not less than once every twelve (12) months and shall provide Northstar with a summary of the results.

6. PIPEDA Compliance

Redline shall design and maintain the Software in a manner consistent with the requirements of the Personal Information Protection and Electronic Documents Act (Canada) applicable to a service provider processing personal information on behalf of a data controller.

Schedule D — Designated Contacts

Party	Designated Contact	Title
Northstar Financial Group Inc.	Priya Nathwani	Director, Information Technology
Redline Software Solutions Inc.	Marcus Oduya	Senior Project Manager

PRE-LITIGATION CORRESPONDENCE BUNDLE

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No. CV-24-00728415-0000
Ontario Superior Court of Justice — Toronto Region

Index

Tab	Document	Date	Document ID
1	Email — Marcus Oduya (Redline) to David Chen and Priya Nathwani (Northstar)	June 12, 2024	DOC-007
2	Letter — Sarah Mackenzie (Northstar) to Jonathan Reyes (Redline), re: withholding of Milestone 4 payment	July 2, 2024	DOC-011
3	Letter — Whitfield Burns LLP to Redline Software Solutions Inc. (demand letter)	August 5, 2024	DOC-012
4	Letter — Prentice Okafor LLP to Whitfield Burns LLP (response)	August 22, 2024	DOC-013
5	Note re: September 2024 settlement discussions	September 2024	N/A — not reproduced

This bundle contains the correspondence exchanged between the parties prior to the commencement of litigation. Internal working documents (such as Priya Nathwani's June 10, 2024 notes) and technical records (such as the February 9, 2024 migration records) are not correspondence and are addressed separately in the Document Production Bundle.

From: Marcus Oduya <moduya@redlinesoftware.ca>

To: David Chen <dchen@northstarfinancial.ca>; Priya Nathwani <pnathwani@northstarfinancial.ca>

Cc: Jonathan Reyes <jreyes@redlinesoftware.ca>

Date: Wednesday, June 12, 2024, 4:47 PM EDT

Subject: URGENT — NorthConnect Storage Configuration Issue — Immediate Remediation Required

Hi David, hi Priya,

Following up on our call yesterday, I wanted to give you a written summary of what we've found.

Overnight, our engineering team conducted a full audit of the NorthConnect storage configuration, focusing on the changes deployed as part of the February 9 update (the tax-slip upload feature). We've identified that the storage bucket associated with that update was configured with broader access permissions than intended. Based on our initial review, this misconfiguration has been in place since the update was deployed.

We are treating this as a priority incident. Recommended next steps:

1. We will correct the permissions immediately — this can be done within the hour once we have your go-ahead.
2. We recommend a joint call today to review the scope of the issue and coordinate on any client-facing steps.
3. We will preserve all available logs and configuration history for review, though I should flag that our standard retention window means we may not have complete logs going back to February.

Please call me as soon as you get this — I'm available all day.

Marcus

Marcus Oduya | Senior Project Manager | Redline Software Solutions Inc.

NORTHSTAR FINANCIAL GROUP INC.
100 King Street West, Suite 3400, Toronto, ON M5X 1A1

July 2, 2024

VIA EMAIL

Jonathan Reyes
Chief Technology Officer
Redline Software Solutions Inc.
220 Bay Street, Suite 900
Toronto, ON M5J 2W4

Re: Withholding of Milestone 4 Invoice — NorthConnect Agreement

Dear Jonathan,

I am writing further to the security incident investigated between June 8 and June 13, 2024 involving the NorthConnect platform, and the findings communicated by Marcus Oduya on June 12, 2024.

As you are aware, Northstar has incurred, and continues to incur, significant costs in responding to this incident, including forensic investigation, client notification, and regulatory reporting costs. Northstar's preliminary view is that the incident arose from a modification to the platform's data architecture made on or about February 9, 2024, which we do not believe was accompanied by the written change order required under Schedule C of the Agreement.

In these circumstances, Northstar is withholding payment of the invoice issued March 5, 2024 in the amount of \$370,000 (the "Milestone 4 Invoice"), pending resolution of this matter. Northstar reserves all of its rights and remedies under the Agreement and at law, including its right to set off any amounts otherwise owing against damages arising from the incident.

We remain willing to discuss this matter and would welcome the opportunity to do so at your convenience.

Yours truly,

Sarah Mackenzie
General Counsel, Northstar Financial Group Inc.

WHITFIELD BURNS LLP

Barristers & Solicitors | 130 Adelaide Street West, Suite 2200, Toronto, ON M5H 3P5

August 5, 2024

VIA EMAIL AND REGISTERED MAIL

Redline Software Solutions Inc.
220 Bay Street, Suite 900
Toronto, ON M5J 2W4
Attention: Jonathan Reyes, Chief Technology Officer

Re: Northstar Financial Group Inc. — NorthConnect Data Security Incident

Dear Mr. Reyes,

We are counsel to Northstar Financial Group Inc. ("Northstar") in connection with the data security incident affecting the NorthConnect platform in June 2024. We write to set out Northstar's position and to demand resolution of this matter.

Northstar's position, in summary, is as follows. On or about February 9, 2024, Redline Software Solutions Inc. ("Redline") implemented a change to NorthConnect's database schema without obtaining the written change order required under Schedule C, section 4 of the parties' Agreement. That change left a storage component misconfigured such that it was externally accessible. Northstar's internal review identified irregular activity on June 8, 2024. Redline's own audit, communicated in writing on June 12, 2024, confirmed that the storage permissions had been misconfigured since February 9, 2024.

As a result of this incident, Northstar has incurred substantial costs, including forensic investigation costs, client notification costs, credit monitoring costs, and regulatory response costs, and has suffered damage to its client relationships. Northstar's damages, inclusive of anticipated general damages, are presently estimated at approximately \$2.1 to \$2.3 million, and continue to accrue.

Northstar's position is that Redline is liable for breach of contract (including breach of Schedule C's security requirements and change control protocol), negligence, and breach of confidence, and that Redline is obligated to indemnify Northstar under section 17 of the Agreement.

We demand that Redline respond to this letter within twenty (20) days confirming its willingness to resolve this matter, failing which Northstar will have no choice but to commence litigation without further notice.

Nothing in this letter is intended as, nor should it be construed as, a waiver of any of Northstar's rights or remedies, all of which are expressly reserved.

Yours truly,

Alison Whitfield
Whitfield Burns LLP

PRENTICE OKAFOR LLP

Barristers & Solicitors | 1 Queen Street East, Suite 1500, Toronto, ON M5C 2W5

August 22, 2024

VIA EMAIL

Alison Whitfield
Whitfield Burns LLP
130 Adelaide Street West, Suite 2200
Toronto, ON M5H 3P5

Re: Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Dear Ms. Whitfield,

We are counsel to Redline Software Solutions Inc. ("Redline") and write in response to your letter of August 5, 2024. Redline denies liability in its entirety and sets out its position below.

Redline disputes that the February 9, 2024 update required a written change order under Schedule C, section 4. The change was a minor, like-for-like schema extension implemented to support a document-upload feature, and did not constitute a material change to NorthConnect's data architecture. In any event, Redline's position is that the change was discussed, and verbally approved by Northstar's Director of Information Technology, Priya Nathwani, during a status call on February 8, 2024.

Redline further says that Northstar's own conduct is directly relevant to any assessment of damages. Northstar's internal records indicate that Northstar identified irregular activity as early as June 8, 2024, yet did not formally engage Redline until June 11, 2024 — a delay for which Redline has not been provided any explanation. To the extent Northstar's damages were increased by this delay, Redline says Northstar has failed to mitigate its loss.

Redline disputes the scope of exposure alleged by Northstar. Redline's review of the available access logs does not support Northstar's assumption that its full active user base was affected, and Redline is not aware of any evidence that client data was, in fact, accessed by an unauthorized third party, as opposed to being merely technically accessible for a period of time.

Without prejudice to the foregoing, Redline notes that any liability it may have is, in any event, subject to the limitation of liability provision at section 16 of the Agreement, which caps Redline's aggregate liability at the fees paid by Northstar in the twelve months preceding any claim.

Finally, Redline demands immediate payment of the outstanding Milestone 4 invoice in the amount of \$370,000, together with interest accruing under section 9.4 of the Agreement from April 4, 2024.

We remain available to discuss a resolution of this matter and look forward to your response.

Yours truly,

Daniel Okafor
Prentice Okafor LLP

Note Regarding September 2024 Settlement Discussions

Following the exchange of correspondence at Tabs 3 and 4, counsel for the parties engaged in without-prejudice settlement discussions during September 2024. No resolution was reached. The substance of those discussions is protected by settlement privilege and is not reproduced in this bundle. This bundle records only that such discussions took place and their outcome (no resolution), consistent with the without-prejudice rule.

ONTARIO SUPERIOR COURT OF JUSTICE

B E T W E E N:
NORTHSTAR FINANCIAL GROUP INC.

Plaintiff

- and -
REDLINE SOFTWARE SOLUTIONS INC.

Defendant

STATEMENT OF CLAIM

TO THE DEFENDANT

A LEGAL PROCEEDING HAS BEEN COMMENCED AGAINST YOU by the plaintiff. The claim made against you is set out in the following pages.

IF YOU WISH TO DEFEND THIS PROCEEDING, you or an Ontario lawyer acting for you must prepare a statement of defence in the prescribed form, serve it on the plaintiff's lawyer, and file it with proof of service, in this court office, **WITHIN TWENTY DAYS** after this statement of claim is served on you, if you are served in Ontario.

IF YOU FAIL TO DEFEND THIS PROCEEDING, JUDGMENT MAY BE GIVEN AGAINST YOU IN YOUR ABSENCE and you may lose the right to defend this proceeding at all.

Date: October 7, 2024

Issued by: Local Registrar, Ontario Superior Court of Justice, 393 University Avenue, Toronto, ON M5G 1E6

CLAIM

1. The Plaintiff, Northstar Financial Group Inc. ("Northstar"), claims against the Defendant, Redline Software Solutions Inc. ("Redline"):

- (a) damages in the amount of \$2,300,000, or such other amount as this Honourable Court may find, for breach of contract, negligence, and breach of confidence;
- (b) a declaration that Redline is obligated to indemnify Northstar pursuant to section 17 of the Software Development and Client Portal License Agreement dated January 15, 2023 (the "Agreement");
- (c) prejudgment and postjudgment interest pursuant to the Courts of Justice Act, R.S.O. 1990, c. C.43;
- (d) costs of this action on a substantial indemnity basis, or such other basis as this Honourable Court considers just; and
- (e) such further and other relief as to this Honourable Court may seem just.

THE PARTIES

2. Northstar is a corporation incorporated under the laws of Ontario, carrying on business as a wealth management and financial advisory firm in Toronto, Ontario, serving approximately 14,000 retail and high-net-worth client accounts.

3. Redline is a corporation incorporated under the laws of Ontario, carrying on business as a custom software development and information technology consulting firm.

THE AGREEMENT

4. By the Agreement, Redline agreed to design, build, and license a secure client-facing software platform, known as "NorthConnect," through which Northstar's clients could view account statements, portfolio holdings, and personal financial information, and communicate securely with their advisors.

5. The Agreement was a fixed-price engagement of \$1,850,000, payable across four milestones as set out in Schedule B to the Agreement.

6. Schedule C to the Agreement (Security and Privacy Requirements) required, among other things, that Redline: (a) encrypt Northstar Data at rest and in transit; (b) implement role-based access controls; (c) obtain a written change order executed by each party's Designated Contact before implementing any material change to the Software's data architecture; and (d) design and maintain the Software consistently with the Personal Information Protection and Electronic Documents Act (Canada).

7. Priya Nathwani, Northstar's Director of Information Technology, was and is Northstar's Designated Contact under the Agreement. Marcus Oduya, Redline's Senior Project Manager, was and is Redline's Designated Contact under the Agreement.

PERFORMANCE AND LAUNCH

8. NorthConnect launched to Northstar's client base on March 1, 2024. Northstar paid Redline the first three milestone payments, totalling \$1,480,000, without incident.

THE FEBRUARY 9, 2024 MIGRATION

9. On or about February 9, 2024, Redline implemented a change to NorthConnect's database schema (the "Migration") to support a document-upload feature for tax slips.

10. Northstar says that the Migration constituted a material change to the Software's data architecture within the meaning of Schedule C, section 4 of the Agreement.

11. No written change order executed by the parties' Designated Contacts was obtained for the Migration, as required by Schedule C, section 4.

12. Northstar says that, following the Migration, a storage component of the Software was misconfigured such that it was accessible from outside Northstar's authorized systems (the "Misconfiguration").

THE JUNE 2024 INCIDENT

13. On June 8, 2024, Northstar's internal security monitoring detected anomalous after-hours access patterns on the NorthConnect database.
14. Northstar's Director of Information Technology, Priya Nathwani, began an internal investigation on June 9, 2024.
15. On June 11, 2024, representatives of Northstar contacted Redline by telephone to raise questions concerning the February 9, 2024 update.
16. On June 12, 2024, Marcus Oduya, on behalf of Redline, advised Northstar in writing that Redline's own audit had confirmed the Misconfiguration had existed since February 9, 2024, and recommended immediate remediation.
17. The Misconfiguration was corrected on June 13, 2024.
18. Northstar retained Ironwood Cyber Forensics Inc. ("Ironwood") to investigate the scope of the Misconfiguration. Ironwood's preliminary findings, dated June 20, 2024, identified a potential exposure window from February 9, 2024 to June 13, 2024, and noted that complete access logs were not available for the period prior to April 2024.
19. In light of the uncertainty as to the scope of exposure created by the Misconfiguration and the incomplete logs, Northstar notified all of its approximately 12,000 active NorthConnect users and reported the incident to the Office of the Privacy Commissioner of Canada on June 24, 2024.

DAMAGES

20. As a result of the matters pleaded above, Northstar has incurred, and continues to incur, damages, including:
 - (a) forensic investigation costs of \$95,000;
 - (b) client notification and call-centre costs of \$140,000;
 - (c) credit monitoring costs of \$310,000;
 - (d) regulatory response and compliance costs of \$65,000; and
 - (e) lost business and reputational harm, in an amount to be proven at trial but presently estimated at not less than \$1,200,000.
21. In addition to the amounts pleaded above, Northstar claims general damages in an amount to be assessed, reflecting further consequential losses arising from the matters pleaded herein, including potential third-party and regulatory claims, that cannot presently be precisely quantified. Northstar's claim for damages, inclusive of general damages, is presently estimated at approximately \$2,300,000, subject to further particularization and expert evidence.
22. Northstar withheld payment of the fourth and final milestone invoice, in the amount of \$370,000, by written notice dated July 2, 2024, and pleads and relies upon its right of set-off against the damages claimed herein.

BREACH OF CONTRACT

23. Redline breached the Agreement by: (a) implementing the Migration, which Northstar says was a material change to the Software's data architecture, without obtaining a written change order, contrary to Schedule C, section 4; (b) failing to maintain the security of Northstar Data as required by Schedule C; and (c) failing to give timely notice of the Misconfiguration as required by section 14.2 of the Agreement.

NEGLIGENCE

24. In the alternative, and in addition to its contractual obligations, Redline owed Northstar a duty of care in the design, development, testing, and deployment of the Software. Redline breached the standard of care of a reasonably competent software developer by, among other things: (a) implementing the Migration without following secure-by-default configuration practices; (b) failing to configure access controls on the affected storage component appropriately; (c) failing to verify storage permissions following the Migration; and (d) failing to detect and remediate the resulting Misconfiguration prior to June 2024.

BREACH OF CONFIDENCE

25. Northstar's clients' personal and financial information constituted confidential information within the meaning of Article 7 of the Agreement and was imparted to Redline in circumstances of confidence. Northstar says that the Misconfiguration made that confidential information accessible to unauthorized third parties, contrary to Redline's obligations of confidence.

INDEMNIFICATION

26. Pursuant to section 17 of the Agreement, Redline is obligated to indemnify Northstar for the losses Northstar characterizes as third-party-claim-exposure and regulatory-response costs, namely the forensic investigation costs, client notification costs, credit monitoring costs, and regulatory response and compliance costs pleaded above, and for any claims that may be asserted against Northstar by its clients or by regulatory authorities arising from the Misconfiguration. For greater certainty, Northstar's claim for lost business and reputational harm is pleaded as direct damages for breach of contract and negligence above, and not as a cost falling within the indemnity in section 17.

PLACE OF TRIAL

27. Northstar proposes that this action be tried in the City of Toronto.

October 7, 2024

WHITFIELD BURNS LLP

130 Adelaide Street West, Suite 2200

Toronto, ON M5H 3P5

Alison Whitfield (LSO # 00000A)

Tel: 416-555-0142

Email: awhitfield@whitfieldburns.ca

Lawyers for the Plaintiff, Northstar Financial Group Inc.

ONTARIO SUPERIOR COURT OF JUSTICE

B E T W E E N:

NORTHSTAR FINANCIAL GROUP INC.

Plaintiff (Defendant by Counterclaim)

- and -

REDLINE SOFTWARE SOLUTIONS INC.

Defendant (Plaintiff by Counterclaim)

STATEMENT OF DEFENCE AND COUNTERCLAIM

PART I — STATEMENT OF DEFENCE

1. Except as expressly admitted below, Redline denies each and every allegation in the Statement of Claim and puts Northstar to the strict proof thereof.

ADMISSIONS

2. Redline admits the allegations in paragraphs 2 and 3 of the Statement of Claim.

3. Redline admits that it entered into the Agreement with Northstar as alleged in paragraph 4, and that the Agreement speaks for itself as to its terms. Redline denies any characterization of the Agreement's terms that is inconsistent with its actual text.

4. Redline admits the allegations in paragraph 5 (the milestone structure) and paragraph 8 (the launch date and the payment of the first three milestones).

5. Redline admits the allegations in paragraph 7, that Priya Nathwani was Northstar's Designated Contact and Marcus Oduya was Redline's Designated Contact under the Agreement.

6. Redline admits that it implemented a change to NorthConnect's database schema on or about February 9, 2024 to support a document-upload feature, as alleged in paragraph 9, but denies the characterization of that change pleaded in paragraphs 10 and 11, as set out further below.

7. Redline admits that Marcus Oduya sent a written email to Northstar on June 12, 2024, the contents of which speak for themselves, and admits that the permissions issue was corrected on June 13, 2024, as alleged in paragraphs 16 and 17.

8. Redline has no knowledge of, and therefore does not admit, the allegations in paragraphs 14, 18, and 19 of the Statement of Claim concerning Northstar's internal investigation, its retention of Ironwood Cyber Forensics Inc. ("Ironwood"), and its notification decisions, and puts Northstar to the strict proof thereof.

THE FEBRUARY 9, 2024 CHANGE WAS NOT MATERIAL, AND WAS IN ANY EVENT APPROVED

9. Redline denies the allegations in paragraphs 10 and 11 of the Statement of Claim. The change implemented on February 9, 2024 was a minor, like-for-like extension of the existing database schema to support a document-upload feature. It did not constitute a "material change to the Software's data architecture" within the meaning of Schedule C, section 4 of the Agreement, and did not require a written change order.

10. In the further alternative, if the change did require a written change order, which is denied, Redline pleads that the change was discussed with, and verbally approved by, Priya Nathwani, Northstar's Designated Contact, during a status call on February 8, 2024, and that in the circumstances Northstar is estopped from relying on the absence of a written change order.

NOTICE WAS TIMELY

11. Redline denies the allegation in paragraph 23(c) of the Statement of Claim that it failed to give timely notice. Redline says it was first alerted to a possible issue with the Software during the June 11, 2024 telephone call, and provided written notice to Northstar within approximately twenty-four hours, on June 12, 2024, which was within a commercially reasonable time as required by section 14.2 of the Agreement.

12. In the further alternative, Redline pleads that if Northstar had reason to suspect an issue with the Software as early as June 8 or June 9, 2024, which is not admitted, Northstar's delay in raising the issue with Redline until June 11, 2024 is relevant to the matters pleaded below concerning mitigation and contributory negligence.

NO BREACH OF SCHEDULE C

13. Redline denies that it breached Schedule C of the Agreement. The Software as delivered and accepted by Northstar at each Milestone sign-off, including the Milestone 3 (UAT) sign-off in January 2024, met the requirements of Schedule C.

NO BREACH OF CONFIDENCE

14. Redline denies the allegations in the paragraph of the Statement of Claim under the heading "Breach of Confidence." Redline did not itself access, view, disclose, or make any use of any confidential information of Northstar or its clients. Any technical accessibility of data resulting from the February 9, 2024 change was unintentional.

THE SCOPE OF EXPOSURE IS DENIED

15. Redline denies the allegations in paragraph 19 of the Statement of Claim concerning the scope of exposure. Redline's review of the Software's access logs, to the extent available, does not support an assumption that Northstar's full active user base was affected. Redline has no knowledge of, and does not admit, that any unauthorized third party in fact accessed, viewed, or downloaded any Northstar Data.

MITIGATION AND CONTRIBUTORY NEGLIGENCE

16. In the further alternative, if Redline is found liable to Northstar, which is denied, Redline pleads that Northstar failed to mitigate its damages by delaying its escalation of the issue to Redline between June 8/9, 2024 and June 11, 2024, and that any damages recoverable by Northstar should be reduced accordingly.

17. In the further alternative, and to the extent Northstar's claim sounds in tort, Redline pleads that Northstar was contributorily negligent, and that any damages should be apportioned pursuant to the Negligence Act, R.S.O. 1990, c. N.1.

DAMAGES ARE DENIED

18. Redline denies the damages alleged in the Statement of Claim, including in particular the alleged lost business and reputational harm of \$1,200,000, which Redline pleads is speculative and not causally connected to the matters alleged in the Statement of Claim.

LIMITATION OF LIABILITY

19. In the further alternative, if Redline is found liable to Northstar in any amount, which is denied, Redline pleads that its liability is limited pursuant to section 16.1 of the Agreement to the total fees paid by Northstar to Redline in the twelve months immediately preceding the event giving rise to the claim.

NO INDEMNIFICATION OWING

20. Redline denies that it is obligated to indemnify Northstar as alleged in the Statement of Claim. In the further alternative, Redline pleads that any indemnification obligation under section 17 of the Agreement is subject to, and limited by, section 16 of the Agreement.

21. Redline pleads that Northstar's claim should be dismissed with costs to Redline.

PART II — COUNTERCLAIM

22. Redline repeats and relies upon the allegations set out in Part I of this pleading.

23. Redline, Plaintiff by Counterclaim, claims against Northstar, Defendant by Counterclaim:

- (a) payment of \$370,000, being the outstanding Milestone 4 invoice;
- (b) interest on the foregoing at 2% per month (24% per annum), calculated as simple interest and not compounded, pursuant to section 9.4 of the Agreement, from April 4, 2024 to the date of payment;
- (c) costs of the counterclaim; and
- (d) such further and other relief as to this Honourable Court may seem just.

24. NorthConnect launched on March 1, 2024, in accordance with the Agreement. Redline invoiced Northstar for the Milestone 4 fee of \$370,000 on March 5, 2024, payable within thirty days pursuant to section 9.3 of the Agreement.

25. Northstar has not paid the Milestone 4 invoice. By letter dated July 2, 2024, Northstar purported to withhold payment on the basis of the allegations set out in the Statement of Claim, which allegations Redline denies for the reasons pleaded in Part I above.

26. Redline pleads that it is entitled to payment of the Milestone 4 invoice regardless of the outcome of Northstar's claim, as the invoice reflects fees earned for Services properly performed and accepted by Northstar.

PLACE OF TRIAL

27. Redline proposes that this action be tried in the City of Toronto.

November 5, 2024

PRENTICE OKAFOR LLP

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Toronto, ON M5C 2W5

Daniel Okafor (LSO # 00000B)

Tel: 416-555-0198

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Lawyers for the Defendant (Plaintiff by Counterclaim), Redline Software Solutions Inc.

ONTARIO SUPERIOR COURT OF JUSTICE

B E T W E E N:

NORTHSTAR FINANCIAL GROUP INC.

Plaintiff (Defendant by Counterclaim)

- and -

REDLINE SOFTWARE SOLUTIONS INC.

Defendant (Plaintiff by Counterclaim)

REPLY AND DEFENCE TO COUNTERCLAIM

PART I — REPLY

1. Northstar joins issue with the Statement of Defence and Counterclaim, except to the extent it admits the allegations therein.
2. In reply to the allegation that the February 9, 2024 change was discussed with and verbally approved by Priya Nathwani during the February 8, 2024 status call, Northstar denies that any such discussion or approval occurred. Northstar pleads that, in any event, Redline cannot rely on an alleged oral approval to dispense with the written change order required by Schedule C, section 4. Northstar further pleads, in addition to and independently of that requirement, that section 18.3 of the Agreement separately requires that any amendment to the Agreement be in writing and signed by both parties.
3. In reply to the allegation that Northstar is estopped from relying on the absence of a written change order, Northstar denies that the elements of estoppel are made out. Northstar pleads that it never communicated, by words or conduct, an unequivocal intention to waive the written change-order requirement, and that Redline cannot establish detrimental reliance on any such alleged waiver.
4. In reply to the allegation that Northstar delayed in raising the issue with Redline between June 8/9 and June 11, 2024, Northstar pleads that its internal review during that period was reasonable and appropriate in the circumstances, and denies that any such period caused or contributed to its damages.
5. In reply to the plea of failure to mitigate and contributory negligence, Northstar denies that it failed to mitigate its damages or was contributorily negligent, and pleads that Redline bears the onus of proving any such failure and has not done so.
6. In reply to the plea that Redline's liability, if any, is limited by section 16 of the Agreement, Northstar pleads that Redline's conduct in implementing the February 9, 2024 change without a written change order, in circumstances where Redline knew or ought to have known of the resulting risk to Northstar's client data, constitutes gross negligence, and that Northstar's losses arise from that gross negligence, within the meaning of section 16.2 of the Agreement, such that the exception in section 16.2 applies and the limitation in section 16.1 does not apply to Northstar's claims.
7. Northstar denies each and every other allegation in the Statement of Defence and Counterclaim not specifically admitted herein.

PART II — DEFENCE TO COUNTERCLAIM

8. Northstar repeats and relies upon the allegations in the Statement of Claim and in the Reply set out in Part I above.
9. Northstar admits that it has not paid the Milestone 4 invoice referred to in the Counterclaim.

10. Northstar pleads that it is entitled to withhold and set off payment of the Milestone 4 invoice against its damages claim in the main action, on the basis that Redline's breaches of the Agreement, as pleaded in the Statement of Claim, are directly related to the Services for which the Milestone 4 invoice was issued.

11. In the further alternative, Northstar pleads that the Software as delivered at Milestone 4 did not conform to the requirements of Schedule C of the Agreement, and that Redline is therefore not entitled to payment in full of the Milestone 4 invoice.

12. Northstar pleads that the Counterclaim should be dismissed with costs to Northstar or, in the further alternative, that any amount found owing to Redline on the Counterclaim should be set off against the damages awarded to Northstar in the main action.

November 25, 2024

WHITFIELD BURNS LLP

130 Adelaide Street West, Suite 2200
Toronto, ON M5H 3P5

Alison Whitfield (LSO # 00000A)

Tel: 416-555-0142

Email: awhitfield@whitfieldburns.ca

Lawyers for the Plaintiff (Defendant by Counterclaim), Northstar Financial Group Inc.

ONTARIO SUPERIOR COURT OF JUSTICE

B E T W E E N:

NORTHSTAR FINANCIAL GROUP INC.

Plaintiff (Defendant by Counterclaim)

- and -

REDLINE SOFTWARE SOLUTIONS INC.

Defendant (Plaintiff by Counterclaim)

AFFIDAVIT OF DOCUMENTS OF THE PLAINTIFF (Form 30A)

I, SARAH MACKENZIE, of the City of Toronto, in the Province of Ontario, MAKE OATH AND SAY:

1. I am the General Counsel of Northstar Financial Group Inc. ("Northstar"), the plaintiff in this action, and as such have knowledge of the matters to which I hereinafter depose. Where I do not have personal knowledge, I have stated the source of my information and my belief that it is true.
2. I have made a diligent search and inquiry of Northstar's records, including its electronic records, to determine what documents relevant to any matter in issue in this action are or have been in Northstar's possession, control, or power.
3. Schedule A attached to this affidavit lists all documents relevant to any matter in issue in this action that are or have been in Northstar's possession, control, or power and that Northstar does not object to producing for inspection.
4. Schedule B attached to this affidavit lists all documents relevant to any matter in issue in this action that are or have been in Northstar's possession, control, or power that Northstar objects to producing on the grounds of privilege, and the grounds for each such objection.
5. Schedule C attached to this affidavit lists all documents that were formerly in Northstar's possession, control, or power relevant to any matter in issue in this action but that are no longer in Northstar's possession, control, or power, together with the disposition made of them.
6. I have never had in my possession, control, or power any document relevant to any matter in issue in this action other than the documents listed in Schedules A, B, and C.

SWORN before me at the City of Toronto,
in the Province of Ontario, this 10th day
of December, 2024.

A Commissioner for Taking Affidavits

Sarah Mackenzie

SCHEDULE A

Documents in Northstar's possession, control, or power that Northstar does not object to producing.

No.	Document	Date	Doc ID
1	Software Development and Client Portal License Agreement, incl. Schedule C	Jan 15, 2023	DOC-001
2	Milestone invoices and payment records (Milestones 1–4)	Mar 2023–Mar 2024	DOC-002
3	February 8, 2024 "Status Call" calendar invitation	Feb 8, 2024	DOC-003
4	Internal notes of Priya Nathwani	Jun 10, 2024	DOC-005
5	Northstar's internal record of the June 11, 2024 telephone call with Redline	Jun 11, 2024	DOC-006
6	Email from Marcus Oduya (Redline) to David Chen and Priya Nathwani	Jun 12, 2024	DOC-007
7	Ironwood Cyber Forensics Inc. preliminary findings	Jun 20, 2024	DOC-008
8	Client notification letter	Jun 24, 2024	DOC-009
9	OPC breach report	Jun 24, 2024	DOC-010
10	Northstar's written notice withholding Milestone 4 payment	Jul 2, 2024	DOC-011
11	Demand letter, Whitfield Burns LLP to Redline	Aug 5, 2024	DOC-012
12	Response letter, Prentice Okafor LLP to Whitfield Burns LLP	Aug 22, 2024	DOC-013
13	Statement of Claim	Oct 7, 2024	DOC-014
14	Statement of Defence and Counterclaim	Nov 5, 2024	DOC-015
15	Northstar security monitoring alert logs	Jun 8, 2024	DOC-016
16	Reply and Defence to Counterclaim	Nov 25, 2024	DOC-017
17	Client account and revenue attrition records	Compiled Dec 2024	DOC-018
18	Milestone 3 (UAT) sign-off documentation (Northstar's copy)	Jan 2024	DOC-019

The "Doc ID" column is an internal cross-reference identifier used consistently by both parties' counsel throughout this litigation to identify documents across affidavits, productions, and correspondence; it does not affect the numbering of this Schedule.

SCHEDULE B

Documents in Northstar's possession, control, or power that Northstar objects to producing on the grounds of privilege.

Document	Grounds for Privilege
Client Interview Memorandum dated July 15, 2024, and all other communications between Northstar and Whitfield Burns LLP concerning this action	Solicitor-client privilege and litigation privilege
Internal Northstar communications seeking or conveying legal advice from Whitfield Burns LLP concerning the matters in issue in this action	Solicitor-client privilege

Document	Grounds for Privilege
Without-prejudice settlement communications exchanged between counsel in September 2024	Settlement privilege

SCHEDULE C

Documents formerly in Northstar's possession, control, or power but no longer in Northstar's possession, control, or power.

Document	Disposition
Complete NorthConnect access logs for the period February 9, 2024 to approximately April 2024	Not retained. The Software's default log-retention configuration resulted in these records being unavailable by the time of the June 2024 investigation. See Schedule C, section 3 of the Agreement (DOC-001).

ONTARIO SUPERIOR COURT OF JUSTICE

B E T W E E N:

NORTHSTAR FINANCIAL GROUP INC.

Plaintiff (Defendant by Counterclaim)

- and -

REDLINE SOFTWARE SOLUTIONS INC.

Defendant (Plaintiff by Counterclaim)

AFFIDAVIT OF DOCUMENTS OF THE DEFENDANT (Form 30A)

I, JONATHAN REYES, of the City of Toronto, in the Province of Ontario, MAKE OATH AND SAY:

1. I am the Chief Technology Officer of Redline Software Solutions Inc. ("Redline"), the defendant in this action, and as such have knowledge of the matters to which I hereinafter depose. Where I do not have personal knowledge, I have stated the source of my information and my belief that it is true.
2. I have made a diligent search and inquiry of Redline's records, including its electronic records, to determine what documents relevant to any matter in issue in this action are or have been in Redline's possession, control, or power.
3. Schedule A attached to this affidavit lists all documents relevant to any matter in issue in this action that are or have been in Redline's possession, control, or power and that Redline does not object to producing for inspection.
4. Schedule B attached to this affidavit lists all documents relevant to any matter in issue in this action that are or have been in Redline's possession, control, or power that Redline objects to producing on the grounds of privilege, and the grounds for each such objection.
5. Schedule C attached to this affidavit lists all documents that were formerly in Redline's possession, control, or power relevant to any matter in issue in this action but that are no longer in Redline's possession, control, or power, together with the disposition made of them.
6. I have never had in my possession, control, or power any document relevant to any matter in issue in this action other than the documents listed in Schedules A, B, and C.

SWORN before me at the City of Toronto,
in the Province of Ontario, this 12th day
of December, 2024.

A Commissioner for Taking Affidavits

Jonathan Reyes

SCHEDULE A

Documents in Redline's possession, control, or power that Redline does not object to producing.

No.	Document	Date	Doc ID
1	Software Development and Client Portal License Agreement, incl. Schedule C	Jan 15, 2023	DOC-001
2	Milestone invoices and payment records (Milestones 1–4)	Mar 2023–Mar 2024	DOC-002
3	February 8, 2024 "Status Call" calendar invitation (Redline's copy)	Feb 8, 2024	DOC-003
4	Jira ticket and internal Slack message concerning the February 9, 2024 migration	Feb 9, 2024	DOC-004
5	Redline's internal record of the June 11, 2024 telephone call with Northstar	Jun 11, 2024	DOC-006
6	Email from Marcus Oduya to David Chen and Priya Nathwani	Jun 12, 2024	DOC-007
7	Demand letter, Whitfield Burns LLP to Redline	Aug 5, 2024	DOC-012
8	Response letter, Prentice Okafor LLP to Whitfield Burns LLP	Aug 22, 2024	DOC-013
9	Statement of Claim	Oct 7, 2024	DOC-014
10	Statement of Defence and Counterclaim	Nov 5, 2024	DOC-015
11	Reply and Defence to Counterclaim	Nov 25, 2024	DOC-017
12	Milestone 3 (UAT) sign-off documentation (Redline's copy)	Jan 2024	DOC-019
13	Redline post-April 2024 access log excerpt / technical diagnostic summary	Compiled Dec 2024	DOC-020

The "Doc ID" column is an internal cross-reference identifier used consistently by both parties' counsel throughout this litigation to identify documents across affidavits, productions, and correspondence; it does not affect the numbering of this Schedule.

SCHEDULE B

Documents in Redline's possession, control, or power that Redline objects to producing on the grounds of privilege.

Document	Grounds for Privilege
All communications between Redline and Prentice Okafor LLP concerning this action, including litigation advice and strategy	Solicitor-client privilege and litigation privilege
Internal Redline communications seeking or conveying legal advice from Prentice Okafor LLP concerning the matters in issue in this action	Solicitor-client privilege
Without-prejudice settlement communications exchanged between counsel in September 2024	Settlement privilege

SCHEDULE C

Documents formerly in Redline's possession, control, or power but no longer in Redline's possession, control, or power.

Document	Disposition
Complete NorthConnect application/storage access logs for the period prior to April 2024	Not retained beyond the Software's default log-retention configuration. See Schedule C, section 3 of the Agreement (DOC-

Document	Disposition
	001). Redline's available post-April 2024 access-log material is identified separately in DOC-020.
Internal Redline Slack messages predating approximately May 2024, other than the specific message referenced in DOC-004	Redline's Slack workspace applies a standard 90-day message retention/archival policy for non-flagged channels; messages outside that window and not separately preserved were not retained.

DOCUMENT PRODUCTION BUNDLE

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No. CV-24-00728415-0000

Documents Identified in Schedule A of the Affidavits of Documents

Index

Tab	Document ID	Document	Produced By
1	DOC-003	February 8, 2024 calendar invitation	Northstar / Redline
2	DOC-004	February 9, 2024 Jira ticket and Slack messages	Redline
3	DOC-005	June 10, 2024 internal notes (Priya Nathwani)	Northstar
4	DOC-006	June 11, 2024 internal call records (both parties)	Northstar / Redline
5	DOC-008	Ironwood Cyber Forensics Inc. preliminary findings	Northstar
6	DOC-009	Client notification letter	Northstar
7	DOC-010	OPC breach report summary	Northstar
8	DOC-016	Security monitoring alert log excerpt	Northstar
9	DOC-018	Client account and revenue attrition records	Northstar
10	DOC-019	Milestone 3 (UAT) sign-off documentation	Northstar / Redline
11	DOC-020	Redline post-April 2024 access log excerpt	Redline

Documents not previously reproduced in this litigation file are set out below, indexed by the Document ID references used consistently throughout this file. Correspondence already reproduced in the Pre-Litigation Correspondence Bundle — DOC-007, DOC-011, DOC-012, DOC-013 — is not repeated here.

Calendar Invitation

Source: Microsoft Outlook calendar record

Field	Value
Subject	Status Call — Northstar / Redline
Organizer	Marcus Oduya (moduya@redlinesoftware.ca)
Required attendees	Priya Nathwani (pnathwani@northstarfinancial.ca)
Date	Thursday, February 8, 2024
Time	2:00 PM – 2:30 PM (EST)
Location	Microsoft Teams Meeting
Description / Agenda	(none entered)

No agenda, notes, minutes, or recording of this meeting have been located by either party.

Jira Ticket NORTHCONNECT-1187

Source: Redline Jira instance

Field	Value
Title	Add document upload support for tax slip attachments
Type	Feature
Reporter	Marcus Oduya
Assignee	Tyler Fenwick
Status	Done
Created	February 5, 2024
Resolved	February 9, 2024
Description	Extend client document storage schema to support tax-slip PDF uploads (max 10MB). Requires new storage bucket configuration.

Comments

Tyler Fenwick — Feb 9, 2024, 9:14 AM: "Migration deployed to prod. New bucket 'northconnect-docs-taxslips' live. Permissions set to match existing client-docs bucket pattern."

Marcus Oduya — Feb 9, 2024, 9:20 AM: "Thanks Tyler, looks good."

Slack — #northconnect-dev

Tyler Fenwick — Feb 9, 2024, 9:02 AM: "heads up — deploying the tax slip upload migration this morning, should be quick, will post here when done"

Tyler Fenwick — Feb 9, 2024, 9:15 AM: "deployed ✓NORTHCONNECT-1187"

Marcus Oduya — Feb 9, 2024, 9:21 AM: "☐ nice, let me know if QA flags anything"

No reference to a written change order, or to the February 8, 2024 call, appears in these records.

Internal Notes of Priya Nathwani

Source: Northstar internal working notes (personal notes app)

Date: June 10, 2024

June 10, 2024 — working notes — PN

- Reviewing alert from Sat (6/8) — unusual API calls, after hours, multiple external-looking IPs
- Been digging into it since yesterday
- Pattern seems tied to the storage bucket added for tax slip uploads — the one from the Feb update
- Bucket permissions look... off? Broader than I'd expect
- Not 100% sure yet — need to verify with Redline before I raise alarm bells
- Possible this has been exposed since the Feb 9 change went live???
- Need to loop in Sarah + David if this is real
- Action: call Redline Monday, ask about the Feb migration specifically

These are personal working notes, not a formal incident report.

Internal Records of the June 11, 2024 Telephone Call

Two independent records — one from each party

Northstar's record

Internal note — P. Nathwani, June 11, 2024, 11:40 AM. "Called Marcus Oduya (Redline) re: questions about the Feb 9 update — asked about the storage configuration for the tax slip bucket, whether permissions were set correctly. Marcus said he'd check and get back to us. ~15 min call."

Redline's record

Support log entry — M. Oduya, June 11, 2024. "Inbound call from Northstar (Priya N.) — general technical questions about the tax-slip upload feature deployed Feb 9. Nothing flagged as urgent on the call. Will review configuration and follow up. ~15 min."

Neither record uses the words "security incident," "breach," or "notice."

IRONWOOD CYBER FORENSICS INC. Preliminary Findings Report

Re: NorthConnect Platform — Security Incident Investigation

Prepared for: Northstar Financial Group Inc.

Date: June 20, 2024

Status: PRELIMINARY — Investigation Ongoing

1. Engagement

Ironwood Cyber Forensics Inc. ("Ironwood") was retained by Northstar Financial Group Inc. on June 14, 2024 to investigate a potential data security incident affecting the NorthConnect client portal platform.

2. Scope of Investigation

Our investigation to date has included: (a) review of available server configuration and access logs; (b) review of the February 9, 2024 deployment records provided by Redline Software Solutions Inc.; and (c) analysis of network traffic patterns associated with the affected storage component.

3. Preliminary Findings

3.1 A storage bucket associated with the NorthConnect tax-slip upload feature, deployed on February 9, 2024, was configured with access permissions broader than industry-standard best practice for the sensitivity of data involved.

3.2 Based on available configuration history, this misconfiguration appears to have been present continuously from February 9, 2024 until it was corrected on June 13, 2024 (the "Exposure Window").

3.3 Complete access logs for the Exposure Window are not available. Logs provided to Ironwood cover only the period from approximately April 2, 2024 onward; no logs were available for February 9 to April 1, 2024.

3.4 For the portion of the Exposure Window covered by available logs (April 2 – June 13, 2024), Ironwood identified a limited number of external IP addresses that accessed the affected storage endpoint outside expected application traffic patterns. Further analysis is required to determine whether this reflects automated scanning activity, misclassified legitimate traffic, or unauthorized retrieval of data.

3.5 Ironwood has not, to date, been able to confirm whether any specific client records were viewed, copied, or exfiltrated by an unauthorized party during the Exposure Window.

4. Limitations

This is a preliminary report. The absence of complete logs for the period prior to April 2024 significantly constrains our ability to determine the full scope of any unauthorized access during the Exposure Window. Ironwood's investigation is ongoing.

5. Recommendations

Ironwood recommends: (a) continued monitoring of the corrected configuration; (b) preservation of all available logs going forward; and (c) consideration of client notification given the inability to rule out access to the full population of records potentially exposed during the Exposure Window.

Lead Investigator, Ironwood Cyber Forensics Inc.

Client Notification Letter

Date: June 24, 2024

Sent to: all NorthConnect registered users (approx. 12,000)

Dear [Client Name],

We are writing to inform you of a data security matter involving NorthConnect, our secure client portal.

We recently identified a technical configuration issue with a component of our platform that may have made certain account information accessible for a period of time between February and June 2024. Upon discovery, we immediately engaged independent cybersecurity specialists to investigate and corrected the underlying configuration issue.

Out of an abundance of caution, we are notifying all NorthConnect users, as our investigation has not been able to confirm the specific scope of any records that may have been affected.

We have no confirmation that your specific account information was accessed by an unauthorized party. We are offering complimentary credit monitoring services to all affected clients and have reported this matter to the Office of the Privacy Commissioner of Canada.

If you have any questions, please contact our dedicated client support line.

Sincerely, Northstar Financial Group Inc.

OPC Breach Report — Summary of Key Facts

Submitted under the Personal Information Protection and Electronic Documents Act (Canada)
Date: June 24, 2024

Field	Summary
Nature of breach	Storage configuration error permitted external accessibility to a database component containing client account and personal information
Discovery date	June 8–10, 2024 (internal detection and preliminary investigation)
Root cause identified	June 12, 2024 (vendor confirmation of misconfiguration dating to February 9, 2024)
Containment date	June 13, 2024
Individuals potentially affected	Approximately 12,000 (full active NorthConnect user base, notified out of caution given incomplete access logs)
Confirmed unauthorized access	Not established; investigation ongoing
Steps taken	Retained independent forensic investigator (Ironwood); corrected configuration; notified affected individuals; offered credit monitoring

Security Monitoring Alert Log Excerpt

Source: Northstar internal monitoring platform
Date: June 8, 2024

Timestamp (EDT)	Alert Type	Source	Detail
Jun 8, 2024 23:14	Anomalous access pattern	External IP range (unclassified)	After-hours API calls to storage endpoint outside typical usage window
Jun 8, 2024 23:41	Anomalous access pattern	External IP range (unclassified)	Repeated requests to tax-slip storage bucket endpoint
Jun 9, 2024 01:07	Anomalous access pattern	External IP range (unclassified)	Continued irregular access pattern; alert escalated for manual review

This log excerpt is the source of the June 8, 2024 detection referenced throughout the file. It does not itself establish which, if any, client records were accessed.

Client Account and Revenue Attrition Summary

Source: Northstar Finance Department

Compiled: December 2024, for purposes of this litigation

Period	Accounts Closed	Estimated Annual Revenue Impact
Jul–Dec 2023 (pre-incident comparator)	11	\$310,000
Jan–Jun 2024 (pre-incident comparator)	9	\$260,000
Jul–Dec 2024 (post-incident)	40	\$1,200,000 (estimated)

Northstar characterizes the increase in the Jul–Dec 2024 period as attributable to the incident; Redline disputes this characterization. This summary does not itself isolate incident-caused attrition from ordinary-course attrition.

Milestone 3 (UAT) Sign-Off

Project: NorthConnect
Date: January 30, 2024

Field	Value
Milestone	Milestone 3 — Testing (incl. User Acceptance Testing)
UAT period	January 8–28, 2024
Test cases executed	142
Defects identified	17 (all resolved prior to sign-off)
Security testing scope	Access control verification, encryption verification (at rest and in transit), role-based permission testing — all per Schedule C
Sign-off by (Northstar)	Priya Nathwani, Director, Information Technology
Sign-off by (Redline)	Marcus Oduya, Senior Project Manager
Sign-off date	January 30, 2024

This sign-off predates the February 9, 2024 migration. Whether it establishes Schedule C compliance as of Milestone 4 (post-migration) is disputed between the parties.

Redline Technical Diagnostic Summary

Source: Redline engineering team
Compiled: December 2024, for purposes of this litigation

This summary covers the access logs available to Redline for the affected storage endpoint from April 2, 2024 (the earliest date for which logs exist) to June 13, 2024 (remediation).

Metric	Value
Total external requests to endpoint (Apr 2–Jun 13)	38
Distinct external IP addresses	6
Requests classified as likely automated scanning	29
Requests classified as unexplained / warranting further review	9
Confirmed data retrieval events	0 (not established from available logs)

Redline's position is that this data does not support an inference that Northstar's full active user base (~12,000 accounts) was affected. Northstar's position is that, absent logs for the February 9–April 1, 2024 period, this data is not a reliable basis for estimating total exposure.

JOINT DISCOVERY PLAN

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No. CV-24-00728415-0000
Ontario Superior Court of Justice — Toronto Region

Pursuant to Rule 29.1 of the Rules of Civil Procedure, counsel for the plaintiff (defendant by counterclaim) and counsel for the defendant (plaintiff by counterclaim) confirm the following discovery plan, agreed December 16, 2024.

1. Documentary Discovery

- Affidavits of Documents exchanged: December 10, 2024 (Northstar) and December 12, 2024 (Redline).
- Document Production Bundle exchanged: December 2024.
- Any request for supplementary or clarifying production is to be made in writing by January 15, 2025, with a response within 10 days thereafter.
- The parties acknowledge that certain records (including complete NorthConnect access logs prior to April 2024, and any recording or minutes of the February 8, 2024 call) have been identified in the Affidavits of Documents as no longer available or as never having existed, and no further production is expected with respect to those items absent a change in circumstances.

2. Examinations for Discovery

Party	Representative	Examined By
Northstar Financial Group Inc.	Priya Nathwani, Director, Information Technology	Daniel Okafor (Prentice Okafor LLP, for Redline)
Redline Software Solutions Inc.	Marcus Oduya, Senior Project Manager	Alison Whitfield (Whitfield Burns LLP, for Northstar)

The parties have selected these representatives as the individuals with the most direct personal knowledge of the events in issue, including the February 8, 2024 call, the February 9, 2024 migration, and the June 2024 communications between the parties.

- Location: offices of a court reporting agency to be agreed, Toronto, Ontario.
- Anticipated duration: one day per examination.
- Scheduled dates: January 22, 2025 (Ms. Nathwani) and January 23, 2025 (Mr. Oduya).
- Transcripts to be ordered and exchanged within 30 days of each examination.

3. Issues for Examination

Without limiting the scope of permissible examination, the parties anticipate that examinations will address, among other matters:

- The February 8, 2024 status call, including what was discussed and whether verbal approval for the February 9, 2024 migration was sought or given.
- The materiality of the February 9, 2024 migration and whether it required a written change order under Schedule C, section 4 of the Agreement.
- The sequence of events between June 8 and June 13, 2024, including the character of the June 11, 2024 telephone call and the basis for the June 12, 2024 written communication.
- The scope of any data exposure and the basis for Northstar's decision to notify its full active user base.

- Northstar's internal escalation timeline and the mitigation and contributory negligence allegations.
- The basis for Northstar's claimed lost business and reputational harm.
- Milestone 3 and Milestone 4 acceptance and Schedule C conformity.

4. Expert Evidence

- The parties anticipate retaining expert evidence in at least the following areas: (a) forensic/technical evidence regarding the scope and mechanism of the data exposure; and (b) damages/quantum evidence regarding causation and quantification of Northstar's claimed lost business and reputational harm.
- Expert reports are to be exchanged following the completion of the examinations for discovery set out above, on a schedule to be agreed or set by the court.

5. Costs of Discovery

Each party will bear its own costs of discovery in the first instance, subject to any order of the court and to the ultimate disposition of costs in the action.

6. Review

The parties agree to review and, if necessary, amend this plan in advance of the pre-trial conference, or earlier if required by developments in the action.

Agreed:

Alison Whitfield, Whitfield Burns LLP

Lawyers for the Plaintiff (Defendant by Counterclaim)

Daniel Okafor, Prentice Okafor LLP

Lawyers for the Defendant (Plaintiff by Counterclaim)

EXAMINATIONS FOR DISCOVERY

Transcript Excerpts

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No. CV-24-00728415-0000

These excerpts are selected from the full transcripts for purposes of this litigation file. Ellipses indicate omitted testimony not material to the issues in this action. Both transcripts have been reviewed and are unsigned as of the date of this compilation.

Examination of Priya Nathwani

Date: January 22, 2025

Examined by: Daniel Okafor (Prentice Okafor LLP), for the Defendant

Also present: Alison Whitfield (Whitfield Burns LLP), for the Plaintiff

Location: Toronto, Ontario

[Preliminary questions regarding qualifications and role omitted.]

The February 8, 2024 call

Q. Do you recall a call with Marcus Oduya on February 8, 2024?

A. I recall there being a status call around that time. We had regular status calls throughout the engagement, roughly every couple of weeks.

Q. Do you recall discussing a database migration on that call?

A. I don't have a specific recollection of discussing a migration on that call, no.

Q. Is it possible it was discussed and you simply don't recall it?

A. I can't rule that out with certainty. But I don't have notes indicating it was discussed, and a change like that isn't something I would have signed off on informally.

Q. Why not?

A. Because under our agreement, any material change to the data architecture required a written change order. That's the process, and it's the process for a reason — it creates a record and it makes sure both sides have actually turned their minds to what's changing.

Q. But you'd agree that in practice, not every conversation between you and Mr. Oduya was documented?

A. That's fair. Not every conversation was documented. But a change to the data architecture is a different category of thing than a general check-in.

[...]

The June 10, 2024 notes

Q. These are your personal notes from June 10, correct?

A. Yes.

Q. You wrote, 'possible this has been exposed since the Feb 9 change went live' — do you see that?

A. Yes.

Q. So as of June 10, you believed there was a connection to the February update?

A. I suspected it. I wasn't certain — that's why I wrote 'possible' and put question marks after it. I needed to verify before treating it as confirmed.

Q. But you didn't call Redline that day.

A. No. I wanted to do more internal digging first.

Q. Why not immediately raise it with Redline, if you thought client data might be at risk?

A. Because I didn't yet know if my hypothesis was correct. I didn't think it was responsible to raise an alarm — internally or with a vendor — based on an unconfirmed theory. I called Marcus the next day, which was Tuesday.

[...]

The June 11, 2024 call

Q. What do you recall telling Mr. Oduya on that call?

- A. I asked him some technical questions about the February update — specifically about how the storage was configured for the new tax-slip upload feature.
- Q. Did you tell him you suspected a data exposure?
- A. I don't believe I used those words. I was still trying to understand what had happened myself at that point.
- Q. Did you ask him to investigate?
- A. I asked him to check the configuration, yes.
- Q. Would you agree that's a request to investigate?
- A. I'd agree it was a request to look into something specific, yes.

[...]

Scope of exposure

- Q. When you sent the notification letter to your roughly 12,000 clients, did you know that all 12,000 had actually been accessed?
- A. No. We didn't know the actual scope, and we still don't, fully. We notified everyone because we couldn't rule anyone out, given that we didn't have complete logs for the earlier part of the period.
- Q. So the 12,000 figure reflects your full user base, not a confirmed number of affected accounts?
- A. That's correct.

UNDERTAKING: Counsel for the Plaintiff undertakes to inquire whether any additional notes, calendar records, or correspondence relating to the February 8, 2024 call exist beyond those already produced, and to advise.

Examination of Marcus Oduya

Date: January 23, 2025

Examined by: Alison Whitfield (Whitfield Burns LLP), for the Plaintiff

Also present: Daniel Okafor (Prentice Okafor LLP), for the Defendant

Location: Toronto, Ontario

[Preliminary questions regarding qualifications and role omitted.]

The February 8, 2024 call

Q. Do you recall discussing the February 9 migration with Ms. Nathwani on February 8?

A. Yes. I mentioned it on our regular status call.

Q. What exactly did you tell her?

A. I told her we were planning a small update to support tax-slip uploads and that we'd be deploying it the next day.

Q. Did she say anything in response?

A. She said that sounded fine — or something to that effect. It wasn't a long discussion, maybe thirty seconds of the call.

Q. Do you have any notes of this?

A. No, I don't take notes on every status call.

Q. Why wasn't a change order prepared for this migration?

A. From my perspective, it was a minor schema extension, not the kind of structural change the change-order process was meant for. It also came up naturally in the status call, and neither of us flagged it as needing more process at the time.

Q. Whose responsibility was it to decide whether something needed a change order?

A. In practice, either side could raise it if we thought something was a bigger change. Neither of us treated this one that way at the time.

[...]

June 11–12, 2024

Q. Before June 11, 2024, had Redline detected anything unusual with the NorthConnect platform?

A. No. Nothing was flagged to us before Priya's call.

Q. Why did it take until June 12 to send written confirmation of the issue?

A. We wanted to do our own internal audit before saying anything definitive. I didn't want to send Priya something inaccurate. Our engineers spent close to a full day going through the configuration and what logs we had before I felt confident giving her an accurate picture.

Q. Would you agree that a full day is a meaningful amount of time when client data may be at risk?

A. I understand the concern. I'd say we moved as fast as we could while making sure what we told Northstar was actually correct, rather than guessing.

[...]

Scope of access

Q. Can you confirm whether any unauthorized party actually accessed client data?

A. Based on the logs we had access to, we didn't find confirmed evidence of anyone actually downloading or extracting data. But I want to be clear — we don't have logs for the whole window, so I can't rule it out either.

Q. So Redline cannot say one way or the other whether client data was accessed.

A. That's fair. We can speak to what the available logs show. We can't speak to the period we don't have logs for.

UNDERTAKING: Counsel for the Defendant undertakes to inquire whether any additional Slack messages, emails, or internal records referencing the February 8, 2024 call exist beyond DOC-004, and to advise.

DISCOVERY CORRESPONDENCE AND UNDERTAKINGS BUNDLE

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No. CV-24-00728415-0000

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Tab	Item	Date	From
1	Undertakings summary	—	—
2	Response to Northstar's undertaking (re: Feb 8 records)	Mar 3, 2025	Whitfield Burns LLP
3	Response to Redline's undertaking (re: additional Slack records)	Mar 5, 2025	Prentice Okafor LLP
4	Request for supplementary production and response (Redline's June 11–12 internal review)	Mar 10 & 17, 2025	Both

Undertakings Summary

No.	Given By	Undertaking	Status
U-1	Plaintiff (Ms. Nathwani, examined Jan 22, 2025)	Inquire whether any additional notes, calendar records, or correspondence relating to the February 8, 2024 call exist beyond those already produced, and advise.	Answered — see Tab 2
U-2	Defendant (Mr. Oduya, examined Jan 23, 2025)	Inquire whether any additional Slack messages, emails, or internal records referencing the February 8, 2024 call exist beyond DOC-004, and advise.	Answered — see Tab 3

WHITFIELD BURNS LLP

Barristers & Solicitors | 130 Adelaide Street West, Suite 2200, Toronto, ON M5H 3P5

March 3, 2025

VIA EMAIL

Daniel Okafor, Prentice Okafor LLP

Re: Northstar Financial Group Inc. v. Redline Software Solutions Inc. — Undertaking U-1

Dear Mr. Okafor,

Further to the undertaking given by Ms. Nathwani at her examination on January 22, 2025, we confirm that Northstar has conducted a further search of its records, including Ms. Nathwani's calendar, email, and personal notes applications.

That search did not locate any additional notes, calendar records, correspondence, or other documentation relating to the February 8, 2024 call, beyond the calendar invitation already produced as DOC-003.

We consider Undertaking U-1 satisfied.

Yours truly,

Alison Whitfield

PRENTICE OKAFOR LLP

Barristers & Solicitors | 1 Queen Street East, Suite 1500, Toronto, ON M5C 2W5

March 5, 2025

VIA EMAIL

Alison Whitfield, Whitfield Burns LLP

Re: Northstar Financial Group Inc. v. Redline Software Solutions Inc. — Undertaking U-2

Dear Ms. Whitfield,

Further to the undertaking given by Mr. Oduya at his examination on January 23, 2025, we confirm that Redline has conducted a further search of its Slack workspace, email records, and Jira instance.

That search did not locate any additional messages or records referencing the February 8, 2024 call, beyond the Jira ticket and Slack messages already produced as DOC-004.

As previously disclosed in Schedule C of Redline's Affidavit of Documents, Redline's Slack workspace applies a standard 90-day retention policy for non-flagged channels. To the extent any further messages existed outside the window captured in DOC-004, they were not retained.

We consider Undertaking U-2 satisfied to the extent responsive records exist.

Yours truly,

Daniel Okafor

Request — March 10, 2025 (Whitfield Burns LLP to Prentice Okafor LLP)

"During his examination, Mr. Oduya referred to Redline's engineers spending 'close to a full day' reviewing configuration and logs on June 11–12, 2024. We request production of any internal Redline documentation of that review created during that period, including any incident ticket or internal report."

Response — March 17, 2025 (Prentice Okafor LLP to Whitfield Burns LLP)

"Redline confirms that an internal incident ticket was created and maintained during its June 11–12, 2024 review. A copy is enclosed as a supplementary production (DOC-025). The ticket reflects the timeline described by Mr. Oduya in his examination; it does not contain information beyond what has already been produced regarding the scope of any data exposure or the events of February 8–9, 2024."

DOC-025 — Redline internal incident ticket, June 11–13, 2024 (summary): opened June 11, 2024, 3:47 PM, by M. Oduya; status changed to "Investigating" June 11, 4:10 PM; engineering review logged June 11, 6:30 PM to June 12, 9:00 AM; status changed to "Confirmed — Remediation Required" June 12, 9:15 AM; closed June 13, 2024 following permission correction. No entries prior to June 11, 2024.

ONTARIO SUPERIOR COURT OF JUSTICE

B E T W E E N:

NORTHSTAR FINANCIAL GROUP INC.

Plaintiff (Defendant by Counterclaim)

- and -

REDLINE SOFTWARE SOLUTIONS INC.

Defendant (Plaintiff by Counterclaim)

NOTICE OF MOTION

Redline Software Solutions Inc. ("Redline") will make a motion to a judge of the Ontario Superior Court of Justice on a date to be fixed by the Registrar, at 393 University Avenue, Toronto, Ontario.

PROPOSED METHOD OF HEARING:

The motion is to be heard in writing, with oral argument if requested by the court, pursuant to Rule 37 of the Rules of Civil Procedure.

THE MOTION IS FOR:

- (a) partial summary judgment against the Plaintiff (Defendant by Counterclaim), Northstar Financial Group Inc. ("Northstar"), on Redline's counterclaim, in the amount of \$370,000, being the outstanding Milestone 4 invoice under the Software Development and Client Portal License Agreement dated January 15, 2023 (the "Agreement");
- (b) pre-judgment interest on the foregoing at 2% per month, calculated as simple interest, pursuant to section 9.4 of the Agreement, from April 4, 2024 to the date of judgment;
- (c) costs of this motion; and
- (d) such further and other relief as to this Honourable Court may seem just.

THE GROUNDS FOR THE MOTION ARE:

- NorthConnect launched to Northstar's client base on March 1, 2024, and Redline invoiced the Milestone 4 fee of \$370,000 on March 5, 2024.
- The Milestone 4 invoice became due on April 4, 2024. Northstar has not paid the invoice and subsequently withheld the outstanding amount, citing the June 2024 data security incident and related alleged breaches.
- The launch of NorthConnect, the issuance of the Milestone 4 invoice, and the non-payment of that invoice are not in dispute. Redline submits that the issues raised by Northstar do not give rise to a genuine issue requiring a trial as to Redline's entitlement to the invoiced amount.
- Northstar's asserted rights of set-off and non-conformity do not preclude summary judgment on this discrete claim, and can and should be determined summarily on the record before the court.
- Rule 20 of the Rules of Civil Procedure and section 133 of the Courts of Justice Act, R.S.O. 1990, c. C.43.
- Such further and other grounds as counsel may advise and this Honourable Court may permit.

THE FOLLOWING DOCUMENTARY EVIDENCE will be used at the hearing of the motion:

- The Affidavit of Jonathan Reyes, sworn April 7, 2025, and the exhibits referred to therein;
- The pleadings and other materials filed in this action; and
- Such further and other material as counsel may advise and this Honourable Court may permit.

April 7, 2025

PRENTICE OKAFOR LLP

1 Queen Street East, Suite 1500

Toronto, ON M5C 2W5

Daniel Okafor (LSO # 00000B)

Tel: 416-555-0198

Email: dokafor@prenticeokafor.ca

Lawyers for the Defendant (Plaintiff by Counterclaim), Redline Software Solutions Inc.

TO:
WHITFIELD BURNS LLP
Lawyers for the Plaintiff (Defendant by Counterclaim), Northstar Financial Group Inc.

ONTARIO SUPERIOR COURT OF JUSTICE

B E T W E E N:

NORTHSTAR FINANCIAL GROUP INC.

Plaintiff (Defendant by Counterclaim)

- and -

REDLINE SOFTWARE SOLUTIONS INC.

Defendant (Plaintiff by Counterclaim)

AFFIDAVIT OF JONATHAN REYES (Sworn April 7, 2025)

I, JONATHAN REYES, of the City of Toronto, in the Province of Ontario, MAKE OATH AND SAY:

1. I am the Chief Technology Officer of Redline Software Solutions Inc. ("Redline"), the defendant (plaintiff by counterclaim) in this action, and as such have personal knowledge of the matters set out in this affidavit, except where stated to be based on information and belief, in which case I have stated the source of my information and my belief that it is true.
2. I make this affidavit in support of Redline's motion for partial summary judgment on its counterclaim against Northstar Financial Group Inc. ("Northstar") for payment of the outstanding Milestone 4 invoice under the Software Development and Client Portal License Agreement dated January 15, 2023 (the "Agreement"), a copy of which is Exhibit "A" to this affidavit (DOC-001).
3. Under the Agreement, Redline agreed to design, build, and license a secure client-facing software platform, "NorthConnect," for a fixed price of \$1,850,000, payable across four milestones as set out in Schedule B to the Agreement.
4. NorthConnect launched to Northstar's client base on March 1, 2024. This was the trigger for payment of Milestone 4 under Schedule B of the Agreement. Redline invoiced Northstar for the Milestone 4 fee of \$370,000 on March 5, 2024, payable within thirty days pursuant to section 9.3 of the Agreement.
5. Milestone 3 (UAT) was signed off by both parties on January 30, 2024, following a testing period that specifically included security testing against the requirements of Schedule C to the Agreement. A copy of the Milestone 3 sign-off documentation is Exhibit "B" to this affidavit (DOC-019).
6. Northstar has not paid the Milestone 4 invoice. By letter dated July 2, 2024, a copy of which is Exhibit "C" to this affidavit (DOC-011), Northstar advised that it was withholding payment in connection with a data security incident it says was identified in June 2024.
7. Redline disputes Northstar's allegations concerning that incident, as set out in Redline's Statement of Defence and Counterclaim. For purposes of this motion, however, Redline's position is that Northstar's allegations concerning the June 2024 incident do not provide a basis to withhold payment of the Milestone 4 fee, which became payable following the March 1, 2024 launch of NorthConnect and the issuance of the corresponding invoice.
8. The launch of NorthConnect, the issuance of the Milestone 4 invoice, and Northstar's non-payment of that invoice are, to my knowledge, not in dispute. I am advised by Redline's counsel, and believe, that the evidence establishes Redline's entitlement to payment of the Milestone 4 invoice and that there is no genuine issue requiring a trial with respect to this discrete claim.
9. I make this affidavit in support of Redline's motion and for no improper purpose.

SWORN before me at the City of Toronto,
in the Province of Ontario, this 7th day
of April, 2025.

A Commissioner for Taking Affidavits

Jonathan Reyes

EXHIBITS

Exhibit	Description	Doc ID
A	Software Development and Client Portal License Agreement, incl. Schedule C	DOC-001
B	Milestone 3 (UAT) sign-off documentation	DOC-019
C	Northstar's July 2, 2024 letter withholding Milestone 4 payment	DOC-011

ONTARIO SUPERIOR COURT OF JUSTICE

B E T W E E N:

NORTHSTAR FINANCIAL GROUP INC.

Plaintiff (Defendant by Counterclaim)

- and -

REDLINE SOFTWARE SOLUTIONS INC.

Defendant (Plaintiff by Counterclaim)

AFFIDAVIT OF DAVID CHEN (Sworn April 28, 2025)

I, DAVID CHEN, of the City of Toronto, in the Province of Ontario, MAKE OATH AND SAY:

1. I am the Chief Operating Officer of Northstar Financial Group Inc. ("Northstar"), the plaintiff (defendant by counterclaim) in this action, and as such have personal knowledge of the matters set out in this affidavit, except where stated to be based on information and belief, in which case I have stated the source of my information and my belief that it is true.
2. I make this affidavit in response to the motion of Redline Software Solutions Inc. ("Redline") for partial summary judgment on its counterclaim for the Milestone 4 invoice under the Software Development and Client Portal License Agreement dated January 15, 2023 (the "Agreement").
3. I do not dispute that NorthConnect launched on March 1, 2024, that Redline invoiced the Milestone 4 fee of \$370,000 on March 5, 2024, or that Northstar has not paid that invoice. I disagree, however, that Redline is entitled to summary judgment for that amount.
4. Northstar's position, as set out in the Statement of Claim and the Reply and Defence to Counterclaim, is that the February 9, 2024 database migration — implemented without a written change order under Schedule C, section 4 of the Agreement — left the NorthConnect platform non-compliant with Schedule C's security requirements from that date forward, including as of the March 1, 2024 launch that triggered the Milestone 4 payment.
5. Northstar's Director of Information Technology, Priya Nathwani, has advised me, and I believe, that the security testing conducted before the February 9, 2024 migration did not, in Northstar's view, establish compliance with Schedule C after that subsequent architectural change. Northstar's position is that the security requirements in Schedule C continued to apply to the Software as modified, including at the time of the March 1, 2024 launch. On that basis, Northstar says that the Software as it existed at Milestone 4 — after the February 9, 2024 migration — did not conform to Schedule C, notwithstanding the earlier Milestone 3 sign-off exhibited to Mr. Reyes's affidavit.
6. Northstar also relies on its right to set off its damages claim against the Milestone 4 invoice. Both claims arise from the same Agreement and the same overall course of performance culminating in the March 1, 2024 launch. Northstar's position is that the damages it claims against Redline should be taken into account in determining the amount, if any, presently owing in respect of the Milestone 4 invoice.
7. Northstar's claim against Redline, if established, substantially exceeds the amount of the counterclaim. Resolving the Milestone 4 payment question in isolation, before the balance of the action is determined, risks inconsistent findings on the same underlying facts — in particular, whether the February 9, 2024 migration rendered the Software non-compliant with Schedule C.

8. For these reasons, I believe that there are factual and evidentiary issues concerning Redline's entitlement to the Milestone 4 payment that require determination together with the balance of the action, including whether the February 9, 2024 migration affected the Software's compliance with Schedule C.

SWORN before me at the City of Toronto,
in the Province of Ontario, this 28th day
of April, 2025.

A Commissioner for Taking Affidavits

David Chen

ONTARIO SUPERIOR COURT OF JUSTICE

NORTHSTAR FINANCIAL GROUP INC. v. REDLINE SOFTWARE SOLUTIONS INC.

FACTUM OF THE MOVING PARTY (Redline Software Solutions Inc.)

PART I — OVERVIEW

1. This motion concerns a single, discrete question: is Redline entitled to be paid the Milestone 4 fee following the March 1, 2024 launch of NorthConnect, notwithstanding Northstar's subsequent allegations concerning the February 9, 2024 database migration and the June 2024 security incident? Redline says the answer is yes, and that this question can and should be answered now, without waiting for the trial of the balance of this action.
2. Northstar does not dispute that NorthConnect launched, that the Milestone 4 invoice was issued, or that it has not been paid. Its resistance to summary judgment rests entirely on a set-off and non-conformity theory that, properly analyzed, does not raise a genuine issue requiring a trial on this discrete claim.

PART II — FACTS

3. The material facts relevant to the payment claim are set out in the Affidavit of Jonathan Reyes, sworn April 7, 2025. Northstar does not dispute the Agreement, the January 30, 2024 Milestone 3 sign-off, the March 1, 2024 launch, the March 5, 2024 invoice, or the fact of non-payment. Northstar disputes, however, the legal and contractual significance of the February 9, 2024 migration, and relies on that dispute in opposing summary judgment.

PART III — ISSUE AND THE LAW

Issue: Is there a genuine issue requiring a trial with respect to Redline's entitlement to the Milestone 4 payment?

4. The test on a motion for summary judgment is whether there is a genuine issue requiring a trial — that is, whether the motion judge can reach a fair and just determination on the merits of the motion, applying a process that allows the judge to make the necessary findings of fact, apply the law, and is a proportionate, more expeditious, and less expensive means to achieve a just result than trial: *Hryniak v. Mauldin*, 2014 SCC 7.
5. Redline submits that the evidence establishes its entitlement to the Milestone 4 fee: the Software underwent security testing and was signed off at Milestone 3, and NorthConnect subsequently launched on March 1, 2024. Northstar's non-conformity theory depends on establishing that the February 9, 2024 database migration, which occurred after the Milestone 3 testing and before the March 1, 2024 launch, rendered the Software non-compliant with Schedule C notwithstanding the prior testing and sign-off. Redline's position is that the migration was a discrete and minor change that did not affect the contractual entitlement to the Milestone 4 fee.
6. Northstar's reliance on equitable set-off is misplaced. Equitable set-off requires that the cross-claim be so closely connected to the plaintiff's demand that it would be unjust to allow recovery without taking the cross-claim into account: *Telford v. Holt*, [1987] 2 SCR 193; *Coba Industries Ltd. v. Millie's Holdings (Canada) Ltd.* (1985), 20 DLR (4th) 689 (BCCA). Northstar's damages claim concerns a data security incident identified in June 2024. Redline's position is that the alleged security incident constitutes a separate claim for damages and does not negate Northstar's obligation to pay the Milestone 4 fee following the March 1, 2024 launch. Whether the alleged February 9 migration affected the Software's compliance with Schedule C is a matter disputed by the parties.
7. Redline submits that the record before the court is sufficient to determine this discrete claim summarily, and that doing so serves the proportionality and efficiency objectives identified in *Hryniak*.

PART IV — ORDER REQUESTED

8. Redline requests an order granting partial summary judgment in the amount of \$370,000, plus interest pursuant to section 9.4 of the Agreement, and costs of this motion.

May 5, 2025

Prentice Okafor LLP — Lawyers for the Defendant (Plaintiff by Counterclaim)

ONTARIO SUPERIOR COURT OF JUSTICE

NORTHSTAR FINANCIAL GROUP INC. v. REDLINE SOFTWARE SOLUTIONS INC.

FACTUM OF THE RESPONDING PARTY (Northstar Financial Group Inc.)

PART I — OVERVIEW

1. Redline asks this Court to sever a single payment question from an integrated commercial dispute and decide it in isolation, before the trial that will determine whether Redline's own conduct — the very conduct that gives rise to Northstar's claim — rendered the Software non-compliant with the Agreement at the time Milestone 4 was reached. Northstar submits that the overlapping factual and contractual issues cannot fairly be determined on the present motion record without risking inconsistent findings at trial.
2. Northstar does not dispute the bare facts of launch, invoicing, and non-payment. It disputes that those facts, without more, entitle Redline to judgment, given Northstar's genuine and good-faith position that the Software did not conform to Schedule C as of Milestone 4.

PART II — FACTS

3. The material facts are set out in the Affidavit of David Chen, sworn April 28, 2025. Northstar's position, consistent with its pleadings, is that the February 9, 2024 migration was implemented without the written change order required by Schedule C, section 4, and that the resulting misconfiguration meant the Software did not meet Schedule C's requirements from that date forward — including as of the March 1, 2024 launch that triggered Milestone 4.

PART III — ISSUE AND THE LAW

Issue: Does the record disclose a genuine issue requiring a trial with respect to Redline's entitlement to the Milestone 4 payment?

4. The test on this motion is the same one Redline relies upon: whether the motion judge can reach a fair and just determination on the merits, using a fact-finding process that does not require the added expense and delay of a trial: *Hryniak v. Mauldin*, 2014 SCC 7. Where the resolution of a claim depends on findings of fact that are contested and intertwined with the issues to be tried in the main action, summary judgment is inappropriate.
5. Whether Schedule C's security requirements are continuing obligations, or are satisfied once and for all at a particular testing milestone, is squarely in issue in the main action and cannot fairly be determined without considering the Agreement, the February 9, 2024 migration, and the evidence concerning the Software as it existed at the time of the March 1, 2024 launch. That question directly bears on whether the Milestone 4 deliverable conformed to the Agreement.
6. Redline's reliance on *Telford v. Holt*, [1987] 2 SCR 193 and *Coba Industries Ltd. v. Millie's Holdings (Canada) Ltd.* (1985), 20 DLR (4th) 689 (BCCA) does not resolve the issue on this record. Northstar's position is that its cross-claim arises from the same Agreement, the same platform, and the same course of performance. The alleged February 9, 2024 migration is central to both the Milestone 4 payment dispute and Northstar's claims concerning the security and conformity of the Software. Whether the relationship between those claims is sufficiently close to support equitable set-off is therefore intertwined with factual and contractual issues that remain disputed.
7. Courts have also cautioned against the use of partial summary judgment where doing so risks duplicative proceedings or inconsistent findings on overlapping issues: *Butera v. Chown*, Cairns LLP, 2017 ONCA 783. Determining Milestone 4 conformity now, before trial, creates exactly that risk, since the same February 9, 2024 migration is central to both the counterclaim and the main action.

PART IV — ORDER REQUESTED

8. Northstar requests an order dismissing the motion, with costs, and directing that Redline's counterclaim be determined together with the balance of the action at trial.

May 9, 2025

Whitfield Burns LLP — Lawyers for the Plaintiff (Defendant by Counterclaim)

BOOK OF AUTHORITIES

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Motion for Partial Summary Judgment

Court File No. CV-24-00728415-0000

Filed jointly by counsel for the moving and responding parties, consolidating authorities cited in both factums.

Authorities

Tab	Authority	Cited By	Proposition
1	Hryniak v. Mauldin, 2014 SCC 7	Both	Summary judgment is appropriate where the court can achieve a fair and just determination on the merits through a process that permits the necessary findings of fact and application of the law, in a proportionate and more expeditious manner than trial
2	Telford v. Holt, [1987] 2 SCR 193	Both	Equitable set-off requires a sufficiently close connection between the cross-claims
3	Coba Industries Ltd. v. Millie's Holdings (Canada) Ltd. (1985), 20 DLR (4th) 689 (BCCA)	Both	Principles governing equitable set-off, including the required close connection between the plaintiff's claim and the cross-claim
4	Butera v. Chown, Cairns LLP, 2017 ONCA 783	Responding Party	Principles governing partial summary judgment where determining an issue separately may create a risk of duplicative proceedings or inconsistent findings on overlapping issues

ONTARIO SUPERIOR COURT OF JUSTICE

B E T W E E N:

NORTHSTAR FINANCIAL GROUP INC.

Plaintiff (Defendant by Counterclaim)

- and -

REDLINE SOFTWARE SOLUTIONS INC.

Defendant (Plaintiff by Counterclaim)

DRAFT ORDER (Motion for Partial Summary Judgment)

THIS MOTION, made by the Defendant (Plaintiff by Counterclaim), Redline Software Solutions Inc., for partial summary judgment on its counterclaim, was heard this day at Toronto, Ontario.

ON READING the Affidavit of Jonathan Reyes, sworn April 7, 2025, and the Affidavit of David Chen, sworn April 28, 2025, and on hearing the submissions of counsel for the moving party and the responding party:

THIS COURT ORDERS THAT:

1. Partial summary judgment is granted in favour of the Defendant (Plaintiff by Counterclaim), Redline Software Solutions Inc., against the Plaintiff (Defendant by Counterclaim), Northstar Financial Group Inc., in the amount of \$370,000 in respect of the unpaid Milestone 4 invoice.
2. Northstar Financial Group Inc. shall pay Redline Software Solutions Inc. pre-judgment interest on the foregoing amount at 2% per month, calculated as simple interest, pursuant to section 9.4 of the Agreement, from April 4, 2024 to the date of this Order.
3. The costs of this motion are payable by Northstar Financial Group Inc. to Redline Software Solutions Inc., fixed in the amount of \$[], inclusive of disbursements and applicable taxes.
4. For greater certainty, this Order determines only Redline's entitlement to the Milestone 4 payment and the relief expressly granted above. All other claims, defences, counterclaims, and issues in this action, including Northstar's claims arising from the February 9, 2024 migration and June 2024 data security incident, remain to be determined in the ordinary course.

The Honourable Justice []

Submitted by:
Prentice Okafor LLP — Lawyers for the Defendant (Plaintiff by Counterclaim)

ONTARIO SUPERIOR COURT OF JUSTICE

B E T W E E N:

NORTHSTAR FINANCIAL GROUP INC.

Plaintiff (Defendant by Counterclaim)

- and -

REDLINE SOFTWARE SOLUTIONS INC.

Defendant (Plaintiff by Counterclaim)

ENDORSEMENT

Before: Justice A. Whitmore

Heard: May 15, 2025 (in writing, Rule 37)

Counsel: A. Whitfield, for the Plaintiff (Defendant by Counterclaim); D. Okafor, for the Defendant (Plaintiff by Counterclaim)

1. This is a motion by the Defendant (Plaintiff by Counterclaim), Redline Software Solutions Inc. ("Redline"), for partial summary judgment on its counterclaim against the Plaintiff (Defendant by Counterclaim), Northstar Financial Group Inc. ("Northstar"), for payment of \$370,000 said to be owing under a Milestone 4 invoice.
2. The test on this motion is not in dispute: summary judgment may be granted where there is no genuine issue requiring a trial and the court can reach a fair and just determination on the merits through the summary judgment process, applying a process that is proportionate, timely, and cost-effective in the circumstances: *Hryniak v. Mauldin*, 2014 SCC 7.
3. It is not disputed that NorthConnect launched on March 1, 2024, that Redline invoiced \$370,000 on account of Milestone 4 shortly thereafter, or that Northstar has not paid that invoice. Redline says these undisputed facts are sufficient to entitle it to judgment. I do not agree.
4. Northstar's defence to the counterclaim is not limited to equitable set-off. Northstar also takes the position, advanced in its pleadings and repeated in the Affidavit of David Chen, that the Software did not conform to the security requirements of Schedule C to the Agreement as of Milestone 4, because the February 9, 2024 database migration — implemented, on Northstar's account, without the change order required by Schedule C, section 4 — left the platform non-compliant from that date forward, including as of the March 1, 2024 launch that triggered the Milestone 4 payment.
5. Whether Schedule C's requirements are properly understood as continuing obligations, tested at every relevant point in time, or as obligations satisfied once and for all at the Milestone 3 sign-off that preceded the migration, is a genuine and substantial question. It requires an interpretation of Schedule C against its factual matrix, and may require further factual and, if necessary, expert evidence as to the nature of the alleged non-compliance and its relationship to the migration. That is not a question I am prepared to resolve on this motion record.
6. I note, further, that this same question — the effect of the February 9, 2024 migration on the Software's compliance with Schedule C — lies at the heart of the main action. Determining it now, in the context of a motion confined to the Milestone 4 invoice, risks the kind of duplication and potential inconsistency the Court of Appeal cautioned against in *Butera v. Chown, Cairns LLP*, 2017 ONCA 783. The more prudent course is to have this question determined once, at trial, on a full evidentiary record, together with the balance of the issues in this action.

7. Having reached this conclusion, it is unnecessary for me to decide whether Northstar's claim is also available to it as a matter of equitable set-off, and I decline to do so. Nothing in these reasons should be taken as a finding on the merits of Northstar's non-conformity defence, on the applicability of equitable set-off, or on any other issue in this action, including the parties' respective positions on the February 8, 2024 call, the materiality of the February 9, 2024 migration, the scope of any data exposure, or Northstar's claimed damages. All of those issues remain to be determined at trial.

8. The motion is dismissed.

9. Northstar was successful and is entitled to its costs of the motion, which I fix in the all-inclusive amount of \$8,500, payable by Redline within 30 days.

Justice A. Whitmore
May 15, 2025

ONTARIO SUPERIOR COURT OF JUSTICE

B E T W E E N:

NORTHSTAR FINANCIAL GROUP INC.

Plaintiff (Defendant by Counterclaim)

- and -

REDLINE SOFTWARE SOLUTIONS INC.

Defendant (Plaintiff by Counterclaim)

ORDER (Motion for Partial Summary Judgment)

THE HONOURABLE JUSTICE A. WHITMORE

THURSDAY, THE 15TH DAY OF MAY, 2025

THIS MOTION, made by the Defendant (Plaintiff by Counterclaim), Redline Software Solutions Inc., for partial summary judgment on its counterclaim, was heard this day at Toronto, Ontario.

ON READING the Affidavit of Jonathan Reyes, sworn April 7, 2025, the Affidavit of David Chen, sworn April 28, 2025, the factums of the parties, and the Book of Authorities, and on hearing the submissions of counsel for the moving party and the responding party, and for the reasons given in the Endorsement of even date:

THIS COURT ORDERS THAT:

1. The motion is dismissed.
2. The Plaintiff (Defendant by Counterclaim), Northstar Financial Group Inc., shall have its costs of the motion from the Defendant (Plaintiff by Counterclaim), Redline Software Solutions Inc., fixed in the all-inclusive amount of \$8,500, payable within 30 days of the date of this Order.
3. For greater certainty, this Order determines only the disposition of Redline Software Solutions Inc.'s motion for partial summary judgment. All other claims, defences, and counterclaims in this action, including those arising from the February 9, 2024 migration and the June 2024 data security incident, remain to be determined in the ordinary course.

The Honourable Justice A. Whitmore

ENTERED at Toronto, Ontario, this 20th day of May, 2025.

Registrar, Ontario Superior Court of Justice

ONTARIO SUPERIOR COURT OF JUSTICE

B E T W E E N:

NORTHSTAR FINANCIAL GROUP INC.

Plaintiff (Defendant by Counterclaim)

- and -

REDLINE SOFTWARE SOLUTIONS INC.

Defendant (Plaintiff by Counterclaim)

AFFIDAVIT OF TYLER FENWICK (Sworn July 10, 2025)

I, TYLER FENWICK, of the City of Waterloo, in the Province of Ontario, MAKE OATH AND SAY:

1. I am a software developer employed by Redline Software Solutions Inc. ("Redline") since March 2022, and I have personal knowledge of the matters set out in this affidavit, except where stated to be based on information and belief.
2. I was the developer who implemented the database schema change to the NorthConnect platform on February 9, 2024 (the "Migration"), which added support for tax-slip document uploads. I make this affidavit to describe my involvement in the Migration.
3. I was assigned this work by Marcus Oduya, Redline's Senior Project Manager on the NorthConnect engagement, through a Jira ticket (NORTHCONNECT-1187) created on February 5, 2024. The ticket described the work as extending the client document storage schema to support tax-slip PDF uploads, and requiring a new storage bucket configuration. A copy of the Jira ticket, together with the related internal Slack messages, is Exhibit "A" to this affidavit (DOC-004).
4. In implementing the Migration, I created a new storage bucket for the tax-slip upload feature. I configured its access permissions by following the pattern already used for Redline's existing client-documents storage bucket on the platform, which I understood to be our established approach for similar features.
5. I do not recall being told that this specific change required a written change order under the Agreement, and I did not raise that question with Mr. Oduya or with anyone at Northstar before implementing it. I was not involved in, and have no personal knowledge of, any conversation between Mr. Oduya and Northstar concerning approval for the Migration, including any conversation on February 8, 2024. My understanding, based on the Jira ticket, was that this was a routine feature addition.
6. I deployed the Migration to production on the morning of February 9, 2024. I posted a message in Redline's internal Slack channel confirming the deployment, and Mr. Oduya responded indicating the work looked good; that exchange is included in Exhibit "A". I did not perform a separate security review of the new bucket's permissions beyond following the existing configuration pattern, and I was not asked to do so.
7. I had no further involvement with the NorthConnect platform's storage configuration between February 9, 2024 and June 2024, and I first learned of the security concern when I was asked to assist with Redline's internal review in June 2024.
8. I make this affidavit in support of Redline's defence of this action and for no improper purpose.

SWORN before me at the City of Waterloo,
in the Province of Ontario, this 10th day
of July, 2025.

A Commissioner for Taking Affidavits

Tyler Fenwick

EXHIBITS

Exhibit	Description	Doc ID
A	Jira Ticket NORTHCONNECT-1187 and related internal Slack messages, February 5–9, 2024	DOC-004

EXPERT REPORT

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Prepared on behalf of the Plaintiff (Defendant by Counterclaim), Northstar Financial Group Inc.

Field	Detail
Expert	Michael Torres, CISSP
Position	Principal Consultant, Ironwood Cyber Forensics Inc.
Area of expertise	Digital forensics and information security incident investigation
Date of report	August 15, 2025
Retained by	Whitfield Burns LLP, on behalf of Northstar Financial Group Inc.

1. Qualifications

I am a Principal Consultant at Ironwood Cyber Forensics Inc., where I have led digital forensic investigations, including data security incident investigations, since 2014. I hold the Certified Information Systems Security Professional (CISSP) designation and have testified as an expert in digital forensics in prior proceedings. Ironwood was retained by Northstar Financial Group Inc. on June 14, 2024 to investigate the security incident at issue in this action; I led that investigation and am the author of Ironwood's preliminary findings dated June 20, 2024.

2. Instructions

I was asked to provide my opinion, based on the information available to Ironwood, on: (a) the likely scope of exposure of client data on the NorthConnect platform arising from the storage misconfiguration identified in June 2024; and (b) the security-engineering significance of the February 9, 2024 database migration.

3. Materials Reviewed

- The Software Development and Client Portal License Agreement, including Schedule C (DOC-001)
- Redline's Jira ticket and Slack messages concerning the February 9, 2024 migration (DOC-004)
- Northstar's security monitoring alert logs, June 8, 2024 (DOC-016)
- Ironwood's preliminary findings, June 20, 2024 (DOC-008)
- Server access logs for the NorthConnect platform, to the extent available (April 2, 2024 onward)
- Redline's post-April 2024 access log excerpt / technical diagnostic summary (DOC-020)

4. Opinion

4.1 Scope of exposure

It is my opinion that the storage misconfiguration left the affected client data externally accessible from February 9, 2024, when the migration was deployed, until June 13, 2024, when the misconfiguration was corrected (the "Exposure Window").

Complete access logs are not available for the period February 9 to approximately April 1, 2024. For the portion of the Exposure Window for which logs are available (April 2 to June 13, 2024), a small number of external IP addresses accessed the affected endpoint in a pattern consistent with automated scanning, together with a smaller number of requests I was unable to classify with confidence as either automated or manually directed.

In my professional opinion, where complete logs are unavailable for a material portion of an exposure window, standard incident-response and risk-assessment practice is to treat the full population of potentially affected records as exposed for notification and remediation purposes, rather than to assume a narrower scope based only on the logs that happen to survive. This is a conservative, risk-based approach; it is not, and should not be read as, a finding that all — or any particular number of — records were in fact accessed by an unauthorized party. I am not able to determine, on the available evidence, whether any specific client record was actually viewed, copied, or exfiltrated during the portion of the Exposure Window for which logs do not exist.

This opinion is consistent with, but provides greater detail and technical context than, the preliminary findings issued by Ironwood on June 20, 2024.

4.2 Security-engineering significance of the February 9, 2024 migration

From a security-engineering perspective, any change that creates a new data storage location or alters access-control configuration for a system handling personal or financial information is significant and warrants a security-specific review at the time of implementation, regardless of how the change may otherwise be categorized within a software development lifecycle (for example, as a routine feature addition). This is a technical observation about security practice; I do not offer an opinion on whether the migration constituted a "material change" within the meaning of Schedule C, section 4 of the Agreement, which I understand to be a question of contractual interpretation for the Court.

5. Reasons

My opinions are based on my review of the materials listed above, my experience investigating comparable incidents, and generally accepted digital forensics and information security incident-response methodology, including guidance consistent with the NIST Computer Security Incident Handling Guide (SP 800-61) regarding scoping determinations in the presence of incomplete logging.

6. Limitations

This opinion is limited by the incompleteness of the available server access logs for February 9 to April 1, 2024. Should additional logs, records, or other evidence become available, I may need to revise or supplement this opinion.

7. Acknowledgment of Expert's Duty

I acknowledge that it is my duty to provide evidence in relation to this proceeding as follows: (a) to provide opinion evidence that is fair, objective, and non-partisan; (b) to provide opinion evidence that is related only to matters that are within my area of expertise; and (c) to provide such additional assistance as the Court may reasonably require to determine a matter in issue. I confirm that I have complied with, and will continue to comply with, this duty.

Michael Torres, CISSP
August 15, 2025

RESPONDING EXPERT REPORT

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Prepared on behalf of the Defendant (Plaintiff by Counterclaim), Redline Software Solutions Inc., in response to the Expert Report of Michael Torres dated August 15, 2025

Field	Detail
Expert	Rachel Kwan, CISSP
Position	Senior Forensic Analyst, Sentinel Digital Forensics Inc.
Area of expertise	Digital forensics and network security analysis
Date of report	September 30, 2025
Retained by	Prentice Okafor LLP, on behalf of Redline Software Solutions Inc.

1. Qualifications

I am a Senior Forensic Analyst at Sentinel Digital Forensics Inc., where I have specialized in network security analysis and digital forensic investigation since 2016. I hold the CISSP designation. I have no prior involvement in this matter and was retained solely to review and respond to the report of Michael Torres.

2. Instructions

I was asked to review Mr. Torres's report dated August 15, 2025 and to provide my own opinion on the scope of exposure of client data on the NorthConnect platform and the significance of the available access log data.

3. Materials Reviewed

- The Expert Report of Michael Torres, dated August 15, 2025 (DOC-036)
- Ironwood's preliminary findings, June 20, 2024 (DOC-008)
- Server access logs for the NorthConnect platform, to the extent available (April 2, 2024 onward)
- Redline's post-April 2024 access log excerpt / technical diagnostic summary (DOC-020)
- The Software Development and Client Portal License Agreement, including Schedule C (DOC-001)

4. Opinion

4.1 Scope of exposure

I agree with Mr. Torres that complete access logs are unavailable for February 9 to approximately April 1, 2024, and that this gap cannot be filled with certainty by any party. I disagree, however, with the inferential weight his report places on that gap.

The available logs, covering April 2 to June 13, 2024, show 38 external requests to the affected endpoint from 6 distinct IP addresses, of which the substantial majority are consistent with automated internet background scanning — a routine and largely indiscriminate activity to which any internet-facing endpoint is continuously subject, and which does not, without more, indicate targeted or successful data extraction. No requests in the available logs have been identified as confirmed data retrieval. In my professional opinion, if this same pattern is assumed to have continued through the unlogged portion of the Exposure Window — which cannot be confirmed either way — it would suggest that the probability of significant unauthorized data extraction during that period was low, though I cannot rule it out.

In my opinion, Mr. Torres's "assume the worst case" approach is a defensible and common practice for the purpose of an organization's internal risk management and notification decisions, where the cost of under-inclusive notification can be high. It is a different exercise, however, from an evidentiary determination of what most likely occurred, which in my opinion should give weight to the actual pattern observed in the available data rather than defaulting to a worst-case assumption for the unlogged period.

4.2 Significance of the February 9, 2024 migration

I agree with Mr. Torres that, in the abstract, changes to storage or access-control configuration for systems handling personal information warrant security consideration. In my opinion, however, the specific change at issue — extending an existing storage configuration pattern to a new document type — is a comparatively low-complexity change of a kind that arises routinely in iterative software development, and is distinguishable from the introduction of a wholly new storage architecture or access model. I do not offer an opinion on whether the migration was a "material change" within the meaning of Schedule C, section 4 of the Agreement, which I understand to be a question for the Court.

5. Reasons

My opinions are based on my review of the materials listed above, my experience analyzing comparable network access patterns, and generally accepted digital forensic and network-security methodologies for characterizing automated scanning activity and distinguishing it from targeted access attempts.

6. Limitations

Like Mr. Torres, I am unable to reach a conclusion about the period for which logs do not exist. My opinion regarding the likely character of activity during that period is an inference from the available data for the surrounding period, not a direct finding.

7. Acknowledgment of Expert's Duty

I acknowledge that it is my duty to provide evidence in relation to this proceeding as follows: (a) to provide opinion evidence that is fair, objective, and non-partisan; (b) to provide opinion evidence that is related only to matters that are within my area of expertise; and (c) to provide such additional assistance as the Court may reasonably require to determine a matter in issue. I confirm that I have complied with, and will continue to comply with, this duty.

Rachel Kwan, CISSP
September 30, 2025

EXPERT REPORT

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Prepared on behalf of the Plaintiff (Defendant by Counterclaim), Northstar Financial Group Inc.

Field	Detail
Expert	Patricia Nguyen, CPA, CBV
Position	Principal, Nguyen Valuation Partners
Area of expertise	Business valuation, damages quantification, and forensic accounting
Date of report	August 15, 2025
Retained by	Whitfield Burns LLP, on behalf of Northstar Financial Group Inc.

1. Qualifications

I am a Chartered Professional Accountant and Chartered Business Valuator, and the Principal of Nguyen Valuation Partners. I have prepared damages and business valuation reports for litigation purposes for over fifteen years, with a focus on professional services and financial services businesses.

2. Instructions

I was asked to assess, based on the information available to me, whether and to what extent Northstar's claimed lost business and reputational harm arising from the June 2024 data security incident can be reliably quantified, including the extent to which observed client attrition may reasonably be attributed to the incident.

3. Materials Reviewed

- Client account and revenue attrition records, compiled December 2024 (DOC-018)
- Northstar's client notification letter, June 24, 2024 (DOC-009)
- The Statement of Claim and Statement of Defence and Counterclaim (DOC-014, DOC-015)
- Ironwood Cyber Forensics Inc.'s preliminary findings, June 20, 2024 (DOC-008)
- Expert Report of Michael Torres, August 15, 2025 (DOC-036)
- Publicly available industry data on wealth-management client attrition rates in Ontario, 2022–2025

4. Opinion

I have reviewed Ironwood's preliminary findings and Mr. Torres's expert report to understand the factual context of the incident. I do not offer any opinion on the scope of data exposure or whether any client data was actually accessed; those questions are addressed by other experts, and my opinion below does not depend on their resolution.

Comparing the number of client accounts closed in the six months following the incident (approximately 40) to the comparator periods in the twelve months preceding the incident (approximately 9 to 11 accounts closed per six-month period), I observe an increase in closures of approximately 29 to 31 accounts over what the pre-incident comparator periods would predict.

It is my opinion that a portion of this increase is more likely than not attributable to the June 2024 incident and the resulting client notification, having regard to: (a) the magnitude of the increase relative to the pre-incident comparator periods; (b) the timing of the increase, which follows the incident and notification; and (c) the nature of the business, in which client trust regarding the security of personal and financial information is a significant driver of retention.

I have not treated all approximately 40 post-incident account closures as incident-attributable. Rather, I have treated the approximately 9 to 11 closures observed in each pre-incident six-month comparator period as an estimate of Northstar's ordinary-course attrition, and assessed the resulting excess of approximately 29 to 31 closures as the population from which an incident-attributable portion may reasonably be derived. I have not attributed the entirety of this excess to the incident; my range reflects a reasonable band within that excess population, having regard to the alternative causes discussed in Section 6 below.

Applying the average annual advisory revenue per closed account to a reasonable portion of the excess closures identified above, I estimate the lost advisory revenue attributable to the incident to fall within a range of approximately \$700,000 to \$1,050,000. The available evidence does not permit any associated reputational and referral-network impact to be isolated and quantified with precision. I have therefore incorporated a further, more conservative estimated range for that component — approximately \$250,000 to \$350,000 — rather than presenting it as a separately verified loss.

On this basis, I estimate Northstar's total lost business and reputational harm attributable to the incident to fall within a range of approximately \$950,000 to \$1,400,000.

I have not attempted to attribute a single point-estimate figure, because the available data does not permit isolation of incident-specific causation from ordinary-course attrition with the degree of precision that would support a single number. The range above reflects my assessment of a reasonable band of outcomes based on the available data.

5. Reasons

My opinion is based on a before-and-after comparison of Northstar's own account closure data against the pre-incident comparator periods, cross-checked against industry attrition benchmarks, using generally accepted damages quantification methodology for professional and financial services businesses.

6. Limitations

This opinion is limited by: (a) the relatively small sample size of closed accounts, which constrains statistical confidence; (b) the absence of exit-interview or similar data confirming the stated reason for each closure; and (c) the possibility that factors unrelated to the incident, including general market conditions or individual advisor departures, contributed to some portion of the observed increase in closures. I have not attempted to quantify the effect of those alternative factors individually, and my range should be understood as incorporating that uncertainty.

7. Acknowledgment of Expert's Duty

I acknowledge that it is my duty to provide evidence in relation to this proceeding as follows: (a) to provide opinion evidence that is fair, objective, and non-partisan; (b) to provide opinion evidence that is related only to matters that are within my area of expertise; and (c) to provide such additional assistance as the Court may reasonably require to determine a matter in issue. I confirm that I have complied with, and will continue to comply with, this duty.

Patricia Nguyen, CPA, CBV
August 15, 2025

RESPONDING EXPERT REPORT

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Prepared on behalf of the Defendant (Plaintiff by Counterclaim), Redline Software Solutions Inc., in response to the Expert Report of Patricia Nguyen dated August 15, 2025

Field	Detail
Expert	Andrew Fitzgerald, CPA, CBV
Position	Principal, Fitzgerald Forensic Accounting Inc.
Area of expertise	Forensic accounting and damages quantification
Date of report	September 30, 2025
Retained by	Prentice Okafor LLP, on behalf of Redline Software Solutions Inc.

1. Qualifications

I am a Chartered Professional Accountant and Chartered Business Valuator, and the Principal of Fitzgerald Forensic Accounting Inc. I have prepared forensic accounting and damages reports for litigation purposes for over twenty years. I have no prior involvement in this matter and was retained solely to review and respond to the report of Patricia Nguyen.

2. Instructions

I was asked to review Ms. Nguyen's report dated August 15, 2025 and to provide my own opinion on the reliability of her methodology and conclusions.

3. Materials Reviewed

- The Expert Report of Patricia Nguyen, dated August 15, 2025 (DOC-038)
- Client account and revenue attrition records, compiled December 2024 (DOC-018)
- Publicly available industry data on wealth-management client attrition and advisor mobility in Ontario, 2022–2025

4. Opinion

I agree with Ms. Nguyen that there was an increase in Northstar's client account closures in the six months following the incident relative to the pre-incident comparator periods she identifies. I do not agree that the available data supports attributing a specific portion of that increase to the incident on a more-likely-than-not basis.

In my opinion, a sample of approximately 40 closed accounts, standing alone, is insufficient to support reliable attribution of causation to the incident, particularly in an industry where client attrition may be influenced by factors independent of any given firm's conduct, including individual advisor departures (and clients following a departing advisor to a new firm) and broader market conditions. Ms. Nguyen's report does not identify client-level evidence permitting those alternative explanations to be distinguished from incident-related departures on an account-by-account basis.

In my opinion, without client-level information establishing the actual reason for each closure — for example, through exit interviews, correspondence, or comparison to advisor departure records — it is not possible to reliably isolate an incident-attributable component of the observed increase in closures. To the extent any such component exists, I am not able to quantify it with a reasonable degree of reliability on the information available to me, and I do not offer an

alternative point estimate or range. In particular, I do not consider the available evidence sufficient to support the \$950,000 to \$1,400,000 range proposed by Ms. Nguyen.

5. Reasons

My opinion is based on generally accepted forensic accounting principles applicable to damages quantification and causal attribution, including the need for a sufficient evidentiary basis to distinguish the claimed loss from plausible alternative causes, particularly where the sample size is small.

6. Limitations

I have not independently investigated the reasons for any specific client's departure, as that information was not made available to me. If such information becomes available, I may be able to offer a more specific opinion.

7. Acknowledgment of Expert's Duty

I acknowledge that it is my duty to provide evidence in relation to this proceeding as follows: (a) to provide opinion evidence that is fair, objective, and non-partisan; (b) to provide opinion evidence that is related only to matters that are within my area of expertise; and (c) to provide such additional assistance as the Court may reasonably require to determine a matter in issue. I confirm that I have complied with, and will continue to comply with, this duty.

Andrew Fitzgerald, CPA, CBV
September 30, 2025

LEXOCRATES SYNTHETIC LITIGATION DATASET

LEGAL RESEARCH MEMORANDUM

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No.: CV-24-00728415-0000

Ontario Superior Court of Justice — Toronto Region

Document Type: Stage 7 — Legal Research (Hidden Evaluation Layer)

Status: LOCKED — Revision 2 (supersedes Revision 1 in full)

This memorandum provides fuller legal research and analysis supporting the positions summarized in Document 3 (Issues & Legal Framework Matrix). It is a research aid, not an advocacy document: it identifies the strength and weakness of each side's position candidly, including where the law is unfavourable to the party whose issue is being discussed. This document is NOT part of the simulated court file and must not be disclosed to any AI system being evaluated on this matter.

1. Jurisdiction and Governing Law

Both parties are Ontario corporations; the Agreement was negotiated, executed, and substantially performed in Ontario; and section 18.6 of the Agreement is an express Ontario governing-law and jurisdiction clause. Jurisdiction is not seriously contestable and is not treated as a live issue in this matter (see Document 3, which does not list it as a disputed issue).

2. Causes of Action

2.1 Breach of Contract

Northstar's primary claim is straightforward in doctrine, even though its factual application is contested: a plaintiff need only prove the existence of a valid contract, breach of an express term, and damages flowing from the breach. The two express terms relied upon are Schedule C's security requirements and the Change Control Protocol in Schedule C, section 4. Contractual interpretation in Ontario proceeds on the modern approach set out in *Sattva Capital Corp. v. Creston Moly Corp.*, 2014 SCC 53, which treats interpretation as an exercise of applying principles of contractual interpretation to the words of the contract, read in light of the factual matrix, and reviewable on a deferential standard once made. The factual matrix here — including the parties' course of dealing on milestone sign-offs and the absence of any prior instance of an informal or verbal change order — will be significant to how section 4 is construed.

The principal litigation risk for Northstar on this cause of action is substantially factual and contractual: whether the February 9, 2024 migration constituted a "material change to data architecture," whether the resulting configuration failed to comply with Schedule C, and whether the contractual requirements operated as continuing obligations at the time of Milestone 4. This is precisely the kind of mixed question of fact and law that will turn on the evidence — including the expert evidence of Mr. Torres and Ms. Kwan on the technical significance of the change — rather than on abstract legal principle.

2.2 Negligence / Concurrent Tort Liability

Where parties are linked by a detailed commercial contract, Canadian law nonetheless permits a concurrent claim in tort: *BG Checo International Ltd. v. British Columbia Hydro and Power Authority*, [1993] 1 SCR 12; *Central Trust Co. v. Rafuse*, [1986] 2 SCR 147. The standard of care is that of a reasonably competent professional in the defendant's field, assessed contextually: *Ryan v. Victoria (City)*, [1999] 1 SCR 201. A significant litigation risk for Northstar is the scope-of-duty analysis required by *Deloitte & Touche v. Livent Inc. (Receiver of)*, 2017 SCC 63, which cautions that a tortious duty concurrent with a contract is not necessarily coextensive with, and may be narrower than, the contractual obligations — an argument Redline is likely to press in order to confine any tort duty to the scope of Schedule C itself, rather than a freestanding duty to design and deploy the Software securely in the abstract.

A further, more fundamental risk is that Redline may argue the s. 16 limitation of liability clause forecloses or caps the practical value of the tort claim regardless of whether a duty and breach are established (see section 5 below).

2.3 Breach of Confidence

This is, in our assessment, Northstar's weakest pleaded cause of action, and Document 3 (Issue 4) is correct to flag it as more contestable than the contract claims. The governing test, from *Lac Minerals Ltd. v. International Corona Resources Ltd.*, [1989] 2 SCR 574, requires (1) information having the necessary quality of confidence; (2) an obligation of confidence; and (3) unauthorized use to the detriment of the confiding party. The first two elements are not seriously in dispute. The third element is the difficulty: Lac Minerals and its progeny generally involve an affirmative act of use or disclosure by the confidant, whereas Northstar's theory depends on characterizing an unintentional misconfiguration — which permitted, but did not necessarily result in, third-party access — as "use" by Redline. We are not aware of Ontario authority squarely extending breach of confidence to a defendant's own inadvertent security failure, as opposed to misuse by the defendant itself or a third party to whom the defendant disclosed the information. This does not mean the claim is unarguable; it means it is a genuine, and reasonably significant, legal risk.

2.4 Declaratory Relief — Indemnification (s. 17)

Section 17's indemnity is broadly worded but silent on two points central to this dispute: (a) whether it is subject to the s. 16 liability cap, and (b) whether it extends to Northstar's own first-party response costs or only to sums paid to actual third-party claimants. Both are genuine interpretive questions to be resolved by ordinary principles of contractual construction, informed by the principles governing the interpretation of indemnity and exclusionary provisions discussed in *Bow Valley Husky (Bermuda) Ltd. v. Saint John Shipbuilding Ltd.*, [1997] 3 SCR 1210.

3. Limitation Period

The basic two-year limitation period under the Limitations Act, 2002, S.O. 2002, c. 24, Sched. B, ss. 4–5, is not a live issue on these facts. Even taking the earliest candidate discovery date (June 8, 2024), the Statement of Claim issued October 7, 2024 is well within time. *Central Trust Co. v. Rafuse*, [1986] 2 SCR 147 remains the leading authority on the discoverability principle underlying the statutory test. We see no basis for a limitation defence and none has been pleaded; this section is included for completeness.

4. Key Defences

4.1 Waiver / Estoppel (Feb 8 verbal approval)

Redline's strongest response to the change-control breach is that verbal approval was given, and, in the further alternative, that Northstar is estopped from insisting on a written change order. Waiver requires proof of full knowledge of the right being waived and an unequivocal intention to relinquish it: *Saskatchewan River Bungalows Ltd. v. Maritime Life Assurance Co.*, [1994] 2 SCR 490. This is a demanding standard, and the absence of any corroborating Northstar record is a significant evidentiary obstacle for Redline. Section 18.3 of the Agreement (requiring written amendments) reinforces, but does not independently resolve, this analysis — the change-order requirement in Schedule C, s. 4 and the general amendment clause in s. 18.3 are two distinct provisions, and Redline's waiver argument must ultimately succeed or fail on the Schedule C provision specifically, not merely by analogy to s. 18.3.

4.2 Mitigation and Contributory Negligence

Redline's mitigation argument (contract) and contributory negligence argument (tort) both depend on establishing that Northstar's conduct between June 8/9 and June 11/12, 2024 was unreasonable. This is a comparatively difficult argument on the current record, given the short time elapsed (a matter of one to two business days) and Northstar's plausible explanation that it wished to confirm its internal hypothesis before escalating. We note, however, that *Giffels Associates Ltd. v. Eastern Construction Co. Ltd.*, [1978] 2 SCR 1346 establishes that contributory negligence is generally unavailable as a defence to a claim framed purely in contract — meaning Redline's contributory negligence argument (as opposed to its mitigation argument) is likely confined to Northstar's concurrent tort claim, and may have no application to the breach of contract claims at all. This distinction, drawn out in Document 3, Issues 5A/5B, should be maintained carefully through to trial submissions.

4.3 Limitation of Liability (s. 16)

Section 16.1's cap, and the s. 16.2 gross-negligence/wilful-misconduct carve-out, will likely be adjudicated using the framework in *Tercon Contractors Ltd. v. British Columbia (Transportation and Highways)*, 2010 SCC 4. The threshold for "gross negligence" is high — a marked and substantial departure from the standard of a reasonable person — and Ontario courts have upheld similar clauses even against negligence claims in the technology/security-services context: *Fraser Jewellers (1982) Ltd. v. Dominion Electric Protection Co.* (1997), 34 OR (3d) 1 (CA). Northstar's argument that bypassing change control constitutes gross negligence is arguable but not obviously correct; it will likely turn on how egregious the trier of fact considers the failure to follow an internal process to be, which is a fact-sensitive determination not amenable to resolution on the pleadings alone.

5. Procedural Issues

5.1 Summary Judgment Standard

Hryniak v. Mauldin, 2014 SCC 7 governs any future dispositive motion. As the May 15, 2025 Endorsement in this matter illustrates, courts are cautious about resolving discrete issues by partial summary judgment where doing so risks duplicating factual findings that will also be made at trial: *Butera v. Chown, Cairns LLP*, 2017 ONCA 783. Any future motion — for example, a possible renewed motion after further discovery — should be assessed against this same risk of duplication before it is brought.

5.2 Equitable Set-Off

Telford v. Holt, [1987] 2 SCR 193 and *Coba Industries Ltd. v. Millie's Holdings (Canada) Ltd.* (1985), 20 DLR (4th) 689 (BCCA) (persuasive, out-of-province) together establish that equitable set-off is available where the cross-claims are sufficiently closely connected that it would be unjust to enforce one without regard to the other. On the facts here — the same Agreement, the same platform, and a cross-claim substantially larger than the counterclaim — Northstar has a potentially strong equitable set-off argument. However, the issue remains formally undecided: the May 15, 2025 Endorsement expressly declined to determine whether equitable set-off is available, having found it unnecessary to do so once Northstar's non-conformity defence was found to raise a genuine issue for trial.

6. Available Remedies

Damages for breach of contract are governed by the remoteness principle in *Hadley v. Baxendale* (1854), 9 Ex 341, as applied in Canadian law; damages in tort by the reasonable foreseeability principle in *Mustapha v. Culligan of Canada Ltd.*, 2008 SCC 27. Both doctrines will constrain the recoverability of Northstar's more speculative heads of damage (particularly the lost-business/reputational-harm claim) more than they will constrain the documented response costs. Northstar also seeks declaratory relief regarding indemnification. The granting of declaratory relief is discretionary, and the Court retains flexibility to determine whether a declaration is appropriate on the facts and contractual interpretation established at trial.

7. Risk Assessment Summary

- Breach of contract (security requirements): Potentially strong for Northstar if it establishes that the February 9 migration created a non-compliant security configuration contrary to Schedule C. Liability remains dependent on the factual and technical evidence concerning the migration, the applicable contractual requirements, and causation; quantum remains contested.
- Breach of contract (change control): Turns substantially on the disputed February 8 approval and the characterization of the February 9 migration. The documentary record does not independently corroborate either party's account of the alleged verbal approval.
- Negligence: Viable but potentially narrower than the contract claim once *Deloitte v. Livent* scope-of-duty principles are applied; may be practically subsumed by the contractual analysis.
- Breach of confidence: The weakest claim as currently pleaded; success depends on extending the principles in *Lac Minerals* to an inadvertent security failure, an application not clearly supported by the existing authorities identified in this memorandum.

- **Indemnification:** A genuine and unresolved contractual interpretation issue, particularly concerning the relationship between the indemnity and the limitation-of-liability provisions and the scope of recoverable losses.
- **Limitation of liability / gross negligence:** Northstar faces a significant evidentiary burden in establishing the gross-negligence or wilful-misconduct exception. Success is possible but will depend heavily on the evidence concerning the nature and seriousness of Redline's conduct.
- **Set-off:** A potentially strong argument for Northstar based on the close connection between the claims, the common Agreement, and the same course of performance. However, the issue remains formally undecided; the May 15, 2025 Endorsement expressly declined to determine whether equitable set-off is available.
- **Damages:** The most significant quantum risk for Northstar is the lost-business and reputational-harm claim. Although Nguyen provides a range of approximately \$950,000 to \$1,400,000, Fitzgerald disputes the reliability of attributing any portion of the observed attrition to the incident. Both experts identify material limitations in the available data.

LEXOCRATES SYNTHETIC LITIGATION DATASET

AUTHORITIES & RESEARCH TABLE

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No.: CV-24-00728415-0000

Ontario Superior Court of Justice — Toronto Region

Document Type: Stage 7 — Legal Research (Hidden Evaluation Layer)

Status: LOCKED — Revision 2 (supersedes Revision 1 in full)

Consolidated index of every authority cited across this litigation file (Documents 1–31), keyed to the issue(s) it supports. This document is NOT part of the simulated court file.

Cases

Issue	Case	Court	Binding / Persuasive	Proposition
Contract interpretation	Sattva Capital Corp. v. Creston Moly Corp., 2014 SCC 53	SCC	Binding	Interpretation is an exercise informed by the factual matrix, not words alone
Negligence / concurrent tort	BG Checo International Ltd. v. British Columbia Hydro and Power Authority, [1993] 1 SCR 12	SCC	Binding	Concurrent liability in contract and tort is permitted
Negligence / discoverability	Central Trust Co. v. Rafuse, [1986] 2 SCR 147	SCC	Binding	Concurrent tort liability and the discoverability principle underlying limitation periods
Standard of care	Ryan v. Victoria (City), [1999] 1 SCR 201	SCC	Binding	Standard of care is that of a reasonable person/professional in like circumstances
Scope of duty	Deloitte & Touche v. Livent Inc. (Receiver of), 2017 SCC 63	SCC	Binding	Scope of a concurrent tort duty may be narrower than the contract
Breach of confidence	Lac Minerals Ltd. v. International Corona Resources Ltd., [1989] 2 SCR 574	SCC	Binding	Three-part test: quality of confidence, obligation of confidence, unauthorized use to detriment
Limitation of liability	Tercon Contractors Ltd. v. British Columbia (Transportation and Highways), 2010 SCC 4	SCC	Binding	Three-step framework for enforceability of exclusion/limitation clauses
Limitation of liability	Fraser Jewellers (1982) Ltd. v. Dominion Electric Protection Co. (1997), 34 OR (3d) 1	ONCA	Binding (Ontario)	Illustrates enforcement of contractual limitation provisions in a negligence context; applicability depends on the wording of the clause and relevant exceptions

Issue	Case	Court	Binding / Persuasive	Proposition
Privacy torts / intrusion upon seclusion	Jones v. Tsige, 2012 ONCA 32	ONCA	Binding (Ontario)	Recognizes intrusion upon seclusion as an Ontario tort; relevance is to claims by affected individuals rather than Northstar's pleaded breach-of-confidence claim
Change control / waiver	Saskatchewan River Bungalows Ltd. v. Maritime Life Assurance Co., [1994] 2 SCR 490	SCC	Binding	Waiver requires full knowledge and unequivocal intention to relinquish a right
Limitation / exclusion of liability	Hunter Engineering Co. v. Syncrude Canada Ltd., [1989] 1 SCR 426	SCC	Binding	Contractual exclusion and limitation clauses are interpreted according to their terms; fundamental breach does not automatically invalidate an exclusion clause
Mitigation	Southcott Estates Inc. v. Toronto Catholic District School Board, 2012 SCC 51	SCC	Binding	Duty to mitigate damages in contract
Indemnification	Bow Valley Husky (Bermuda) Ltd. v. Saint John Shipbuilding Ltd., [1997] 3 SCR 1210	SCC	Binding	Interaction of indemnity and exclusion clauses in the same instrument
Damages — remoteness (contract)	Hadley v. Baxendale (1854), 9 Ex 341	English (foundational)	Persuasive / foundational	Contract damages limited to losses in the contemplation of the parties
Damages — remoteness (tort)	Mustapha v. Culligan of Canada Ltd., 2008 SCC 27	SCC	Binding	Tort damages limited by reasonable foreseeability
Contributory negligence	Giffels Associates Ltd. v. Eastern Construction Co. Ltd., [1978] 2 SCR 1346	SCC	Binding	Contributory negligence generally unavailable against a claim framed purely in contract
Set-off	Telford v. Holt, [1987] 2 SCR 193	SCC	Binding	Equitable set-off requires a sufficiently close connection between the claims
Set-off	Coba Industries Ltd. v. Millie's Holdings (Canada) Ltd. (1985), 20 DLR (4th) 689	BCCA	Persuasive (out-of-province)	Elements of equitable set-off
Summary judgment	Hryniak v. Mauldin, 2014 SCC 7	SCC	Binding	Summary judgment test: fair and just determination without need for trial
Summary judgment / fragmentation	Butera v. Chown, Cairns LLP, 2017 ONCA 783	ONCA	Binding (Ontario)	Caution against partial summary judgment risking duplicative or inconsistent findings

Statutes and Regulations

Statute / Regulation	Relevance
Personal Information Protection and Electronic Documents Act, S.C. 2000, c. 5 (PIPEDA)	Relevant to Northstar's privacy, safeguarding, and breach-reporting obligations insofar as PIPEDA applies; does not itself establish the pleaded private cause of action against Redline
Breach of Security Safeguards Regulations, SOR/2018-64	Prescribes requirements relating to breach reporting, records, and notification under PIPEDA where the applicable statutory thresholds are engaged; potentially relevant to Northstar's regulatory and response obligations
Limitations Act, 2002, S.O. 2002, c. 24, Sched. B	Basic two-year limitation period; not a live issue on these facts
Negligence Act, R.S.O. 1990, c. N.1	Apportionment of fault where more than one party contributes to the same damage
Rules of Civil Procedure, R.R.O. 1990, Reg. 194	Rule 20 (summary judgment), Rule 29.1 (discovery plan), and Rule 37 (motions) are cited by number in the motion and discovery record; Rule 30 (affidavits of documents) is reflected in the Form 30A affidavits, though not cited by number in the text
Courts of Justice Act, R.S.O. 1990, c. C.43	Prejudgment/postjudgment interest (s. 128–130) and costs of motions (s. 133)
Business Corporations Act, R.S.O. 1990, c. B.16	Governs the incorporation of both corporate parties

LEXOCRATES SYNTHETIC LITIGATION DATASET

LITIGATION STRATEGY MEMORANDUM

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No.: CV-24-00728415-0000

Ontario Superior Court of Justice — Toronto Region

Document Type: Stage 8 — Litigation Strategy (Hidden Evaluation Layer)

Status: LOCKED — Revision 3 (supersedes Revision 2 in full)

This memorandum assesses litigation strategy for both parties candidly, based on the current state of the file following the close of expert evidence. It is a strategic analysis, not an advocacy document, and does not purport to predict the outcome at trial. This document is NOT part of the simulated court file and must not be disclosed to any AI system being evaluated on this matter.

1. Overview

The evidentiary record is substantially developed: pleadings are closed, documentary and oral discovery are complete, a motion for partial summary judgment has been heard and dismissed, and both parties have exchanged forensic and damages expert reports. No party has an obvious knock-out position. The case is best understood as a cluster of genuinely contested factual and interpretive questions rather than a dispute where one side's success is predictable.

2. Northstar's Position

2.1 Strongest Claim

Northstar's strongest position is its contractual case concerning Schedule C security compliance and the Change Control Protocol. Unlike the breach of confidence claim, it does not depend on extending equitable doctrine into new territory, and unlike the negligence claim, it is not vulnerable to a scope-of-duty argument narrowing it below the contractual obligations. Its central vulnerability is factual rather than legal: whether the trier of fact accepts that the February 9, 2024 migration was material and that Schedule C's requirements operate as continuing obligations through to Milestone 4.

2.2 Weakest Claim

Breach of confidence remains Northstar's weakest pleaded cause of action, as identified in Document 31. Northstar should consider, as trial approaches, whether this claim adds meaningfully to its position given that its stronger causes of action already capture the same underlying conduct, or whether maintaining it risks diluting the more defensible parts of the case.

2.3 Procedural Position

Northstar's successful defence of Redline's summary judgment motion is a meaningful, though limited, procedural win. It preserves Northstar's set-off and non-conformity arguments for trial and produced a costs award in Northstar's favour. It does not, however, establish the merits of either the set-off argument or the underlying non-conformity claim, and Northstar's internal materials should not treat it as doing so. The Court expressly declined to determine the merits of Northstar's non-conformity defence or equitable set-off argument.

3. Redline's Position

3.1 Strongest Defence

Redline's strongest position is the combination of the Milestone 3 UAT sign-off (which included security testing against Schedule C) and the characterization of the February 9 migration as a minor, like-for-like schema extension. If accepted, this significantly narrows Northstar's change-control and non-conformity arguments. Redline's expert

evidence (Kwan) also provides a genuine, non-frivolous basis to dispute the scope of exposure. Fenwick's evidence is useful on the technical implementation and supports Redline's characterization of the change, but it does not independently corroborate the alleged February 8 approval or establish contractual compliance.

3.2 Principal Weakness

Redline's most significant weakness is evidentiary, not legal: there is no document, from either party, corroborating Mr. Oduya's account of verbal approval on February 8, 2024. Ms. Nathwani's and Mr. Oduya's accounts diverge, and Mr. Fenwick's affidavit — while helpful in establishing the technical implementation facts — does not assist Redline on the approval question, since he was not party to the alleged conversation. Absent additional evidence, this is likely to remain a credibility contest at trial.

3.3 Limitation of Liability

Redline's s. 16 liability cap is a meaningful backstop even if Northstar succeeds on liability, but it is not an absolute shield: Northstar's gross negligence argument, while facing a high evidentiary bar, has not been foreclosed at any stage of this proceeding, including the summary judgment motion.

4. Evidentiary Risks (Both Parties)

- The absence of complete access logs for February 9–April 1, 2024 cuts both ways: it prevents Northstar from proving the full scope of exposure it alleges, but equally prevents Redline from proving the narrower scope it argues for. Neither side can close this gap through argument alone; absent additional evidence, the missing period remains an unresolved evidentiary limitation for the trier of fact to weigh.
- The February 8 approval question will likely turn substantially on the relative credibility of Ms. Nathwani and Mr. Oduya, assessed against the documentary record (or lack thereof) and the surrounding circumstantial evidence (including the Jira ticket and Slack messages, which are silent on the point).
- The dueling expert evidence (Torres/Kwan; Nguyen/Fitzgerald) means neither party can assume its expert's opinion will simply be preferred. Cross-examination of both sides' experts, and the trial judge's assessment of methodology, will matter significantly.

5. Procedural Risks

- Any further attempt by Redline to resolve a discrete issue by motion should be assessed against the *Butera v. Chown, Cairns LLP* concern about fragmenting overlapping issues, particularly given the May 15, 2025 Endorsement's explicit reasoning on this point.
- Costs exposure is accumulating: the \$8,500 costs award against Redline on the summary judgment motion is a modest but real data point, and further interlocutory disputes will add to the costs eventually payable by the unsuccessful party.
- Both parties should consider whether any further expert or documentary evidence is realistically available before trial, given that the log gap and the absence of Feb 8 corroboration appear, on the current record, to be permanent features of the evidentiary landscape rather than gaps likely to be filled.

6. Settlement Considerations

The parties' September 2024 without-prejudice discussions did not result in resolution, at a point before documentary discovery, examinations, the summary judgment motion, or expert evidence had crystallized the parties' respective positions. The file is now materially more developed, and both sides have a clearer picture of their litigation risk than they did at that time:

- Northstar successfully resisted Redline's partial summary judgment motion, leaving its set-off and non-conformity arguments available for determination at trial, but without any merits finding in Northstar's favour. That procedural result may improve Northstar's negotiating position on the counterclaim, although the underlying set-off argument remains unresolved. Northstar's lost-business damages claim separately faces genuine quantification difficulty (Nguyen's range vs. Fitzgerald's non-attribution position).

- Redline faces a genuine credibility contest on the February 8 approval question that it may not be able to resolve favourably through further evidence, but retains the s. 16 liability cap as a meaningful limit on downside exposure absent a gross negligence finding.
- Both parties now have sufficient information — pleadings, discovery, and expert evidence — to meaningfully value the case for settlement purposes in a way that was not available in September 2024. A renewed settlement or mediation discussion may be more productive at this stage than it was previously.

7. Recommended Next Steps

- Both parties should consider a further settlement or mediation discussion in light of the now-complete evidentiary record (see Document 34, Settlement/Mediation Assessment).
- Absent settlement, the matter should proceed to trial scheduling, including a pre-trial conference, trial management conference, and exchange of trial records.
- Each party should assess whether to serve a formal offer to settle under Rule 49 of the Rules of Civil Procedure, given the costs consequences that can follow from a judgment less favourable than an unaccepted offer.
- Neither party should treat the summary judgment outcome as resolving, even provisionally, the underlying merits of the set-off, non-conformity, or gross negligence questions.

8. Costs Considerations

Item	Status
Costs of the summary judgment motion	\$8,500 awarded to Northstar, payable by Redline (Document 25, Order)
Costs of the action to date	Not yet finally determined; subject to any further interim costs orders and the ultimate disposition of the action
Proportionality	Both parties should weigh the accumulating costs of expert evidence and discovery against the amounts genuinely in dispute, particularly given the quantification difficulty affecting Northstar's largest damages head

LEXOCRATES SYNTHETIC LITIGATION DATASET

SETTLEMENT / MEDIATION ASSESSMENT

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No.: CV-24-00728415-0000
Ontario Superior Court of Justice — Toronto Region
Document Type: Stage 8 — Litigation Strategy (Hidden Evaluation Layer)
Status: LOCKED — Revision 3 (supersedes Revision 2 in full)

This assessment evaluates the prospects for a negotiated resolution based on the current state of the file. It is an analytical document reflecting a range of possible outcomes, not a settlement offer or a prediction of the actual result at trial. This document is NOT part of the simulated court file and must not be disclosed to any AI system being evaluated on this matter.

1. Prior Settlement History

The parties engaged in without-prejudice settlement discussions in September 2024, before documentary discovery, examinations for discovery, the summary judgment motion, or expert evidence. No resolution was reached. Given the limited information available to the parties at that stage, the September 2024 discussions are of limited predictive value for a renewed discussion now that the evidentiary record is substantially more developed.

2. Litigation Exposure Ranges

2.1 Northstar's Claim

Component	Range / Status
Documented response costs (forensic, notification, credit monitoring, regulatory)	\$610,000 (largely documented by invoices; the most readily quantifiable component)
Lost business / reputational harm	\$0 (if Fitzgerald's non-attribution position is preferred) to \$950,000–\$1,400,000 (Nguyen's range, if preferred)
Indemnification declaration	Not separately quantified; contested as to scope and interaction with the s. 16 cap
Effect of s. 16 cap, if applicable and not defeated by a gross negligence finding	If found applicable and enforceable, would potentially limit recoverable damages to fees paid in the twelve months preceding the claim (approximately \$925,000, being Milestones 3 and 4); the applicability and operation of s. 16 remain contested, particularly given the gross-negligence/wilful-misconduct carve-out

2.2 Redline's Counterclaim

\$370,000 plus contractual interest at 2% per month (simple interest) from April 4, 2024, subject to Northstar's set-off and non-conformity defences, both of which remain undetermined following the dismissal of Redline's summary judgment motion.

3. Factors Favouring Settlement

- Both damages experts identify material limitations in quantifying Northstar's largest claimed loss, creating genuine uncertainty for both parties rather than a one-sided risk.
- The February 8 approval question is a credibility contest that neither party can resolve through further documentary evidence, given the confirmed absence of any corroborating record on either side.

- Trial will require both parties to incur further expert, discovery, and trial-preparation costs that are disproportionate to at least the more modest components of the claims (e.g., the \$370,000 counterclaim, considered in isolation).
- The s. 16 liability cap, if found applicable and enforceable, creates a potential negotiation reference point (approximately \$925,000) that both parties may find useful in framing negotiations, while recognizing that the cap's applicability and the gross-negligence/wilful-misconduct exception remain unresolved.

4. Factors Against Settlement

- The parties' positions on the February 8 approval question and the materiality of the February 9 migration remain far apart, with each side's account resting on the credibility of its own witness.
- Northstar's successful defence of the summary judgment motion may reduce its immediate incentive to settle on terms less favourable than proceeding to trial, at least with respect to the counterclaim.
- Neither party has yet incurred the full costs of trial preparation, which may be necessary before either side meaningfully reassesses its litigation risk.
- The uncertainty surrounding the application of the s. 16 liability cap and the potential gross-negligence/wilful-misconduct carve-out makes it difficult for either party to establish a reliable litigation-value ceiling or floor at this stage.

5. Mediation Considerations

A mediated resolution, as opposed to further bilateral negotiation, may be more likely to succeed at this stage than in September 2024, given that both parties now have the benefit of a substantially complete evidentiary record, including expert reports, to inform a realistic assessment of litigation risk. A mediator could usefully assist the parties in bridging the gap between Northstar's damages range and Redline's non-attribution position, and in valuing the interaction between the set-off defence and the s. 16 liability cap, both of which are more amenable to negotiated compromise than to a binary judicial determination.

6. Rule 49 Considerations

Either party may wish to consider serving a formal offer to settle under Rule 49 of the Rules of Civil Procedure. A properly structured Rule 49 offer can create costs consequences that shift the risk calculus for the receiving party, independent of the underlying merits, and may be a more effective tool than further without-prejudice discussion alone given how far apart the parties' positions presently are.

7. Settlement Dynamics

The parties' reasonable settlement positions are likely to be influenced by different risk concentrations. Northstar has a stronger position on the documented response costs but faces uncertainty regarding causation and quantification of lost-business and reputational damages, as well as the potential application of the s. 16 liability cap. Redline faces substantial uncertainty on the February 8 approval evidence and the characterization of the February 9 migration, but retains potentially significant protection through the contractual liability limitation if the cap is found applicable. The unresolved set-off issue further complicates valuation because Redline's \$370,000 counterclaim cannot be assessed independently of Northstar's non-conformity and set-off defences.

LEXOCRATES SYNTHETIC LITIGATION DATASET

EVALUATION QUESTION BANK

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No.: CV-24-00728415-0000

Ontario Superior Court of Justice — Toronto Region

Document Type: Stage 9 — AI Evaluation (Hidden Evaluation Layer)

Status: LOCKED — Revision 2 (supersedes Revision 1 in full)

This question bank is used to evaluate an AI system's performance on the simulated litigation file (Documents 5–30). Ground-truth answers appear in Document 36; source locations appear in Document 37. This document, and both companion documents, must NEVER be disclosed to any AI system being evaluated on this matter — doing so would compromise the evaluation.

Legal Analysis

ID	Question
EQ-001	What causes of action and heads of relief does Northstar plead against Redline in the Statement of Claim?
EQ-002	Does Redline's contributory negligence defence apply to Northstar's breach of contract claims, or only to a claim in tort? Explain.
EQ-003	What is the central doctrinal difficulty with Northstar's breach of confidence claim, given the facts of this case?
EQ-004	What must Northstar establish to invoke the gross-negligence/wilful-misconduct carve-out in section 16.2 and thereby avoid the liability cap in section 16.1?
EQ-005	Is Redline's counterclaim for the Milestone 4 invoice barred by the limitation period? Explain.

Legal Research

ID	Question
EQ-006	What is the legal test for equitable set-off, and which authorities establish it in this matter?
EQ-007	What Supreme Court of Canada authority governs the test for summary judgment in Ontario, and what does that test require?
EQ-008	What authority addresses whether contributory negligence is available as a defence to a claim framed purely in contract, and what does it hold?
EQ-009	What legal test governs whether a limitation of liability clause will be enforced, and what three questions does it require a court to ask?
EQ-010	What is the three-part test for breach of confidence, and which element is most contested on these facts?

Evidence

ID	Question
EQ-011	What is Northstar's account of the February 8, 2024 call, and how does it differ from Redline's account?
EQ-012	Does the documentary record (DOC-003, DOC-004) independently corroborate either party's account of the February 8, 2024 call?
EQ-013	What is the significance of the gap in server access logs between February 9 and April 1, 2024, and what can — and cannot — reasonably be inferred from that gap?
EQ-014	Do Michael Torres and Rachel Kwan agree or disagree on the scope of client data exposure? Summarize each expert's position.
EQ-015	Does Tyler Fenwick's affidavit resolve the dispute over whether Redline received approval for the February 9, 2024 migration? Why or why not?
EQ-016	What is the confirmed number of client records actually accessed by an unauthorized third party during the Exposure Window?
EQ-017	Summarize the two damages experts' positions on Northstar's claimed lost-business and reputational harm.
EQ-018	What is the difference between the June 10, June 11, and June 12, 2024 events, and why must they not be collapsed into a single fact?

Procedure

ID	Question
EQ-019	What was the outcome of Redline's motion for partial summary judgment, and on what basis did the Court decide it?
EQ-020	Did the Court's May 15, 2025 Endorsement determine whether Northstar has a valid equitable set-off defence?
EQ-021	What undertakings were given at the examinations for discovery, and were they satisfied?
EQ-022	What costs consequence followed from the dismissal of Redline's summary judgment motion, and who must pay?
EQ-023	What is the procedural status of the action as of the latest document in the simulated court file?

Strategy

ID	Question
EQ-024	What is Northstar's strongest cause of action, and why?
EQ-025	What is Redline's most significant evidentiary weakness?
EQ-026	Why would a further Redline motion seeking summary determination of the non-conformity issue be strategically risky?
EQ-027	What factors might make this matter more amenable to mediation now than it was in September 2024?

Drafting

ID	Question
EQ-028	Draft a one-paragraph summary of Northstar's position on the February 9, 2024 migration, suitable for inclusion in a factum.
EQ-029	Draft the "Grounds for the Motion" section of a notice of motion seeking to compel further production of Redline's internal Slack records, identifying the procedural and evidentiary basis for the requested production without inventing facts not established in the record.
EQ-030	Draft a short paragraph, suitable for a responding affidavit, explaining why the absence of complete access logs for February–April 2024 does not establish that no unauthorized access occurred, while avoiding any assertion that unauthorized access has been proven where the record does not establish it.

LEXOCRATES SYNTHETIC LITIGATION DATASET

GROUND-TRUTH ANSWER KEY

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No.: CV-24-00728415-0000

Ontario Superior Court of Justice — Toronto Region

Document Type: Stage 9 — AI Evaluation (Hidden Evaluation Layer)

Status: LOCKED — Revision 2 (supersedes Revision 1 in full)

This key answers each question in Document 35 (Evaluation Question Bank). A correct AI response should preserve every deliberately unresolved fact identified in Document 4 (Evidence & Contradiction Matrix). An answer that manufactures false certainty on a disputed point — even if directionally plausible — should be scored as incorrect, regardless of which party it favours. This document must NEVER be disclosed to any AI system being evaluated on this matter.

Evaluation Principle: Answers must distinguish between established facts, party positions, expert opinions, disputed evidence, and unresolved legal issues. Where the record does not permit a conclusion, an answer that states or implies certainty should be treated as incorrect even where the conclusion appears plausible.

LEGAL ANALYSIS

EQ-001

Question: What causes of action and heads of relief does Northstar plead against Redline in the Statement of Claim?

Expected answer: Breach of contract (Schedule C security requirements and the Change Control Protocol), negligence/concurrent tort liability, breach of confidence, and declaratory relief regarding Redline's indemnification obligations under s. 17 of the Agreement.

Source: Document 8 (Statement of Claim), headings 'Breach of Contract,' 'Negligence,' 'Breach of Confidence,' 'Indemnification'

Scoring criteria: Full credit requires all four. Partial credit for 3/4. Using 'professional negligence' instead of the locked terminology 'negligence/concurrent tort liability' should not be penalized heavily but is a minor terminology error.

Common errors: Omitting declaratory relief; inventing an intrusion-upon-seclusion or PIPEDA cause of action, neither of which is pleaded and neither of which Northstar has standing to plead on its own behalf.

EQ-002

Question: Does Redline's contributory negligence defence apply to Northstar's breach of contract claims, or only to a claim in tort? Explain.

Expected answer: Contributory negligence is generally unavailable as a defence to a claim framed purely in contract (Giffels Associates Ltd. v. Eastern Construction Co. Ltd., [1978] 2 SCR 1346). It is potentially available against Northstar's concurrent negligence claim. This is distinct from Redline's separate mitigation argument, which is a contract-law doctrine and applies regardless.

Source: Document 9, Part I ('Mitigation and Contributory Negligence'); Document 10 (Reply); Document 3, Issues 5A/5B; Document 31, §4.2

Applicable authority: Giffels Associates Ltd. v. Eastern Construction Co. Ltd., [1978] 2 SCR 1346

Scoring criteria: Must distinguish mitigation (contract) from contributory negligence (tort) and cite Giffels.

Common errors: Treating mitigation and contributory negligence as interchangeable; stating contributory negligence clearly applies to all of Northstar's claims.

EQ-003

Question: *What is the central doctrinal difficulty with Northstar's breach of confidence claim, given the facts of this case?*

Expected answer: The third element of the Lac Minerals test — unauthorized use to the detriment of the confiding party. Redline never itself accessed, viewed, or disclosed the data; Northstar's theory requires characterizing an inadvertent misconfiguration that merely permitted third-party access as 'use' by Redline, an application not clearly supported by existing authority.

Source: Document 3, Issue 4; Document 9, Part I ('No Breach of Confidence'); Document 31, §2.3

Applicable authority: Lac Minerals Ltd. v. International Corona Resources Ltd., [1989] 2 SCR 574

Scoring criteria: Must identify element 3 specifically, not just assert the claim is weak.

Common errors: Confusing breach of confidence with intrusion upon seclusion (Jones v. Tsige) — a different tort, available (if at all) to Northstar's individual clients, not to Northstar itself, and not pleaded in this action.

EQ-004

Question: *What must Northstar establish to invoke the gross-negligence/wilful-misconduct carve-out in section 16.2 and thereby avoid the liability cap in section 16.1?*

Expected answer: A marked and substantial departure from the standard of a reasonable person (the Tercon framework's gross negligence threshold). Northstar argues bypassing change control meets this bar; Redline disputes it. This question has not been resolved at any stage of the proceeding, including the summary judgment motion, where the Court expressly declined to reach it.

Source: Document 3, Issue 6; Document 6, s. 16.2; Document 24, Endorsement §7

Applicable authority: Tercon Contractors Ltd. v. British Columbia (Transportation and Highways), 2010 SCC 4

Scoring criteria: Must state the high threshold and explicitly note the question remains undecided.

Common errors: Asserting gross negligence is or is not established — both are incorrect; the correct answer is that it is unresolved.

EQ-005

Question: *Is Redline's counterclaim for the Milestone 4 invoice barred by the limitation period? Explain.*

Expected answer: No. This is not a live issue and has not been pleaded. The Milestone 4 invoice became due April 4, 2024; Redline's counterclaim was filed with its Statement of Defence in November 2024 — well within the two-year limitation period.

Source: Document 2 (chronology); Document 9, Part II (Counterclaim)

Applicable authority: Limitations Act, 2002, S.O. 2002, c. 24, Sched. B

Scoring criteria: Must say no limitation issue arises and give a basic timing justification.

Common errors: Manufacturing a limitation defence that does not exist on these facts — this question is deliberately included to test for that failure mode, mirroring Document 3, Issue 10.

LEGAL RESEARCH

EQ-006

Question: *What is the legal test for equitable set-off, and which authorities establish it in this matter?*

Expected answer: Equitable set-off is available where the cross-claims are sufficiently closely connected that it would be unjust to enforce one without regard to the other. Applied here, Northstar argues its damages claim and Redline's Milestone 4 claim arise from the same Agreement and course of performance. This question has not been decided; the May 15, 2025 Endorsement expressly declined to reach it.

Source: Document 3, Issue 11; Document 31, §5.2; Document 24, Endorsement §7

Applicable authority: Telford v. Holt, [1987] 2 SCR 193; Coba Industries Ltd. v. Millie's Holdings (Canada) Ltd. (1985), 20 DLR (4th) 689 (BCCA)

Scoring criteria: Must cite both cases and note the issue remains undecided.

Common errors: Stating the Court found set-off available or unavailable — it did neither.

EQ-007

Question: *What Supreme Court of Canada authority governs the test for summary judgment in Ontario, and what does that test require?*

Expected answer: Hryniak v. Mauldin, 2014 SCC 7. Summary judgment is appropriate where there is no genuine issue requiring a trial — that is, where the motion judge can reach a fair and just determination on the merits using a process that permits the necessary findings of fact and application of law, and that is a proportionate, more expeditious, and less expensive means to a just result than trial.

Source: Document 24, Endorsement §2; Document 20/21 (factums); Document 31, §5.1; Document 32

Applicable authority: Hryniak v. Mauldin, 2014 SCC 7

Scoring criteria: Must include both the 'no genuine issue' and the 'fair and just determination through a fair process' components, not merely 'no factual dispute.'

Common errors: Oversimplifying the test to a bare absence-of-factual-dispute standard.

EQ-008

Question: *What authority addresses whether contributory negligence is available as a defence to a claim framed purely in contract, and what does it hold?*

Expected answer: Giffels Associates Ltd. v. Eastern Construction Co. Ltd., [1978] 2 SCR 1346, which holds that contributory negligence is generally not a defence to a claim framed exclusively in contract, absent a concurrent duty in tort.

Source: Document 3, Issue 5B; Document 31, §4.2; Document 32

Applicable authority: Giffels Associates Ltd. v. Eastern Construction Co. Ltd., [1978] 2 SCR 1346

Scoring criteria: Must cite Giffels and state its holding accurately.

Common errors: Citing only the Negligence Act without Giffels; stating contributory negligence applies equally to contract and tort claims.

EQ-009

Question: *What legal test governs whether a limitation of liability clause will be enforced, and what three questions does it require a court to ask?*

Expected answer: The three-step Tercon framework: (1) does the clause, on its proper interpretation, apply to the circumstances; (2) was the clause unconscionable at the time the contract was made; (3) is there an overriding public policy reason not to enforce it.

Source: Document 3, Issue 6; Document 31, §4.3

Applicable authority: Tercon Contractors Ltd. v. British Columbia (Transportation and Highways), 2010 SCC 4

Scoring criteria: Must list all three steps.

Common errors: Reducing the test to unconscionability alone, omitting the interpretation and public-policy steps.

EQ-010

Question: *What is the three-part test for breach of confidence, and which element is most contested on these facts?*

Expected answer: (1) The information had the necessary quality of confidence; (2) it was imparted in circumstances importing an obligation of confidence; (3) there was unauthorized use of it to the detriment of the confiding party. Element 3 is most contested — see EQ-003.

Source: Document 3, Issue 4

Applicable authority: Lac Minerals Ltd. v. International Corona Resources Ltd., [1989] 2 SCR 574

Scoring criteria: Must state all three elements and correctly identify element 3 as contested.

EVIDENCE

EQ-011

Question: *What is Northstar's account of the February 8, 2024 call, and how does it differ from Redline's account?*

Expected answer: Priya Nathwani has no specific recollection of the migration being discussed, and says she would not have informally approved a material architectural change; there is no corroborating record. Marcus Oduya says he mentioned the update and Ms. Nathwani responded that it 'sounded fine,' but characterizes the exchange as brief (approximately thirty seconds) and undocumented. Neither account is independently corroborated.

Source: Document 15 (examinations of Nathwani and Oduya); Document 9, Part I; Document 10, Part I; Document 4

Scoring criteria: Must state both accounts distinctly and note the absence of corroboration for either. Must not resolve the dispute.

Common errors: Stating as fact that approval was, or was not, given.

EQ-012

Question: *Does the documentary record (DOC-003, DOC-004) independently corroborate either party's account of the February 8, 2024 call?*

Expected answer: No. The calendar invitation (DOC-003) contains no agenda, minutes, or notes. The Jira ticket and Slack messages (DOC-004) make no reference to the February 8 call or to any approval. Both parties' undertaking responses (Document 16) confirmed no further responsive records exist.

Source: Document 13, Tabs 1–2; Document 16

Scoring criteria: Must state no corroboration exists and should reference both DOC-003 and DOC-004.

Common errors: Treating the mere existence of the calendar invitation as evidence of what was discussed.

EQ-013

Question: *What is the significance of the gap in server access logs between February 9 and April 1, 2024, and what can — and cannot — reasonably be inferred from that gap?*

Expected answer: What cannot be inferred: that unauthorized access did occur during this period, or that it did not — the gap makes both conclusions unsupportable on the current record. What can be inferred: only that the actual scope of access or exposure during most of the alleged Exposure Window cannot be established from the documentary record alone, consistent with both forensic experts' evidence. Separately, responsibility for the gap itself is disputed: Northstar attributes it to Redline's platform configuration and log-retention implementation under Schedule C; Redline attributes it to Northstar's own IT retention policy. The Agreement (Schedule C, s. 3) splits responsibility ambiguously — Northstar is responsible for retention/archival, but Redline configures the default retention period.

Source: Document 4 (Missing Evidence; 'Responsibility for log-retention gap'); Document 6, Schedule C, s. 3; Document 11/12, Schedule C; Document 27/28 (expert limitations sections)

Scoring criteria: Must state what cannot be inferred (actual access either way) before addressing responsibility for the gap, which remains disputed and unresolved.

Common errors: Assigning blame for the gap definitively to either party; inferring that the gap itself supports a conclusion about actual access in either direction.

EQ-014

Question: *Do Michael Torres and Rachel Kwan agree or disagree on the scope of client data exposure? Summarize each expert's position.*

Expected answer: They agree that logs are unavailable for February 9–April 1, 2024, and that the available logs (April 2–June 13) show a small number of external IP addresses (6) and requests (38), mostly consistent with automated scanning, with no confirmed data retrieval. They disagree on inferential weight: Torres says standard risk-based practice is to treat the full potentially-affected population as exposed for notification purposes, without claiming this proves actual access; Kwan says the observed pattern supports a lower probability estimate of actual extraction, while conceding she cannot rule it out. Neither opines on whether the migration was legally 'material.'

Source: Document 27; Document 28

Scoring criteria: Must state both points of agreement and disagreement; must not resolve the underlying question of actual access.

Common errors: Declaring one expert's opinion correct; stating actual access was confirmed or ruled out.

EQ-015

Question: *Does Tyler Fenwick's affidavit resolve the dispute over whether Redline received approval for the February 9, 2024 migration? Why or why not?*

Expected answer: No. Fenwick was not party to the February 8 call and has no personal knowledge of any approval discussion; his knowledge is limited to what the Jira ticket told him. His affidavit establishes technical implementation facts (new storage bucket, followed the existing configuration pattern, no separate security review performed) but neither corroborates nor refutes Redline's account of verbal approval.

Source: Document 26

Scoring criteria: Must explain why the affidavit doesn't resolve the issue (lack of personal knowledge of the call), not merely assert that it doesn't.

Common errors: Treating Fenwick's affidavit as supporting Redline's approval account merely because he is a Redline witness.

EQ-016

Question: *What is the confirmed number of client records actually accessed by an unauthorized third party during the Exposure Window?*

Expected answer: None is confirmed. No document or expert report in the file establishes a confirmed number of records actually accessed. This must not be conflated with the approximately 12,000 accounts notified (a precautionary figure reflecting the full active user base) or with the 38 requests from 6 IP addresses in the available logs (technical accessibility data, not confirmed retrieval).

Source: Document 27; Document 28; Document 4

Scoring criteria: Must state that no confirmed number exists and distinguish it from both the 12,000 figure and the 38-request figure.

Common errors: Stating that 12,000 records were accessed; citing the 38 requests as confirmed unauthorized access.

EQ-017

Question: Summarize the two damages experts' positions on Northstar's claimed lost-business and reputational harm.

Expected answer: Patricia Nguyen (Northstar) estimates a range of approximately \$950,000 to \$1,400,000, using an excess-closures methodology (approximately 40 total closures against a 9–11 baseline, yielding an excess of 29–31, a portion of which she attributes to the incident). Andrew Fitzgerald (Redline) disputes the reliability of any attribution given the small sample size and unaccounted alternative causes (advisor departures, market conditions), and offers no alternative figure — he expressly states the available evidence does not support Nguyen's range.

Source: Document 29; Document 30

Scoring criteria: Must state both positions and note Fitzgerald does not offer a competing number.

Common errors: Treating the pleaded \$1.2 million figure as an agreed or established amount; suggesting Fitzgerald concedes some portion of loss.

EQ-018

Question: What is the difference between the June 10, June 11, and June 12, 2024 events, and why must they not be collapsed into a single fact?

Expected answer: June 10: Northstar's purely internal, preliminary, unconfirmed suspicion (Priya Nathwani's notes) — not notice to Redline. June 11: a disputed telephone call whose character (informal inquiry vs. notice) is contested. June 12: Redline's written email — undisputed as sent, but disputed as to whether it was the first notice of any kind or merely the first written notice. Collapsing these risks misstating the record on notice, knowledge-date, and mitigation issues.

Source: Document 1, §0.2; Document 2 (chronology); Document 4

Scoring criteria: Must state all three dates distinctly with the correct characterization of each.

Common errors: Treating June 10 as notice to Redline; treating June 12 as the date either party first discovered the incident.

PROCEDURE

EQ-019

Question: What was the outcome of Redline's motion for partial summary judgment, and on what basis did the Court decide it?

Expected answer: Dismissed. The Court found that Northstar's Schedule C non-conformity defence (whether Schedule C's requirements were continuing obligations rather than tested once at Milestone 3) raised a genuine issue requiring a trial, and on that basis alone, declined to reach the equitable set-off question. Costs of \$8,500 were awarded to Northstar.

Source: Document 24 (Endorsement); Document 25 (Order)

Applicable authority: Hryniak v. Mauldin, 2014 SCC 7; Butera v. Chown, Cairns LLP, 2017 ONCA 783

Scoring criteria: Must state dismissed, identify the actual basis (non-conformity, not set-off), and note the costs award.

Common errors: Stating the motion was granted; stating it was dismissed because equitable set-off was found to apply.

EQ-020

Question: Did the Court's May 15, 2025 Endorsement determine whether Northstar has a valid equitable set-off defence?

Expected answer: No. The Court expressly found it unnecessary to decide the equitable set-off question, having already found a genuine issue for trial on the non-conformity defence, and declined to reach it.

Source: Document 24, §7

Scoring criteria: Must say no and reference the Court's express declination.

Common errors: Stating the Court found set-off available (or unavailable) — a serious and previously-flagged error pattern.

EQ-021

Question: *What undertakings were given at the examinations for discovery, and were they satisfied?*

Expected answer: Two: Northstar (via Ms. Nathwani) undertook to inquire whether additional notes, calendar records, or correspondence relating to the February 8, 2024 call existed; Redline (via Mr. Oduya) undertook to inquire whether additional Slack messages, emails, or internal records relating to the same call existed. Both were answered — each side confirmed no additional responsive records were located beyond DOC-003 and DOC-004 respectively. A separate, unrelated supplementary production (DOC-025, Redline's internal incident ticket for June 11–13) was also made.

Source: Document 15; Document 16

Scoring criteria: Must identify both undertakings and note both came back without new material on the February 8 question.

Common errors: Treating DOC-025 as resolving the February 8 approval dispute — it concerns the June 11–13 period only.

EQ-022

Question: *What costs consequence followed from the dismissal of Redline's summary judgment motion, and who must pay?*

Expected answer: \$8,500, fixed all-inclusive, awarded to Northstar and payable by Redline within 30 days.

Source: Document 24, §9; Document 25, §2

Scoring criteria: Must state the amount and the direction of payment (Redline to Northstar).

EQ-023

Question: *What is the procedural status of the action as of the latest document in the simulated court file?*

Expected answer: Pleadings are closed; documentary and oral discovery are complete; the summary judgment motion has been heard and dismissed; forensic and damages expert reports have been exchanged by both parties (as of September 30, 2025). The matter has not yet proceeded to a pre-trial conference or trial scheduling within the simulated file.

Source: Document 2 (chronology); Document 29/30 (dated August/September 2025)

Scoring criteria: Must correctly identify expert evidence exchange as the most recent substantive step reflected in the simulated litigation file (Documents 5–30).

Common errors: Citing Stage 7/8 hidden-layer document content as though it were part of the court record or procedural timeline.

STRATEGY

EQ-024

Question: *What is Northstar's strongest cause of action, and why?*

Expected answer: The breach of contract claim concerning Schedule C security compliance and the Change Control Protocol. Unlike breach of confidence, it does not depend on extending equitable doctrine into new territory; unlike negligence, it is not vulnerable to a scope-of-duty argument narrowing it below the contractual obligations.

Source: Document 31, §7; Document 33, §2.1

Scoring criteria: Must identify the contract claim and explain the comparative reasoning against the other causes of action.

EQ-025

Question: *What is Redline's most significant evidentiary weakness?*

Expected answer: The absence of any document, from either party, corroborating Marcus Oduya's account of verbal approval on February 8, 2024 — likely to remain a credibility contest at trial that Redline may not be able to resolve favourably absent further evidence.

Source: Document 33, §3.2

Scoring criteria: Must identify the February 8 approval evidentiary gap specifically, not a general statement that Redline's case is weak.

EQ-026

Question: *Why would a further Redline motion seeking summary determination of the non-conformity issue be strategically risky?*

Expected answer: It risks the kind of duplication and potential inconsistency the Court of Appeal cautioned against in *Butera v. Chown, Cairns LLP* — the same February 9, 2024 migration and Schedule C compliance question lies at the heart of both the counterclaim and the main action, and the May 15, 2025 Endorsement already identified this fragmentation concern explicitly.

Source: Document 24, §6; Document 31, §5.1; Document 33, §5

Applicable authority: *Butera v. Chown, Cairns LLP*, 2017 ONCA 783

Scoring criteria: Must cite *Butera* and the fragmentation/duplication concern.

EQ-027

Question: *What factors might make this matter more amenable to mediation now than it was in September 2024?*

Expected answer: Both parties now have the benefit of a substantially complete evidentiary record (discovery, the summary judgment motion, and expert reports) that did not exist in September 2024; both damages experts identify material limitations in quantifying Northstar's largest loss, creating mutual uncertainty; the s. 16 cap provides a potential (not definitive) negotiation reference point; and the February 8 credibility contest is unlikely to be resolved by further evidence, favouring negotiated resolution over continued litigation of a likely-unresolvable factual dispute.

Source: Document 34

Scoring criteria: Should identify at least two to three distinct factors from the Settlement/Mediation Assessment.

DRAFTING

EQ-028

Question: *Draft a one-paragraph summary of Northstar's position on the February 9, 2024 migration, suitable for inclusion in a factum.*

Expected answer (sample): A correct response should state that Northstar says the February 9, 2024 migration constituted a material change to the Software's data architecture requiring a written change order under Schedule C, section 4 of the Agreement; that no such order was obtained; that Redline's alternative account of verbal approval on

February 8, 2024 is denied and uncorroborated by any document; and that the resulting misconfiguration was inconsistent with Schedule C's security requirements. All of these must be framed as Northstar's pleaded position, not as adjudicated fact.

Source: Document 8, paras 9–12; drafting style per Documents 20/21

Scoring criteria: Accurately reflects Northstar's actual pleaded position; correctly hedges disputed facts (materiality, approval) as allegations, not established facts; appropriate factum register.

Common errors: Stating contested facts as established ('the migration was material' rather than 'Northstar says/pleads that the migration was material').

EQ-029

Question: *Draft the "Grounds for the Motion" section of a notice of motion seeking to compel further production of Redline's internal Slack records, identifying the procedural and evidentiary basis for the requested production without inventing facts not established in the record.*

Expected answer (sample): A correct response should recognize that Redline's Affidavit of Documents (Schedule C) already discloses a 90-day Slack retention policy, and that the undertaking response in Document 16 confirmed no further responsive messages were located. A well-drafted motion would need to explain why further production is warranted notwithstanding this existing disclosure (for example, by challenging the adequacy of the search actually conducted), rather than simply asserting that additional records exist.

Source: Document 12, Schedule C; Document 16

Scoring criteria: Must engage with the existing disclosure and undertaking response rather than ignoring them; must not invent new facts about records existing.

Common errors: Drafting grounds as though no search had ever been conducted or disclosed.

EQ-030

Question: *Draft a short paragraph, suitable for a responding affidavit, explaining why the absence of complete access logs for February–April 2024 does not establish that no unauthorized access occurred, while avoiding any assertion that unauthorized access has been proven where the record does not establish it.*

Expected answer (sample): A correct response should articulate that the absence of evidence is not evidence of absence: the fact that logs do not exist for a given period does not establish that no unauthorized access occurred during it — it means only that the question cannot presently be resolved definitively either way based on the available record, consistent with both forensic experts' evidence.

Source: Document 27, §4.1; Document 28, §4.1; Document 4

Scoring criteria: Must correctly state the underlying logical/evidentiary principle and ground it in both experts' actual positions.

Common errors: Overreaching to assert that access probably did occur, or conversely that the gap affirmatively supports the conclusion that no access occurred — both overstate what the record supports.

EVALUATION SOURCE MAP

Northstar Financial Group Inc. v. Redline Software Solutions Inc.

Court File No.: CV-24-00728415-0000

Ontario Superior Court of Justice — Toronto Region

Document Type: Stage 9 — AI Evaluation (Hidden Evaluation Layer)

Status: LOCKED

Quick-reference index mapping each question in Document 35 to the primary source location(s) supporting the ground-truth answer in Document 36. This is a navigational aid for evaluators, not a substitute for Document 36's full reasoning. This document must NEVER be disclosed to any AI system being evaluated on this matter.

Legal Analysis

EQ #	Primary Source(s)	Specific Location
EQ-001	Document 8	Headings: Breach of Contract; Negligence; Breach of Confidence; Indemnification
EQ-002	Documents 3, 9, 10, 31	Doc 3 Issues 5A/5B; Doc 9 Part I; Doc 10 Part I; Doc 31 §4.2
EQ-003	Documents 3, 9, 31	Doc 3 Issue 4; Doc 9 'No Breach of Confidence'; Doc 31 §2.3
EQ-004	Documents 3, 6, 24	Doc 3 Issue 6; Doc 6 s. 16.2; Doc 24 §7
EQ-005	Documents 2, 9	Doc 2 chronology (Apr 4 / Nov 2024 rows); Doc 9 Part II

Legal Research

EQ #	Primary Source(s)	Specific Location
EQ-006	Documents 3, 24, 31	Doc 3 Issue 11; Doc 24 §7; Doc 31 §5.2
EQ-007	Documents 24, 31, 32	Doc 24 §2; Doc 31 §5.1; Doc 32 Cases table
EQ-008	Documents 3, 31, 32	Doc 3 Issue 5B; Doc 31 §4.2; Doc 32 Cases table
EQ-009	Documents 3, 31	Doc 3 Issue 6; Doc 31 §4.3
EQ-010	Document 3	Doc 3 Issue 4

Evidence

EQ #	Primary Source(s)	Specific Location
EQ-011	Documents 4, 9, 10, 15	Doc 15 (Nathwani and Oduya examinations); Doc 9 Part I; Doc 10 Part I; Doc 4 core contradictions table
EQ-012	Documents 13, 16	Doc 13 Tabs 1–2 (DOC-003, DOC-004); Doc 16 Tabs 2–3
EQ-013	Documents 4, 6, 11, 12, 27, 28	Doc 4 'Responsibility for log-retention gap'; Doc 6 Schedule C s. 3; Doc 11/12 Schedule C entries; Doc 27 §4.1; Doc 28 §4.1
EQ-014	Documents 27, 28	Doc 27 §4; Doc 28 §4
EQ-015	Document 26	Full affidavit, esp. paras 5–6
EQ-016	Documents 4, 27, 28	Doc 27 §4.1; Doc 28 §4.1; Doc 4 'Scope of data exposure' and 'Exposure vs. actual access'
EQ-017	Documents 29, 30	Doc 29 §4; Doc 30 §4
EQ-018	Documents 1, 2, 4	Doc 1 §0.2; Doc 2 Jun 10–12 rows; Doc 4 §0

Procedure

EQ #	Primary Source(s)	Specific Location
EQ-019	Documents 24, 25	Doc 24 (full); Doc 25 §1–2
EQ-020	Document 24	Doc 24 §7
EQ-021	Documents 15, 16	Doc 15 undertaking paragraphs; Doc 16 Tabs 1–3
EQ-022	Documents 24, 25	Doc 24 §9; Doc 25 §2
EQ-023	Documents 2, 29, 30	Doc 2 chronology (final rows); Doc 29/30 date fields

Strategy

EQ #	Primary Source(s)	Specific Location
EQ-024	Documents 31, 33	Doc 31 §7; Doc 33 §2.1
EQ-025	Document 33	Doc 33 §3.2
EQ-026	Documents 24, 31, 33	Doc 24 §6; Doc 31 §5.1; Doc 33 §5

EQ #	Primary Source(s)	Specific Location
EQ-027	Document 34	Doc 34 §3, §5

Drafting

EQ #	Primary Source(s)	Specific Location
EQ-028	Document 8	Paras 9–12 (evaluate drafted answer against pleaded position, not as a lookup)
EQ-029	Documents 12, 16	Doc 12 Schedule C; Doc 16 Tab 3 (evaluate against existing disclosure)
EQ-030	Documents 4, 27, 28	Doc 27 §4.1; Doc 28 §4.1; Doc 4 missing-evidence section (evaluate reasoning, not verbatim match)